

Kansai Nerolac (KANSAINER)

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9th November , 2023

1. Corporate Relationship Department
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PhirozeJeejeebhoy Towers,
Dalal Street,
Mumbai - 400001. 2. Manager – Listing
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Dear Sirs,

This is further to the intimations done by the Company on 27th October , 2023,
2nd November , 2023 and 3rd Nov ember , 2023 with respect to the Conference Call hosted
by the Management of our Company on Friday, 3rd November , 2023 at 11:00 hrs India
Time to discuss Q 2 FY 2023 -24 Financial Results of the Company.

We are enclosing herewith the transcript of the Conference call for your information and
reference.

For KANSAI NEROLAC PAINTS LIMITED

G. T. GOVINDARAJAN
COMPANY SECRETARY

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"Kansai Nerolac Paints L imited
Q2 FY2024 Earnings Conference Call "

November 03, 2023

ANALYST : MR. ANIRUDDHA JOSHI - ICICI SECURITIES

MANAGEMENT : MR. ANUJ JAIN - MANAGING DIRECTOR - KANSAI
NEROLAC PAINTS LIMITED
MR. PRASHANT PAI - DIRECTOR , FINANCE - KANSAI
NEROLAC PAINTS LIMITED
MR. JASON GONSALVES - DIRECTOR , CORPORATE
PLANNING , IT & MATERIALS - KANSAI NEROLAC
PAINTS LIMITED

Page 2 of 16 Moderator: Ladies and gentlemen good day and welcome to Kansai Nerolac Q2 FY2024 Earnings Conference Call hosted by ICICI Securities . As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that the conference is being recorded. I now hand the conference over to Mr. Aniruddha Joshi . Thank you and over to you Sir!

Aniruddha Joshi : Thanks Akshay . On behalf of ICICI Securities, we welcome you all to Q2 FY2024 results conference call of Kansai Nerolac Paints . We have with us senior management represented by Mr. Anuj Jain , Managing Director, Mr. Prashant Pai, Director - Finance and Mr. Jason Gonsalves , Director - Corporate Planning , IT and Materials . I congratulate the management for posting good set of numbers in spite of tough macro conditions and stiff competitive measures. Now I hand over the call to the management for their initial comments and then we will open the floor for question-and-answer session. Thanks and over to you Sir!

Anuj Jain : Thank you Aniruddha . Good morning everyone . Greetings to all of you. Thank you for your continued support and interest in our company. Also thanks for joining this call of Kansai Nerolac for Q2 of FY2023-2024. You must have seen in the results for the quarter the top line is up by 1.7% and EBITDA is up by 36.8% . PAT up by 53.4% . If you look at the first half of the year the top line is up by 4.2% , EBITDA by 33.3% and PAT after exceptional item was up by 229.7% . During the Q2 specifically if we look at it the demand has been subdued for decorative mainly because of erratic monsoons and generally we have seen that whenever Diwali is in the month of November there is a shift of demand towards the third quarter so demand during the quarter has been subdued . In industrial the demand has been decent , in industrial automotive and liquid p

erformance coating has registered good growth .

Decorative growth is marginally negative excluding putt y it is around flat . Volume growth is also similar . In automotive KNP growth has been better than the market growth . Raw material prices remained stable despite volatility in crude and Forex during the second quarter and this along with continued cost reduction referred effort has helped the bottom line, partly the bottom line was also helped with the change of favorable mix . In decorative the growth drivers which we have been driving in our company so one in fact some of the products which we have introduced over a period of last one year and those products has helped in increasing the mix of the premium items so there has been a positive change in the mix and this also helped maintaining the average selling price despite that there has been a demand of the lower end products also but this helped us in maintaining the average selling price in the quarter . We continued the launches of some of the more unique products so during the quarter we introduced Beauty Little Master Sheen . This product we have started and launched across India .

Page 3 of 16 This is a very unique product having an excellent sheen generally the high sheen is available in a very , very premium range . This is a breakthrough product in a very basic category . We have been able to bring this kind of feature so you can call it as a part of the economy range this product but with a very good feature of the premium so that is the product that we have introduced and we got a very good response from the market . We extended Impression s Kashmir we had introduced in some other variants but we introduced the high sheen variant. There are certain markets , certain states where in fact the preference of the consumer is towards a very high sheen so we have introduced that and also we have introduced the matt finish, so therefore now with these variants Impression s Kashmir has high sheen , matt, these kind of variants are available and it is a very pure product so we are getting a good response to this product . We also expanded some range in this waterproofing , construction chemical , so again one unique product which is Crystal Seal we have launched in this period . The other initiative in decorative which is around the influencer programme and services which we have been updating you last few quarters so our next generation painting services and our programme for architect interior designer which we started scaling up is gaining continuous momentum and we are seeing traction quarter on quarter basis and that scale up process has already started and we are going to scale it up further . The services has been expanded to more than 150 plus cities in terms of active lead generations now where we are generating the digital leads and we are having the control on that particular business . Service team and structure as we are expanding this

services, the service team and structure also accordingly we are expanding. In new businesses overall the new businesses has shown strong growth and now in fact with our range the gap what we had in the range of new businesses that is no more there, probably we are doing little better than the market. In terms of project also we have registered a good growth so we have been expanding our team now almost more than 75 towns which has a good potential of project so we have a team in place footprints there and we have registered a good growth in projects also. In terms of network the expansion in the network was in the double digit growth and also as a part of our initiative we enhanced visibility through media and digitally also we have been very very active. We also participated in the high decibel events like Asia Cup and World Cup and there in fact we have

been advertising

communicating, the range of new product, the Paint Plus which we have introduced over a period of last year. Coming to industrial business in automotive our approach as we have been saying earlier continuous focus on technologically superior products, launching sustainable technologies to reduce VOC, volatile organic compound and to reduce carbon emission. Passenger vehicle segment continued steady growth trend. It got carried forward from Q1 and we expect SUV and new model to continue to drive demand. Two wheelers may see a better demand going forward but as of now the production growth of the industry if you see has been flourish, three-wheeler is fine, commercial vehicles continued a positive momentum and tractor has been under little stress. We are getting the traction of the new six segments where we have entered which is a seam sealer, underbody coats, and alloy wheels

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Page 4 of 16 so the business and the traction has started coming. In auto refinish which is after paint market in fact our focus is in terms of adding the A class body shop and that is helping us again driving the salience of premium products in the auto refinish and we also introduced during the quarter the next generation water borne paints for body shops that is what we introduced just about towards the end of Q2. In performance coating division which is a non-auto industrial category again one of the focus area we have taken was to come out of some business which at the low end, not so profitable and therefore increasing the salience from the premium business. There also gradually we are seeing increase in the salience of the premium category. We have been working to get approvals because this business is long-term sustainable growth is dependent on the approvals so in that pursuit we have received WRAS approval for fusion bonded epoxy powder so that is for performance coating division so the other updates to you the related to capacity during the quarter, the capacity utilization was 65% and our expansion project at Vizag and Jaipur were on track. In the Tamil Nadu, Hosur the expansion has been completed as per the plan. Some other initiative in the company we have been driving the Innovation programme and last year we started innovation programme and this time that we had created an innovation process and we are going for a good participation from the employees collecting ideas so that programme is taking a shape and we are receiving a lot of good ideas and that is building a good pipeline for implementing the good ideas to bring efficiency, optimization in our systems. We have been once again certified as great places to work so we received the certificate great places to work certified organization during the quarter so these are some brief updates related to quarter where I just mentioned about the top line, bottom line, the status, the progress on the initiatives what we have taken and I now welcome all of you for the questions.

Moderator: Thank you very much. We will now begin with the question and answer session. The first question is from the line of Avi Mehta from Macquarie Capital. Please go ahead.

Avi Mehta: Hi Sir thanks for this opportunity. Sir I just had two questions, with second half you have indicated benefit of festive period as well as our paint plus initiatives are taking shape would it be fair to argue that the margin trajectory would be similar to what we saw in the first half which is at around 14.7% at the EBITDA level and what would be the risks if at all you think if you disagree thank you.

Anuj Jain: Avi I think the prices so far have been stable in the Q2 but going forward because of this volatility in crude and Forex there may be a possibility of upward trend in the raw material prices to that extent there may be

some impact but the positive factor for the third quarter or the coming quarter would be a better growth so I think one has to balance between these two.

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Page 5 of 16 Avi Mehta : I mean would it be fair to expect this current trajectory to continue because last time we were kind of more towards a 14% for the full year but the performance has been positively so would it be fair to kind of extrapolate this or you would like to suggest that we should still stick to 14.

Prashant Pai : Avi has Anuj mentioned the crude prices have started showing an upward trend right , now to make a statement whether it will be the same or there will be some margin up and down but we believe that by and large the margin should be fine in the third quarter .

Anuj Jain : Also, Avi just keep in mind that because our margins also depend on the mix changes , so depending on how much sale is increasing in industrial and decorative so to that an extent some flexibility is always there in that regard .

Avi Mehta : Got it Sir, fairly clear Sir , and Sir just a bookkeeping question could you kind of give us a sense on how was the ad spend intensity in this quarter .

Anuj Jain : We have increased so we have been going little aggressive and as I said that we have enhanced our visibility whether it is traditional media or digital where this services where the initiative is all about the lead generation from the digital spending, so ad spends have gone up in the Q2.

Avi Mehta : Okay Sir that is all from my side Sir. I will come back in the queue for further questions .

Moderator : Thank you. The next question is from the line of Pramod Dangi from Unifi Investment Management . Please go ahead.

Pramod Dangi : Yes thanks and congratulations for recovery in the margin so you have given a very good commentary on the directional update on the restructuring which we have taken few quarters back , if you can quantify few of the numbers that would be very helpful such that out of the growth of 1% or the 5% last quarter how much driven by the volume growth and how much driven by any price change whether it is a negative or positive in case of let us say that ad spend had actually went up in Q2 and I remember that Mr . Anuj Jain had said few quarters back that our ad spend was very low and we would like to increase it so if you can quantify from 3.5% it went to 4% , 4.5%, 5% I think that quantification will help with your directional commentary .

Anuj Jain: Okay so this in terms of decorative if you are talking about value growth and volume growth the growths are similar so that is why I said that because there is a change in the mix of the premium and therefore we are able to maintain the average selling price so growth in value and volume is similar .

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Page 6 of 16 Prashant Pai : So we have increased the ad expenditure in this quarter by around 20% .

Pramod Dangi : Okay great so around 1% top line growth the ad spend is actually 20% .

Prashant Pai : Yes.

Pramod Dangi : Okay good and if you can just give the contribution from the new product like I think March end our Paint Plus category was giving around 10% contribution to the revenue and a significant change over there , how we are moving in that direction as we are introducing new and new product and similarly for the industrial product all the new categories which you have mentioned what kind of the contributions which you are seeing now mid single digit and how they are moving .

Anuj Jain : So in terms of new products the overall , the new products the contribution is about 10% to the total range and within the new products there are Paint Plus which are unique products so there also our salience is gradually going up . Even in industrial the contribution of the new

product is higher single digit that is 10% only . Overall for the company you can say the contribution of the new product is around 10% .

Pramod Dangi : I am saying that on the project of the contractor business we had placed a new team a few quarters back so what kind of the experience we are having now is it better than what we have expected earlier because there is a lot of competition as of today so how we are building up on that side .

Anuj Jain : So in fact if you remember we have been talking quarter on quarter so we have been gradually expanding our team and when we expanded the team to further to towns we got a good response therefore we have further expended and as I said now we have crossed more than 75 towns. Now our growth in project because the market growth is always higher than the retail growth and we have been lagging in that particular growth now we have caught up and we are in line with the market . Our salience remain low because if we compare with the market our salience of project sale to the total sale is lower but in terms of growth we have caught up.

Pramod Dangi : Okay got it and lastly one feedback . I tried to use your next gen service in Mumbai . I just repainted my house few months back but the call back I got after one week by the time my

project was over so I do not know how to take this further that was in Mumbai and I know Mumbai is a weak market for us .

Anuj Jain : I will take it as a feedback and apologies for that but I tell you what happens is that because these are new concepts and when we introduce the new concept because what happens is that in fact we have started receiving very good responses , the number of leads so sometime

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Page 7 of 16 what happens is it takes little time to establish your complete structure because every month that we see that how the leads are going up , Team is there in the market because when we put the team say example in the city like Mumbai you do not have the control whether you are getting the more leads from south Mumbai or north Mumbai so those kind of things and those learning we take and continuously in fact there have been learning obviously initially when we started there have been challenges but now we are able to take care of a lot of challenges because our idea is that we should be able to respond properly so obviously we are not 100% right out there but I think as of now our satisfaction level or what we want to do has reached around 90% and obviously we have to cross the journey of balance 10% also where this kind of problem what you had faced should not happen .

Pramod Dangi : Sure thanks a lot.

Moderator: Thank you . The next question is from the line of Namit Arora from India Growth Capital . Please go ahead .

Namit Arora : Thank you for the opportunity . I was reflecting on the last slide of the presentation on risks and outlook so I would be grateful for your thoughts if you consider increasing competitive intensity in the Indian market also some sort of a risk for you and have you seen any impact on employee retention , the vendor ecosystem , distributor ecosystem etc., thank you .

Anuj Jain : Actually we have been talking about it so obviously it is a fact that the new competition is there . A lot of new competition has already come in some company will come towards the end of year but I think what is important is to know that the existing players so like for us also there is a established brand , there is a established network , there is a good relationship with the network some of the initiatives what we started in terms of influencer management so all that ecosystem is set, now it all depends at what approvals the new competition is going to take but in our view it is not overnight game , companies may come in . There is advantage also because in the market like decorative

paint market like India where the size of big four or the organized sector is around 50,000 every year we expect a growth of around 10% so partly the new players can get absorbed from the growth also and rest it depends on what kind of approach it takes because it is a quality market so if you want to fight on a price the long-term sustainable growth becomes difficult so I think what is important is to focus in terms of our initiative , building network , building relationship with the dealers , influencers , creating growth drivers which we have been doing and then let us see that how it shapes up . As of now I can only comment that emergence of new players is good for the market because you see more innovation , you see more communication to that an extent more formalization happen maybe the penetration goes up , so these are some positive factors also .

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Page 8 of 16 Namit Arora : Got it . Thank you for your very detailed and candid thoughts Sir and all the best to the entire team thank you .

Moderator: Thank you . The next question is from the line of Atharva Bhutada from Purnartha . Please go ahead .

Atharva Bhutada : Hello Sir thank you for the opportunity so I just wanted to understand that in FY2024 will be able to grow double digit now because of such a poor quarter in the industry and then Q 3 do you think that we will be able to beat the industry .

Anuj Jain : So I can only say that Q3, Q4 the market growth will definitely be better and therefore the outlook for the coming quarters is better than the first two quarters how much the outlook looks to be at least the coming quarter , the double digit looks possible as of now and when you say beat the industry what happens is that there are different segments like as I said paint , putty, project , the new businesses so if you look at segment by segment today so whether it is a project or new businesses somewhere we are equal to the market somewhere we are little higher than the market but some of these high growth sectors our salience is lower so therefore some gap you see mainly because of the salience . For us what is important is that if we are playing in that particular sector whether that we are able to catch up with the market growth or able to do better so that is how we do our calculation but since

our salience is low sometimes there is a difference and therefore our attempt also would be that how do we increase the growth in a particular segment so that even the salience factor goes away but that does not disturb us because as long as every segment we are able to see other than this segment where we decide or choose that we do not want to play in a particular quarter because if the quarter market growth is high maybe sometime you want to participate in the volume driver product but if the market growth is muted so sometime that we go a little slow on that so I think that is the answer which I can give to your question .

Atharva Bhutada : Okay and Sir on a year on your basis for the second quarter according to the rainfall data that IMD has provided there has been a 12% dip in average rainfall in the country so what has happened that the paint industry has suffered such a significant blow to the demand .

Anuj Jain : You are saying paint industry has suffered .

Atharva Bhutada : A significant blow to the demand .

Anuj Jain : If we look at in terms of urban and rural the demand has been impacted in the rural sector now as you are rightly saying that the rains or we can call it a near normal so there may be a possibility and that there could be a better demand at least in the coming quarter because the monsoons have not been that bad . There is some deficit but it is like geographically some geography it is good , some geography it is not so good so in the geography that where it is

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Page 9 of 16 absolutely near normal there we expect a better demand and therefore overall at the country level if we compare with the Q2 to the demand definitely would be better in the coming quarters .

Atharva Bhutada : Okay Sir thank you .

Moderator : Thank you . The next question is from the line of Keyur Pandya from ICI CI Prudential life insurance . Please go ahead .

Keyur Pandya : Thanks for the opportunity . The first question is on the industrial side so if you can just give more quantitative details as to how we have grown in auto and non auto and what is the outlook for the second half in the industrial side since based on your presentation it seems that most of the engines are firing now , it is two wheelers segment was not participating in the growth now with four -wheeler , two wheelers as well as some other non auto industry doing well what kind of growth outlook you would give for the industry .

Anuj Jain : If we look at Q2 the passenger vehicle production growth of the industry as per the SIAM report is about 6% production growth so generally the paint growth goes in line with the production growth of the auto manufacturer is 6% and I think even in the coming quarters probably they will be able to maintain this kind of growth . Two-wheeler in the Q2 a gain as per the SIAM report the production growth was flat and maybe slightly negative also but in the coming quarters because the two wheeler growth is dependent on the uptake in the rural market so there are expectation as we talked to our customer that there are expectation that at least in some geographies the companies are expecting to see little better demand from the rural and therefore the two wheeler will get better . In the other non -auto like general industrial , performance coating I think based on the infrastructure , the spending from the government I think that sector is doing fine and it will continue to do fine , in powder coating probably there was some low demand mainly because of some few segment . There we have started seeing some kind of uptick and therefore going forward probably the growth could be better in those segments also .

Keyur Pandya : Okay just to clarify as you mentioned that in last three or four quarters that company has gained share in the auto OEM business and with higher share of premium cars , premium paints and larger size cars should not the paint growth be higher than the volume growth and in that context could we expect double digit growth industrial plus auto combined going ahead .

Anuj Jain : So it depends within the passenger vehicle you may be right but this get offset with the two wheeler because two wheeler numbers are also very large and there the growth has been little lower so only if you look at the passenger vehicle there it is possible but when I look at the automotive it is a combination of passenger vehicle , two wheeler , three -wheeler ,

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Page 10 of 16 commercial vehicles , and tractors so even if I like look at Q2 the commercial vehicle growth has been good , auto production growth as I said 6% , two wheeler growth is little negative and tractor also has been negative so as a combination if you see but only if you talk about the passenger vehicle you are right .

Keyur Pandya : On the decorative side with all the initiatives that we have taken in last four to six quarters

where do you see for the like to like category you growing faster or at least catching up with the industry and Q2 demand you just see because of the timing difference we have seen the slow down or there is consumer's low down that we are witnessing . So the slower demand that we have seen in decorative in Q2 is it just because of the timing difference of festive and monsoon or there is a genuine

demand season that we have witnessed.

Anuj Jain : So the growth , we are seeing of good traction in projects and the new businesses which we have started and there we are seeing a better traction within the retail categories , the categories like what we talk about , premium based on our influencer program me, architects services those initiative are supporting some of those categories and demand yes the demand has been slow one because of monsoon in fact this has become a trend now in fact we have seen that whenever Diwali is in November the third quarter growth is always better but the Q2 this year has been lower than expectation but yes we have seen some uptick in demand and we are hopeful that Q3 will be better .

Keyur Pandya : Sure thanks a lot and all the best .

Moderator : Thank you. The next question is from the line of Shirish Pardeshi from Centrum Broking .

Please go ahead.

Shirish Pardeshi : Good afternoon Anuj and Prashant for the opportunity . Just two questions in the beginning to my understanding the channel has told us that because the demand was subdued in the month of July and August so we had a early discounting by most of the industry participants in the month of August and the intensity has climbed up very high so the question here is that is the promotion or discounting intensity has now stabilized or it is still gone up because the demand what you have been saying looks better in the anticipation festive season is going to be good but still rural is not recovered so your comments on that .

Anuj Jain : I think discount intensity has gone up and as of now I cannot say it is stabilized but it depends that going forward that how it happens but as of now it has not stabilized it is still up.

Shirish Pardeshi : Okay the second observation is that what we understand the Q2 growth was largely driven by the economy emulsions assume that if the festive season pans out and there is a luxury premium segment which should come back and wedding season also will complement so

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Page 11 of 16 that means the margin what we have achieved there is a likely chance that the margin will move up because of the mixed change is that fair assumption .

Anuj Jain : In our case if you see as I said that within our mix the contribution of the premium actually has gone up and as I said that excluding the cement putty or growth is better so generally what happens is that when the market is subdued the growth is subdued that time we do not chase volume so much because it may add to the volume but not much to the value but when you see a better market growth then probably during that period that we would like to release some resources even for the volume driven product so to that an extent I think it gets balanced .

Shirish Pardeshi : Okay and the last question yesterday we heard one of the leading player said that the south there are problems maybe the rains are below normal so there are pains so in your understanding what is happening in south or I mean is the south not important to us .

Anuj Jain : No every market is important but obviously our market share is low in south or salience is lower in south. Generally south market gets picked up by the end of November or first week of December because December , January is supposed to be a good season time so we can only hope that by the season time I think south market picks up and it therefore gives some spur to the growth of the industry .

Shirish Pardeshi : Okay so if south comes back with the full sheen can industry expect a double -digit volume growth for second half .

Anuj Jain : Yes it is possible .

Shirish Pardeshi : Okay wonderful thank you and all the best .

Moderator : Thank you. The next question is from the line of Abhijeet from Antique Stock Broking .

Please go ahead.

Abhijeet : Hi Sir good morning , so my question was

on what would be the differential growth between industrial paints and decorative for you because our overall growth has been about 2% so I just wanted to get an understanding of what would have been the growth broadly in decorative and broadly , if industrial has grown at a higher rate then decorative sales would have been more muted. I mean just the difference between the two growth rates .

Anuj Jain : So I think I said at the start the decorative growth is marginally negative and excluding putty it is kind of flattish while industrial it is a higher single digit towards double digit

Page 12 of 16 Abhijeet : Okay got it so high single digit growth in industrial and with a 6% growth in production that we have seen in passenger vehicles that high single digit could still be sustainable right I mean in Q2, Q3.

Anuj Jain : Yes.

Abhijeet : Even at the current rate .

Anuj Jain : Yes.

Abhijeet : That sounds nice so only your decorative growth has to move up for you to do a high single digit to a double digit growth in sales cells going ahead.

Anuj Jain : Yes.

Abhijeet : Understood. Thanks Sir.

Moderator : Thank you . The next question is from the line of Tejash Shah from Spark Capital . Please go ahead .

Tejash Shah : Hi Anuj , hi Prashant for the opportunity . So when we entered the quarter the narrative or the expectation from the industry was that whenever there is an Adhik Maas and run up to the festive season is delayed we usually see good pickup in decorative paints but now when we are picking up commentary it seems that it did not turn out to be that way so is it that the underlying demand is actually much more weaker than what it appears on the number .

Anuj Jain : So you are right in terms of definitely the growth in the Q2 was lower than what industry has estimated and mainly if I break it up in urban and rural center I think the demand was tough in the rural market and rural segment also contribute good to the paint industry so in fact there has been some stress and the industry has been hoping to see uptick which so far we have not seen but based on some of the trend as I said it may not be across the country but some of the geographies we are hopeful that in this quarter mainly because of the good monsoons in some of the geographies we are hopeful to see that and if that happens then I think the overall demand of the industry will go up .

Tejash Shah : Sir the divergence between urban and rural is very stark or relatively rural is weaker and hence urban looks better or urban has actually definitely picked up in a stronger way .

Anuj Jain : Urban you can say picked up in the sense urban there is a normal demand and rural the demand has gone down . Rural contribution is good and therefore it is affecting the total demand .

Page 13 of 16 Tejash Shah : Got it and the last one so you spoke upon competitive intensity and this question has been asked in many different ways in last four , five quarters but from your experience you would have seen the industry has actually kind of fought with many challenges in last two decades and then still survived in a very strong way incumbents in particular would you qualify the new competition in the same bucket as in the way what we would have faced in last 20 years or this time the size of balance sheet with which it is coming you will say that this time it could be different .

Anuj Jain : So I would say this time it could be different because of the reasons as you rightly said but the basic effects of the industry remain same that what is the kind of brand you have , what is the kind of network in terms of dealers or the influencers you have and what are the drivers of the growth which industry is ready

with so I think those factors are there so

whether it is a big size player or small size player I think there is no answer available overnight so obviously people can come in as I said that it is always good for the industry to have more number of player because it always is helpful , beneficial for the industry in the longer run so that is what I expect that there may be a more good things happening in the industry rather than the bad thing and therefore the industry will prosper further .

Tejash Shah : And Sir last one on that . I am just trying my luck here . I am asking the forecast only here is crystal gaze , can the competitive intensity have a very different regional flavor or a market structure flavor as it could be very high at mass end or premium end or it can have a very regional flavor also that it could be very high on west and south and not necessarily north and east , do you have any such forecast if you can give.

Anuj Jain : It is very difficult for us to make any comment on that sorry .

Tejash Shah : Got it Sir that is all from my side and seasons greetings to you and the team .

Moderator : Thank you . The next question is from the line of Keyur Pandya from ICI CI Prudential life insurance . Please go ahead.

Keyur Pandya : Thanks for the opportunity again . Just one bookkeeping question in the Q2 the kind of

growth that we have seen in other expenses if you can just tell is it A&T or some other line item or there is one of them since the absolute growth itself is very high so if you can give clarity, thank you.

Prashant Pai : So other expenses as I said we have as per our plan and we have been mentioning quarter and quarter that we will be increasing our ad spent. We have been doing that as per our plan and that is one of the reasons plus other expenses are more which is in line with the inflation.

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Page 14 of 16 Keyur Pandya : Okay thanks a lot. Thank you.

Moderator: The next question is from the line of Amnisha Aggarwal from Prabhudas Lilladher Private Limited. Please go ahead.

Amnisha Aggarwal: Hi Anuj and Prashant I have just one question on the volume growth because I think couple of questions back so it was discussed that if we put say our total volumes in two buckets that is decorative and industrial then on the say industrial side while auto is doing well I would say powder coatings and all even durables are slightly tapered if you look at the overall sales of the industry and general industrial is I would say doing reasonably well so that is one bucket and the second is decorative which has not done that great so far maybe because of delayed festival season. Now if the automotive industry say grows by 5-6% say volumes and general industrial you can say powder coatings they might grow say in tandem then do you see a possibility that the decorative will have a momentum which will enable double digit growth rate for the industry in the second half of the year.

Anuj Jain : As we discussed that obviously if you see the break up between industrial and decorative the mainly the double digit growth is missed because of the decorative part and because of this Diwali momentum followed by the good marriage season which is expected in the month of November, December we are hopeful that this growth will get into the area of double digit volume growth.

Amnisha Aggarwal: In 4Q also.

Anuj Jain : Hopefully yes.

Amnisha Aggarwal: Okay and this time around I think the pricing will remain negative if your product prices are not changed.

Anuj Jain : Generally the price change that when you are able to see stability because now in the market still the volatility is there and as I said that going forward there may be some upward movement of the raw material prices so one will have to wait for that when it gets stabilized.

Amnisha Aggarwal

Amnisha Aggarwal: Okay that is useful, second bit is on you can say your putty, waterproofing and all the other you can say construction chemical segment you can say entered over the past two, three years so how are we trending over there any you can say idea which you can give us on market share or in terms of say distribution actually what is our movement and how we are progressing in those particular segments.

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Page 15 of 16 Anuj Jain : In water proofing, construction chemical areas specifically we have started doing better than the market in terms of the growth. Obviously our salience is lower because we started late but in terms of growth we have started doing better.

Amnisha Aggarwal: Sir can you share with us that how much that could be part of decorative now.

Anuj Jain : Overall new businesses would be about 7 to 8% of the decorative now.

Amnisha Aggarwal: Okay and that new businesses include all this,

Anuj Jain : Yes.

Amnisha Aggarwal: Okay thanks a lot.

Moderator : Thank you. The next question is from the line of Abhijeet from Antique Stock Broking. Please go ahead.

Abhijeet : Thanks for the follow opportunity. My question was on everybody has been asking for about competition, the competitive environment to intensify and all but on ground you will be able to tell me that or not I do not know but on ground have your large dealers seen I mean as the competition approach them have you seen any competition trying to tap the for large dealers have you seen that.

Anuj Jain : There are discussions in the market people are meeting but I think it is a little early because see the competitions have already entered. There are companies who have entered in last one year one and half year. Obviously whatever business is happening it is happening but that has not impacted much the industry and when you talk about some of the new players

who are going to come in , as of now obviously there is nothing , the product is not introduced or the packages have not been rolled out so I think it is little early to comment upon that .

Abhijeet : Understood thanks .

Moderator: Thank you . The next question is from the line of Atharva Bhutada from Purnartha . Please go ahead.

Atharva Bhutada : Sir I just had one question . I just wanted to understand if the rural demand is being impacted due to higher price increases that we have taken over the last four to five quarters .

Anuj Jain : Could be possible but parallelly industry has come out with lot of products which are there in the economy range also and generally in that what we are seeing in many of the

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Page 16 of 16 consumer industries there is a downgrading which is happening and so therefore there are products available which are at the price range so I think it is a matter of demand and to some extent I probably would agree with you that it is a downgrading so to that an extent it is a combination of both .

Atharva Bhutada : Okay Sir.

Moderator: Thank you . Ladies and gentlemen that was the last question for today . I will now like to hand the conference over to the management for closing comments .

Anuj Jain : Thank you every one for your patient hearing and we really appreciate for your continued support and this is a good part of the year in fact when there are so many festivities that we are approaching towards . From my side and behalf of Kansai Nerolac Paints Limited I extend the best wishes , greetings for Diwali to all of you . Please enjoy with your family and thanks once again . We will catch up again after the next quarter. Interesting times ahead for the industry but I think the industry trends have remained bullish in the past and will remain bullish in the future also . Thanks for attending and best wishes for the season , thank you .

Moderator : Thank you. On behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: Feb 2024

13th February , 2024

1. Corporate Relationship Department
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Sub.: Q3 FY 2023- 24 Financial Results Conference Call – Transcript

Ref.: 1. Regulation 30(6) of the Securities and Exchange Board of India (Listing
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2. BSE Scrip Code: 500165, NSE Symbol: KANSAINER

Dear Sirs,

This is further to the intimations done by the Company on 1st February, 2024,
5th February, 2024 and 6th February , 2024 with respect to the Conference Call hosted by
the Management of our Company on Tuesday , 6th February , 2024 at 1 6:00 hrs India Time
to discuss Q3 FY 2023-24 Financial Results of the Company.

We are enclosing herewith the transcript of the Conference call for your information and
reference.

For KANSAI NEROLAC PAINTS LIMITED

G. T. GOVINDARAJAN COMPANY SECRETARY

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CIN: L24202MH1920PLC000825
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Q3 FY '2 4 Results Conference Call ”
February 06, 202 4

MANAGEMENT : MR. ANUJ JAIN – MANAGING DIRECTOR – KANSAI
NEROLAC PAINTS LIMITED
MR. PRASHANT PAI – DIRECTOR -FINANCE – KANSAI
NEROLAC PAINTS LIMITED

MR. JASON GONSALVES – DIRECTOR -CORPORATE
PLANNING , IT AND MATERIALS – KANSAI NEROLAC
PAINTS LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Kansai Nerolac Q3 FY '24 Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you and over to you, sir.

Aniruddha Joshi: Yes. Thanks, Tushar. On behalf of ICICI Securities, we welcome you all to Q3 FY '24 Results Conference Call of Kansai Nerolac Paints. We have with us senior management represented by Mr. Anuj Jain, Managing Director; Mr. Prashant Pai, Director Finance; and Mr. Jason Gonsalves, Director, Corporate Planning, IT and Materials. Now I hand over the call to the management for initial comments on the quarterly performance, and then we will open the floor for question -and-answer session. Thanks, and over to you, sir.

Anuj Jain: Thank you, Aniruddha -- and welcome you all for Q3 conference call of financial year '23, '24. First of all, I wish you all a very happy new year. And as usual, we are grateful for your continued support and interest in our company. For the quarter 3 , of financial year '23, '24, we had a growth of 5.7% over the corresponding quarter of the previous year. If you look at the EBITDA, the growth was 27.3%. And in terms of PAT, the growth was about 40% over the same quarter of the previous year. 9 -month basis, the net revenue growth is 4.7% over the same period of previous year, and EBITDA growth is around 31.5% over the same period of previous year. Overall, for the quarter, the demand for industrial paint remained good. In automotive, the passenger vehicle continued its good run and 2 -wheeler, which was not so good in the previous quarters, we could see some kind of green shoot and some revival of the demand happ

ening in

the third quarter for the 2 -wheelers. Passenger vehicle, commercial vehicle witnessed a decent demand.

The other part of the industrial business, which is Performance Coating that also continued to do well. And it's also getting benefit from the infrastructure development spend by the government, the capex cycle, all that is supporting the non -auto industrial business.

In decorative, the volume growth during the quarter was in double digit. And primarily, it is driven by the festive season because this time, Diwali was in the month of November. And whenever Diwali happens in the month of November, the previous month see a good demand. So in October, there was a good demand.

In terms of rural, though there is some green shoot, if you compare with the quarter 1 and quarter 2, we have seen some recovery, but still the growth continues to be higher from the urban markets, especially the Tier 1, Tier 2 and the rural market or Tier 3, Tier 4 market growth, if you compare with the urban is the lower side.

Raw material prices were stable despite the volatility in crude oil despite geopolitical situation, but prices in the quarter 3 were stable. I'll give you some highlights for the quarter 3. And to start with our industrial business. So automotive, where our market share is high. We continue

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with our approach of focusing on the technologically superior products, which is in line with our strategy and launching sustainable technologies to reduce VOC and carbon emissions, so low energy products. We continue with that.

And some of the new segments which we discussed in the past that as a part of our strategy to increase the addressable size of the market, we have entered into some new segments, which is, for example, seam sealer, the underbody coats, alloy wheels, that business we have started, and we have started seeing some business contribution from these new segments.

In auto refinish, where our market share is low because we have been relatively a new entrant.

But continuously, we have been making a progress. And as a part of our strategy where we wanted to focus more on A -class body shops, which means -- which basically deal with the high -end premium polyurethane paints. So that salience is continuously going up in the auto refinish,

and we are able to add more and more A -class body shops.

In Performance Coatings, again, as we discussed in the past also that we wanted to come out of some business where the margins were very, very low, and that cycle almost we have completed. And our focus was more on the premium segment. Premium segments here include like bridges, the windmills, the appliances, construction equipment, helmets and the powder also is a part of Performance Coating Division, where the premium segments include rebar, pipe coating, the alloy wheels, all these segments that we have started participating because we need approval. And since we started getting approvals, so our salience in overall Performance Coatings division from the premium also is going up now continuously and consistently. So overall, in the industrial, we have been able to recover our margins, that what we have been targeting what we have been looking at the objectives, we have been able to recover.

Coming to decorative. Some of the key growth drivers, which we discussed in the past, the Paint+, the differentiated product we kept on introducing and we are seeing that last year, we started getting a decent salience contribution from the Paint+ products. And this year also the salience is going up. And this is also helping us to increase overall saliency of the premium products in our portfolio.

The influencer program and services where, in fact, our concentration was in terms of the painter program and also establishing next -gen services. But there also, in fact, every quarter, we are

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making our progress now, and it is gaining momentum.

The project business, where our participation was lower, and we expanded a number of towns. Our salience is going up now. And our growth also based on whatever information is available, probably we are better than the market. Also in the new business, which includes wood finish and the water proofing in the construction chemical, now we are having a growth which is better than the market growth.

We have in line with our strategy, have been increasing our marketing spends. So even in third quarter, we have increased our marketing spends and enhance the visibility. And all these efforts are helping us to expand our distribution and network. Some of the new products, which I just spoke about, what we launched in the recent past is -- we have launched some product in the --

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under the brand of Kansai -- so this is like a Japanese brand, Kansai Select. It's the designer finishes like a very high -end premium designer finishes which we have introduced on a select basis in quarter 3.

In the popular and the economy segment, we've introduced the Beauty Little Master Sheen. This is across the country, and we've got a very good response. This is a unique product, which has a very good sheen, which is equal to a premium, but at a price which is basic category, which is matching in the basic category of the economy range. We also introduced some niche products like the polyurethane floor coatings and these products have excellent adhesion resistance ..

We also introduced -- in fact, we have introduced Impressions Kashmir in the earlier quarters.

We came out with the variant of High Sheen. In some of the markets, some of the states in the country, they prefer a very, very high sheen level. So we have introduced High Sheen and also a Matt. So with this, within the Impression Kashmir, we have High Sheen, Mid Sheen, and Matt, so there are multiple variants which are available.

We also introduced one more unique product, which is a Crystal Seal, which acts like a putty, but it helps in the waterproofing. So some of these products we have introduced in the recent quarters.

As I spoke about next generation pending services, which is gaining traction and our digital presence is going up. So now we are present in more than 450 towns. But if you look at the active lead generation we have started doing in more than 170 cities where we do our target marketing, we generate the leads and convert it to our business, and we have developed the capability to paint almost 4,000, 5,000 homes on a monthly basis.

For architect, interior designer, we have launched a program called Illuminati in the market, and that is also gaining traction. So we are able to reach out to the architect, demonstrate the benefits of our Paint+ product and started generating business through them. And whatever business we are generating from this program, it has a high saliency of the premium products.

New businesses, I spoke about, that overall growth is higher and the salience also is continuously going up. Similarly, it is happening in case of project business also. Our network expansion is in double digits, and that's the rate which we are growing at. Some of the other highlights for the quarter, the capacity expansion project at Visakhapatnam and Jainpur, they are on track as we announced earlier. And capacity utilization is around 60% at the YTD level.

We have been speaking about our ESG initiatives in the past, and for that, in fact, we submitted our application to SBTi. And as of now, we've become probably the first Indian paint company

to get approval from SBTi for near-term science-based target for GHG emissions, which reduction is in line with the 1.5-degree pathway. So that's something that which we feel good about. And so these are some of the highlights related

to industry business, Japan business and some other highlights, which I just spoke about.

Now welcome you all for the questions.

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Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mihir Shah from Nomura. Please go ahead.

Mihir Shah: Sir, so I did hear you indicating that in the projects business, the waterproofing business, the wood coating business you are doing much better than market growth. Can you talk a bit more on the Paint+ and Influencer strategy, and given it has become meaningful, can this lead to better than peers' volume performance for FY '25? Or do you think we can or we will still be able to grow in line with the industry or the market rate basically?

Anuj Jain: So Mihir, when we talk about Paint+, this initiative is about the performance product, because paint is generally known for sellers. So we are coming up with more and more products, which talks about the performance. As I gave example last time also that we launched Excel Everlast, which is about 12 years of warranty and it's a self-cleaning property, the no-smell paint and salience is going up, it is now in the high single digit. The advantage of this strategy is that it keeps us insulated from the competition as we go forward and as we increase the salience more and more.

Also, these products, the margins are good. And as the sale of this product goes up, it will also help the premium saliency going up. So that's the Paint+ and influencer strategy and the service strategy what we have taken, it's ultimately, what we said is that we would like to work directly with the users. So it could be a painter, contractor.

Contractors are there in the project business and also from the service point of view, reaching out directly to the consumer. So that talks about that the brand what we have, the number two mindshare brand that we are able to reach out to the users directly unable to generate the business.

So to tell you that whether it gives higher or lower, the important point is the segment level today we really look at, because some of the segments like project and new business, we were under-indexed. So our salience is lower and the market salience is higher. If we convert it to a market salience probably that our growth definitely will be equal to the market growth.

And yes, we feel that we have seen the green shoots of all these initiatives, and therefore, it gives us the confidence, that keep working on these initiatives. And I think we're in the right direction to see that our growth is equal or better than the market.

Mihir Shah: Understood, sir. Just a quick subpart to it for the near term. In the fourth quarter, there is a high-volume base that is there. Is the pickup in demand strong enough to drive double-digit growth in the fourth quarter as well? Any indication from Jan month that you can give, I believe, Market Leader indicated in December the growth had kind of fizzled away -- in December, the growth has fizzled away a bit. But your thoughts on the near-term demand and can double-digit growth sustain over the coming quarters?

Anuj Jain: My comment is that going forward for a few quarters, the demand would be volume led. And maybe a possibility of closer to the double-digit growth remains.

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Mihir Shah: Got it, sir. Sir, second, I wanted to ask on how should we think about the gross margins given that the industry has started taking price cuts despite reaching historical high margins of 40% that you had achieved pre-COVID. Can one expect gross margins to get better from current levels despite the price cuts as raw material prices are lower? And the quantum of price cuts, you would have also taken about 1.5% price cuts in November

and 1.5% in mid-Jan, right? I

mean -- and is there any price cut in the industrial part of the business as well?

Anuj Jain: So Mihir, gross margin, if you look at the category level because in our case, the mix changes on a quarter-to-quarter basis. But at the category level, our endeavour will be to maintain the gross margin. And yes, we have taken a cut in decorative for the price -- price cuts we have taken approximately around 3%.

See, the deflation has been better in Decorative or can say water-based product. But in the

solvent-based product, it is a little different. So -- and the situation looking forward is still not stabilized, still not very clear because there's a volatility in crude and the geopolitical situation. So as of now, in industrial, we still want to wait and see that when the prices get stabilized, then take appropriate call.

Mihir Shah: Okay. Got it. Sir, two small bookkeeping questions. There seems to be a material step-up in employee cost and other expenses. What can this be attributed to? Is it the -- is it the steps to retain talent or limited attrition and higher ad spend in the wake of increase in new organized competition or any new facility that is -- which is driving this higher cost. And these costs, can this cost be at the -- it can sustain at these current levels? Or it can mean revert towards the downside basically to the historic levels.

Anuj Jain: Mihir, that in other expenses, one is the advertising-marketing cost, which we have stepped up in the quarter. In fact, it is more than 1%, we stepped up YTD level also, it is around 1% is stepped up, and this is basically to enhance the visibility. Also, this target marketing service is what I'm talking about, the targeting marketing what we have started doing. So that's one part of it. The other parts is the digital because all these initiatives are completely supported with the digital platform, and we have made a good investment, because maybe was our long-term advantage in the market. So that's a part of the other expenses.

And the -- for these employees also, one is the -- all these initiatives for that we have created a separate structure. So you can say there are new teams to support the services, to support the architects and that's how it is reflecting into the employee expenses.

Mihir Shah: Okay. Got it. Got it. Sir, fourth quarter last year, and maybe Mr. Pai can elaborate on it. The tax rate was lower than the 9-month average. Can you just jog our memory into if there was any one-off. And will there be a lower tax rate in fourth quarter this year? Or will it be similar to 9 months that we have seen in this quarter?

Prashant Pai: It will be similar to the 9 months.

Mihir Shah: Got it. Got it. Sir, lastly, any words on the INR1,100 crores watches that you've created. I know that you've indicated that your first priority will be towards business growth. But any more

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elaborate -- you've sold two large land parcels. Any more insights on that will be really appreciated.

Anuj Jain: No Mihir, I think we stay with the earlier comments what we have given.

Moderator: the next question is from the line of Avi Mehta from Macquarie. Please go ahead.

Avi Mehta: This is Avi here. I just had two questions. Sir, first, on the margin front, for the 9 months, we have done at the stand-alone level of margin of almost about 14.5%, 15%. How should we look at EBITDA margin on an annual basis, especially because I was not clear on the demand side. I -- we have heard that demand has weakened in December.

And hence, should that be a cause for concern? Or do you -- how should we look at annual margins for this year and probably a sense on how do you look at this on a going forward basis, would be useful?

Anuj Jain: So demand was, within the quarter if you compare with the October demand was

weakened in

the month of December. And as I said, that going forward, the demand would be volume-led because some of the price reductions in the decorative also will bring down the average selling price. So we'll have to wait and watch and see.

But I think as of now, the direction we can take that is still the volume growth would be there in the coming quarter. That's one part. And the gross margins, overall, I think we have been talking about for the entire year because quarterly because of the mix changes, but as we have been talking about within 14%, that is what we are actually looking at.

Avi Mehta: So 14% to 15% mark or 13% to 14%? Sorry, sir, I didn't quite get a sense on when you say 14%.

Anuj Jain: Around 14%.

Avi Mehta: Around 14% for the full year. Okay, sir. So the second bit I wanted to kind of just also -- you've highlighted a lot over the last few quarters, the focus on the industrial side and especially moving it there up the curve. Would you be able to give us a sense on how should this translate in terms of margin profile? I mean what I'm trying to get is industrial margin, for example, you said that you've reached the level that you were targeting.

So maybe it was pre-COVID levels for x, you are probably back to those levels. I'm not sure what that means. But because of these initiatives, would that x percentage number pre-COVID become x plus 200 basis points, x plus 300 basis points? Or will it remain at that pre-COVID level and the volatility will reduce. How should we look at these -- the end result of these initiatives being kind of panning out?

Anuj Jain: How we should look at the way is that if you remember that we have been saying that margins have gone down low single digit, and we were saying that we need to go to the double-digit

margins and then create a situation where we are able to hold on to their margins. So that's what we are looking at because as I said that once the prices stabilize, then there may be a possibility of some price pass-through. But we have -- we are in double digit now. And based on the strategy

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on the initiatives what we were discussing or the premiumization, which is -- which we are doing in some of the segments in the industrial business, what we are looking at, that we are able to hold on to this double-digit margin.

Avi Mehta: And sir, would these also result in volatility in margins going down as we -- even -- because of raw material inflation versus what we used to see earlier. Would that be a fair comment?

Anuj Jain: Yes, if you compare with the past, yes.

Moderator: And the next question is from the line of Abnish Rao from Nuvama. Please go ahead.

Abnish Rao: My first question is on market share in Deco. In last 9 months based out of the Market Leader how do you compare your performance in Deco and now we are just 1 month away from the large player entering. I understand whenever a new player enters, market share losses are inevitable. But from a growth perspective, would you need to change your strategy in a big way because in the last 20 years, we have seen many players enter, but most players have failed to really build up any scale.

Taking that into account, are you looking at any big change in terms of marketing spend, distributor policies, etcetera, or more product launches? If you could give some color. I understand it depends upon the new player strategy. But any sense you are getting because the new player has already come out with the painting solution business and some of the imported wood finishing business. So till now any impact of the new player?

Anuj Jain: So Abnish, the -- I think the one is you are saying the impact of the new player. And your first question was?

Abnish Rao: On the Deco market share, last 9 months, any color you can give.

Anuj Jain: So like we have been talking

about that in the past for maybe 1 or 2 years, we had a difference from the market growth. And our first endeavour was to catch up with the market growth. For that, we have been looking at the segment level, the project business, the new business, the putty segment, and the retail segment. So some of the segments we were under-indexed, and then we took certain steps. So in wood finishes and project business, we are higher than or better than the market growth now.

Putty business earlier our participation was selected, but we said that is our commodity and may at right time when we want to participate, we can slightly up our discount and see a better growth. So that's also we have started doing now in the selective market. And so at the segment level if you look at, few segments, we are better; few segments, we are very close to the market growth. So overall, we can say that we are in the line. We are close to the -- in the line with the market growth. That is one statement.

And when you talk about the new player, I think this -- there are -- one is that I think I said earlier also that the new competition, the healthy competition is always good for the industry, and that is what I hope that there's a healthy competition because then more players participate,

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you may see upsurge in the formalization -- sorry, reformation of the industry, and there may be a better penetration, so it can help the industry growth also.

As far as we are concerned, our strategy was that we wanted to focus on Paint+, the influencer initiative, the services, those kinds of things. And since we have been seeing that on quarter-on-quarter basis, we are getting a good green shoot in those exercises, we would like to remain focused on our activities because ultimately, this business is all about creating a demand with the influencer and from the painters and the architect. And that is what our activities are focused upon. We have already deployed the resources and efforts in that direction. We would like to remain focused on those activities.

And also like our business has been higher in North and East. So we have a good potential in the market like West and South, where in fact, with these activities, now we have the growth drivers available, we feel that we should be in a position to remain active in the market and continue to work on our focus activities to do better.

Abnish Rao: And till now any impact in -- from the new player in paint solutions or wood finishing?

Anuj Jain: No, as of now nothing

Abnish Rao: One related question was on your new business; you mentioned your growth rate is higher than

market. Now obviously, that's on a much smaller base. Here would you expect that longer term, just like in Deco paint you are number 3 player with say the low teens market share. So would you expect that in construction chemicals and other new businesses also, as for putty, putty I understand is very commoditized. In rest of the new business, would your market standing be similar, number 3, within paint companies. I understand there are non-paint companies also. But within paint, would you have the ambition of being the number 3 here also?

Anuj Jain: So what we are targeting internally is that our saliency should be equal to the market. As of now, it is lower. And if you are able to achieve that, then the market share would be equal to our total decorative market share.

Abnish Rao: Right. Now second question is on the projects business. How is the margin profile there that is much more competitive? So if you could talk about the margin profile in that part of the business?

Anuj Jain: So margins, if you compare with the retail, definitely they are lower. But if you look at the EBITDA level, because that's a direct B2B business, so if you remove the marketing expenditure, advertising expenditure

ure, still it will remain lower, but I think it's good. And also, like in the retail business, there's a mix of solvent and water based.

Water-based margins are higher, solvent-based are lower. And while in the project business, most of the sale is happening on the water based. So though margins are lower than the retail, but I think still it is good. And the manageability of the business because most of the bulk business, so the other indirect factors in terms of freight and all those things, it becomes a decent business.

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Abnish Rao: Sure. My last question is on the Deco mix. So currently, there is a general slowdown in consumption. I'm not talking about paint. If you see any form of consumption, there is a slowdown currently. But in spite of that, premiumization is also still happening, which is quite possible in a large country, two different themes can be there. My question is, what is pre-COVID in terms of premium part of the mix? How would the number be for you in terms of premium as a percentage of portfolio within Deco, pre-COVID versus now?

Anuj Jain: So our saliency in the premium segment was lower. Maybe for the market, it is premium saliency would be more than 30%, 30%-35%, while in our case, the saliency was lower. It was around 25%, which we are trying to increase and the saliency is now closer to 30%.

Moderator: Thank you. The next question is from Jay Doshi from Kotak. Please go ahead.

Jay Doshi: Two questions. One is, when I look at your volume growth and if calculate your value growth, the gap seems to have widened in this quarter or this year versus what it used to be maybe a year or 2 years back. And I heard you mention that you are now more aggressively participating in putty in some of the states, which is a segment that you avoided earlier. So is that the reason why volume growth is looking very strong? Is it partly driven by your higher participation in putty this year?

Anuj Jain: So there are three reasons to that. One is the better participation in putty. Second is we have introduced as a part of construction chemicals; we have introduced the products like tile adhesive and admixtures. So there also -- those are like low ASP products. So that is the second reason. And third reason is that in some ancillaries and undercoats, there is some kind of down trading. So especially like if you look at primers and the other putties because we have come out with a lot of products which are more affordable products. So there is some down trading there. So these are the three reasons why the gap between the value and volume is higher.

Jay Doshi: That's helpful. So if you could give us some color in terms of our core decorative portfolio, if we leave aside the low-end products that you've introduced recently, what are the premiumization versus down-trading trends that you see at the portfolio level?

Anuj Jain: Premiumization, as I said that the premium saliency has gone up and down trading is happening in the undercoat. Undercoat contribution to the total business would be about maybe 15% to 20%. So there, the average selling price has come down.

Jay Doshi: Understood. That's helpful. Second is you've called out that 14% is your ballpark margin band for this year. Given that there will be more competition next year which would require higher investments either in the form of marketing, advertising, more aggression on projects and slight changes to trade schemes, what do you think should be the right margin band that we should think of -- your operating margin band for next year, assuming commodity prices remain where it is today?

Anuj Jain: Prashant, do you want to answer?

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Prashant Pai: Okay. So Jay, it's very difficult to answer this question because the thing is how the competition

is going to react with the new entrants and how it is going to pan out is very difficult to comprehend now. But still there will be some margin -- impact on the margin. But as we are also, as I said earlier, we are also knowing fully well this -- the competition is very intense in the Decorative field. We are focusing very hard on the industrial non -auto business, where we see a very big potential and chances of margin improvement in that area. So overall, we see some complementary in that section, which will help us to at least protect our margin.

Moderator: Thank you. And the next question is from the line of Keyur from ICICI Prudential Life Insurance. Please go ahead, sir.

Keyur: Just wanted to understand on the margin front, I mean, with raw material prices settling in that too at a lower level, what is the reason you are seeing for, say, gross margin volatility? Or is it - or EBIT margin volatility? I mean, is it because of the reinvestments in the brand building or at the gross margin level you are guiding for some volatility in your margins?

Anuj Jain: Gross margin. See volatility has been there in quarter 3 also despite that the raw material prices remained benign, stabilized and maybe expectation in the fourth quarter also. But we cannot rule out, because volatility is there, so we cannot completely rule out the possibility of the -- and the margins. But as of now, what we are working is that at the category level, the margins may be protected. And -- but at the EBITDA level, yes, the expenditure, which we are up in terms of marketing manpower and the digital that will have -- that will cause some difference between the gross margin and the EBITDA.

Keyur: The second question was related to this higher opex in employee costs that we have seen increased Q-on-Q also and year-over-year also. So any one-off initiatives or activation, or this should be the run rate we should go ahead with if you can throw some light on that?

Anuj Jain: You're talking about the marketing expenditure, right?

Keyur: Basically, this quarter, employee cost as well as other expenditure is higher substantially year-over-year as well as Q-on-Q with similar revenue numbers.

Anuj Jain: I think I just spoke about it, that one, in the marketing, the areas of this obviously, the target marketing, the enhanced visibility what we have done. And also because of this new initiative, we have ramped up our team and we have created a new team structure. So that's it. And obviously, that cost is a part of our business today. So that is how it will move forward.

Keyur: We should go ahead with similar run rate in future?

Anuj Jain: Yes, yes, yes.

Keyur: Okay. And just last question on the industrial side. I mean some -- we keep on hearing about some moderation in demand, if not slowdown in these 4-wheeler and commercial vehicles, though 2-wheelers are doing well. So net-net, at an industrial level, both auto and non-auto, what kind of growth do you expect for, say next financial year or next calendar year in absolute terms?

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Anuj Jain: So I think the outlook is positive, because if you look at passenger vehicle, this year also the production growth of passenger vehicle is in the range of 5% to 6%. And the 2-wheelers, quarter 1, quarter 2 were actually negative. Quarter 3 was good. So we feel that 2-wheeler will get revived. So even though I feel that passenger vehicle also may remain at 5% because today, also the penetration of even 4-wheeler is just 6% in India.

So the overall next 3 years, 5 years outlook, if you really see it is quite positive. But in case if there is some slowdown in the auto demand, it should get compensated by one, the two-wheeler, where, in fact, the last 2, 3 years, 2-wheeler has taken our dent and there were multiple reasons. One is the COVID, the o

ther is the technology, and the third is the compliance, B-IV, B-VI.

So last 3 years, a lot of things have happened, and the base is reduced. So I feel that in the coming year or next 2, 3 years, the growth in the 2-wheeler would be definitely better, maybe 8% to 9%.

And also the commercial vehicle today is growing at a decent rate. But with the infrastructure going up, the infrastructure expenditure, commercial vehicle may do better.

Tractor industry has been under stress for the last 1 year, 2 years. Actually, the production growth is negative, and it is always cyclic in nature. So with the good monsoon, the elections around the corner from the next year, we feel that even the tractor industry may do well. So we are positive about tractor industry, commercial vehicles in the 2-wheeler. And if there is some downtrend in passenger vehicle, these 3 factors will compensate. So overall, the auto should do well.

Keyur: In general industrial?

Anuj Jain: In general industrial also, it is good, because again these sectors and specifically, if you look at the infrastructure spend by the government, and all this is helping the sectors like power, the plant, building, the infrastructure projects. And there, we are participating through the general industrial.

The infrastructure projects like road, bridges, bullet train, and these projects we are participating. In fact, we are already -- have already started supplying the pre-engineering building, the genset, the transformers. So we are seeing a good prospects there, and that's also a part of our focus area. So there also, we see a good dem and.

Keyur: So just one last question, which is a follow-up to this is with all the avenues that you mentioned and with relatively stabilized and lower RM prices, the industrial business should witness double-digit growth in terms of revenue, if not volume, with better margins than what they used to be, say, in current financial year?

Anuj Jain: So the growth, definitely, the outlook is positive, 8% to 10%, it may be closer to double digit. That outlook is positive. Margins, as I said that in the decorative business, on the water based, the prices reduced and we had done some kind of price reduction in the market. But in the solvent and most of the industrial-based products are solvent-based products, where the deflation is not that much.

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And also, we want to wait for the prices to get stabilized or get some clarity or visibility for this geopolitical situation. But once we are able to cross that, there may be some kind of price pass-through. What is important is the strategy we want to hold on to the margins.

Moderator: Thank you. The next question is from the line of Atharva from Purnartha. Please go ahead.

Atharva: I just wanted to address on demand front, for the decorative paint, how do we see the demand going forward for the next financial year?

Anuj Jain: I think in the last 10 years, the volume growth has been double digits. So we still feel that there's no reason that why the volume growth should be -- I think 8% to 10% is the answer.

Moderator: Thank you. And the next question is from the line of from Ajay Thakur from Anand Rathi Securities. Please go ahead.

Ajay Thakur: Sir, I have two questions. One was trying to understand more on the ad spend or ad and say promotion spend. What would be that as a percentage of sales for Q3 and for the 9 months, any number?

Anuj Jain: You are talking about the advertising expenditure, right?

Ajay Thakur: Right, right.

Anuj Jain: Prashant, advertising expenditure?

Prashant Pai: As a percentage?

Anuj Jain: 4.5% to 5%? It's in the range of 4.5% to 5% for YTD and quarter 3, it is higher than 5%.

Ajay Thakur: And just wanted to crosscheck...

Anuj Jain: Your voice is not clear; we can't hear you.

Ajay Thakur: You mentioned Q3,

we have seen a 3% kind of a price correction. I was -- just wanted to cross check on that?

Anuj Jain: No, no. In Q3, there was about 1.1% or 1.2%. And the other price change has happened in the month of January.

Ajay Thakur: Okay. So including that, it was 3%?

Anuj Jain: Yes. Yes.

Moderator: Thank you. The next question is from the line of from Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: In terms of distribution, where we see we're ending the year FY'24 with number of output total reach. And if you can provide a bit more color on the distribution, means how much -- how many

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tinting machines are there in place right now. Also the distribution on a region-wise basis? If you can give some color, even if qualitative, it would be great?

Also, we have seen the number of dealers for the market leader have crossed 150,000. So the gap between number 1 and versus number 2, number 3 player has in terms of distribution reach has become very wide. So do you see there is any scope to expand in next 2 to 3 year?

Anuj Jain: The last year, our distribution numbers in the Decorative was about 29,000, 30,000 and this year, we are expected to grow at the rate of 10%. So that is how the distribution would end at. Region-wise, in fact, North, relatively we are better in North, followed by East, West and South. So that

is how the distribution also flow.

And in comparison to the market, so what is comparable is because today around 85%, 90% of the business comes from the machine counters and our machine penetration is more than 70% in total counter. And if you compare with the market also, that 150,000 -- it may not be comparable on the 150,000 because that includes many other segments. So I think that if you typically look at the paint, that the distance is not that much. So it's not a comparable number of what we are talking about and what number you are referring to.

Aniruddha Joshi: Sure, sir. And sir, in terms of the new product launches, sir we would have crossed, I think 50% of the distribution reach of own distribution reach or there is difference move to extend the reach for the new product launches also?

Anuj Jain: New product reach in the distribution, you're saying?

Aniruddha Joshi: Current distribution reach definitely 100%.

Anuj Jain: Yes. Definitely. It's not for every product, you are touching 50%. But put together the basket of the new product, the reach definitely would be more than 50%.

Aniruddha Joshi: Okay, Sir. That's very helpful. Now the painting services business has also -- we see a lot more in a way, management commentary about the painting services as well. So our next gen has also crossed 170 cities. So how big it would be crucial it is considered the enough portfolio also arise?

Anuj Jain: So, the services as another consumer behaviour is changing and especially in the Tier 1, Tier 2 towns, now people want to go for the organized services. So this market used to be 1% or 2% of the total paint market earlier. But we feel that in going forward, in 3 years' time or 5 years' time, it may be a 10% of the market. So that is what we are looking at. And obviously, the contribution of the -- it's not necessarily premium, but you can say popular or premium is higher in this particular category. So more and more business we generate through these services, it helps you in increasing your mix.

Moderator: Thank you. The next question is from the line of Avi Mehta from Macquarie. Please go ahead.

Avi Mehta: Sir, I just wanted to clarify the 8% to 10% expectation of which we -- for the next year, is it from a value perspective or a volume perspective?

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Anuj Jain: Volume perspective.

Avi Mehta: Okay. And 14% margin for this year, next year, we'll have

to wait and see. Got it, sir. Anything

on the industrial side, sir? Which you would kind of expect a double-digit growth to continue over there despite the auto segment probably having high base?

Anuj Jain: 8% to 10% is what we feel would be outlook.

Avi Mehta: From -- again, from -- but there it will be value, sir, right?

Anuj Jain: Yes, that will be a value perspective, yes.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Anuj Jain: Thank you, everyone, for your patience and attention. And thanks for all the questions. Your questions always give us some thoughts. And I'm seeing a lot of questions in terms of I think there is a relation with the new competition, which is entering the industry, and that's why probably there are questions in the mind that what will happen to the revenue, what will happen to the margins.

So we acknowledge that there's an entry of new competition, but it's a development that speaks about the attractive nature of the paint industry. But I think our confidence remains in our strength, which is more than 100 years old brand, a loyal customer base, the diversified mix in terms of decorative, industrial non-auto industrial.

And the use of performance products, the Paint plus what we are talking about and also working directly with the users through services and the influencers. So as of now, where we stand, we are focused on our work and definitely look forward to navigating this evolving landscape in the paint industry. Thank you so much for attending this call.

Aniruddha Joshi: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: May 2024

(no extractable text — likely a scanned image PDF)

Call: Aug 2024

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h August , 2024

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Dear Sirs,

T

his is further to the intimations done by the Company on 24th July, 2024, 30th July, 2024 and
31st July, 2024 with respect to the Conference Call hosted by the Management of our Company on
Wednesday, 31st July, 2024 at 11 :00 hrs India Time to discuss Q 1 FY 2024-25 Financial Results of the
Company.

W

e are enclosing herewith the transcript of the Conference call for your information and reference.

F

or KANSAI NEROLAC PAINTS LIMITED

G

. T. GOVINDARAJAN

COMPANY SECRETARY

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"Kansai Nerolac Paints Limited Q1 FY -25 Earnings
Conference Call"

July 31, 2024

M

ANAGEMENT : M R. ANUJ JAIN – EXECUTIVE DIRECTOR , KANSAI
NEROLAC PAINTS LIMITED

MR. PRASHANT PAI – DIRECTOR FINANCE , KANSAI
NEROLAC PAINTS LIMITED

MR. JASON GONSALVES – DIRECTOR - CORPORATE
PLANNING , IT & MATERIALS , KANSAI NEROLAC
PAINTS LIMITED

MODERATOR : M R. ANIRUDDH JOSHI – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Kansai Nerolac Paints Q1 FY25 Conference Call hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you and over to you sir.

Aniruddha Joshi: Thanks Aditya. On behalf of ICICI Securities, we welcome you all to Q1 FY25 Results Conference Call of Kansai Nerolac Paints.

We have with us today Senior Management represented by Mr. Anuj Jain - Managing Director ; Mr. Prashant Pai – Director Finance and Mr. Jason Gonsalves, Director of Corporate Planning IT and Materials.

Now, I hand over the call to the management for initial comments on the Quarterly Performance, and then we will open the floor for a question-and-answer session. Thanks, and over to you, sir.

Anuj Jain: Thank you, Aniruddha. Good morning, everyone, and greetings to all of you. Grateful, as usual, for your continued support and participation in such calls. Thanks for joining this call of Kansai Nerolac Quarter 1 Financial Year '24-25.

For the quarter, as you would have seen in the results, the top line is down by approximately 1% and gross margin expanded by around 1.7%, 170 basis points. And profit before tax is up by 6.2%. If you look at the segments, in industrial there was a good demand in automotive coating, especially the passenger vehicle witnessed decent demand, and two-wheeler witnessed a strong growth in the last few years two-wheeler was not doing so well. But from last year, in the third quarter, the two-wheeler picked up and that trend continued. The performance coating, which is a non-auto segment, which is dependent on infrastructure growth witnessed subdued demand due to elections in this quarter but picked up in June 24.

In Decorative overall demand was muted due to unprecedented heat wave and election.

However, during the quarter new business which include premium wood finishes, construction chemicals, waterproofing, saw robust growth, also project sale institution

sale, which is one

area under our strategy where we have focused also witnessed good demand growth. Despite this muted demand, the premium saliency has increased, which is also reflected in our gross margin, part of it is reflecting in our gross margin expansion. If you look at urban markets and rural, urban market is still doing better, rural there are green shoots quarter-on-quarter basis some improvement, but still rural is behind urban. During the current quarter, we started seeing raw material prices trend going up in some of the key raw material categories, but during the quarter

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we were able to manage it judiciously through product mix, marginal advantage of inventory and the cost saving initiatives.

If we talk about some of the initiatives related to our industrial business specifically in the automotive. Our approach continues to focus on some of the unique high end technology solutions, which is in line with our strategy of launching sustainable products to reduce resource use and carbon emission because that is also one of the requirements of our marquee customers.

New technology customer base has been expanded and the new products has been deployed at a more number of customers.

Some of the highlights are:

Low bake epoxy CED is introduced at more number of customers. This basically helps in terms of bringing down the baking schedule, the temperature and therefore indirectly helps in energy saving and emission saving, so cost and emission, environment both. The technology is sustainable low flash off which is a single stage, compact three coat, one bake system also implemented in some more customers, and this also will help reducing the painting cycle at the customer end and therefore increasing the productivity and saving energy and the emissions. Direct to metal coats, mono coat was again introduced in some of our customers. Traditionally there are two coat system, there are three coat system, now it's a mono coat system, again helpful to increase the productivity. Then there are some more technologies in low bake and emission free, including tin free CED which is high solids and it devoid of heavy metals. And we have started, we have launched it sometime in the last year, but now we have started expanding it to more number of customers.

Some new segments which were introduced which we have been speaking about, include seam sealer, underbody and alloy wheels, continuously quarter-on-quarter we are seeing a good traction and the salience to business is going up. Electrical vehicles, which has been a focus area

from the government and also in the auto industry, the penetration in four-wheeler of electrical vehicle as of now is low, it is 2% so may be from last year or last two years it has gone up from 1% to 2%. In two-wheeler now it is around 7% and in three-wheeler it is more than 50%. In EV segment also which is emerging trend our market share is in line with our overall market share what we have in auto. We are conscious of ensuring that our market share is also high in this segment.

Coming to the other part of industrial which is auto refinish :

Auto refinish market . in terms of our strategy, we are focusing on adding a greater number of A class body shops to basically consume more premium, the high-end PU, polyurethane coating .. So, we have further expanded the A class body shops and our salience in this premium polyurethane coating within auto refinish has gone up significantly.

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In performance coating, which is mix of liquid and powder. One of our new focus area was also to concentrate on high tech premium items which include bridges, windmills, appliances, construction equipment, helmets, and there we again our saliency last year also it has gone

up in

the 1st Quarter within this the premium saliency has gone up . In powder coating premium items include rebar , pipe coating, alloy wheels, construction equipment, which is an upcoming trend, and these are likely the growth drivers for the future also.

Coming to some of the highlights in Decorative:

We have been discussing paint plus which is a range of products which are different and democratic. We have introduced more number of products and the saliency of paint plus product is continuously going up in this quarter . Paint plus also helps the premium ization and even in this quarter the saliency of premium range of products has gone up compared with the last year . Some new products we have introduced in the market, one is texture range designs, and these are very , very niche unique premium designs which give you a different kind of textures and designs on the wall which comes from Japanese culture or Italian culture. This is one range of products which we have introduced, we have introduced one new product Excel No Dust, it's a long-lasting paint with excellent dust pickup resistance. We have also introduced Wow White. Wow White is a range of whites which were introduced in some of our products. They are in the premium category , and it has an exceptionally good whiteness and higher coverage, almost 15% higher coverage if you compare it with any of the products which are available in the market. In construction chemical we have introduced membrane that's a new introduction what we have done and in wood finishes two component polyurethane , one component polyurethane , some of these products we have introduced, there are some more introduction in the wood finish range which has happened in the 1st Quarter . We have introduced lot of products and the contribution of these new product is more than 10%, and we have more number of products in the pipeline This paint plus or the products what we are launching , the challenge is always that how do you explain to the relevant people. So, we do connect with the architects , interior designers , where we explain about the features of these new products. But in the last quarter, we have started one more platform which is " master class ". It's basically a platform for dealers and distributors and the influencers. So, we invite dealers, where we demonstrate, that how these products are different, what are the features of these products, what are the benefits of these products. So, we are trying to educate the dealers and painters or contractors through the "master class" . And every time we take one or two products, we are doing multiple classes to educate the people about the differentiation of these products.

In this process, we also introduced one more initiative which is " Nerolac Knows ". So, for the customer today it is difficult to decide the right product based on his requirements , the properties, the surface, the problems and the special features. . So, you can visit our website and you can see the column " Nerolac Knows ", where it's very easy to navigate, if you try to put your requirements there and see that, how the recommendation of the product comes in. So, this is in the area of paint plus, what initiatives we have taken.

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In the area of influencer program and services, we have been talking about the paint as a service and we have been approaching architect, interior decorator, through digital and to separate feet on the street .. Continuously our service business is going up, and I can say that now it is stabilized and all the actions which were to be implemented are implemented . Now we are scaling up in terms of generating more leads and more business .

In AID also , the number of architects is continuously going up. So, every quarter we are able to increase the number of architects who are par

ticipating . And we get the good contribution of premium business , whatever business comes through the leads from the architects. We have also started taking testimonials and these testimonials are put on the digital platform, where the architects are talking about using our products, paint plus products and the ir benefit . We are also providing need base on site support to the architects .

In retail , earlier we spoke about our “ NextGen Shopeee ”, which is the kind of experience model which has been implemented at the dealer 's end. So, by end of June “Shopee ” is already installed at about 100 dealers , th ere is a smaller version of this Shopeee which is called “ Shop in Shop ”, there also more than 100 counters we have installed it and both this “ Shopeee ” and “Shop in Shop ” includes innovative mix , we call it mix sensor , but it is ultimately an artificial intelligence based color recommendation device where, the customer can interact and the system can recommend the colors . So, this is a part of this retail experience.

In new businesses, the growth is strong and continuously our saliency is going up. Similarly, in the project business we are almost there in 78 , 79 towns now and there also the growth is good, and saliency is continuously going up . In terms of our visibility , in fact last year we increased our marketing budget

Urban is doing good; however we are seeing Rural also catching up. In terms of capacity , we are on track on our capacity expansion project in Vishakhapatnam and

Jainpur . And we are adding more then 30% capacity in the water base. So, mostly this capacity addition is happening in the area for Decorative because industrial, we have already expanded our capacity. And today, we have a sufficient capacity available to cater the requirement of the customers. Overall capacity utilization in Quarter 1 is around 60%.

In terms of ESG , for the last two years we have been recognized by CRISIL and the different agencies. One more Morningstar Sustainalytics is one of the leading ESG research ratings and data firms that supports investors around the world with the development and implementation of responsible investment strategies. We participated in that, and we are ranked 16th amongst 577 companies in the chemical sector. So, this is a good ranking , if you look at within the industry. And they also do our risk rating for ESG. So, we have been rated in the low risk and are again better than the industry.

We continue to be water positive ; we became water positive last year. And in addition, we have identified the climate change risks from the TCFD framework and mapping actions in place to

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mitigate the implications. In terms of digital initiatives, a lot of our Decorative influencer programs are completely digital end -to-end with no manual intervention . And many more digital initiatives we have taken, including migration of CRM , S/4 HANA rise is t he most advanced platform which we are going to implement and concur for Expense Management These initiatives are expected to help provide operational agility and efficiency

Overall outlook, the monsoon is expected to be good. And we hope that the Decorative demand will see improvement and given the continued thrust on infrastructure growth, and the new projects and order pipeline, we believe the demand for performance coating should be strong.

And also, it goes with our initiatives we have taken for past few years.

So, this is a small commentary on what we have seen in the 1st Quarter , and you can open the floor for the questions now.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our f irst question is from the line of Abnish Roy from Nuvama.

Abnish Roy: Thanks. I have three questions. My first question is , on the competitive intensity. So, any pushback

you are seeing from your painters, architects or dealers in terms of any more demands or any shift from you to the new player Birla Opus and because they are offering say, one year extra warranty or 10% extra grammage, or digitally connected tinting machine, what will be your specific response to these three. W hy, I am asking this is market leader in the media interview said that the initial response to the launch by the new player seems to be underwhelming. So, what will be your take on that in your markets, these three will be helpful.

Anuj Jain: Earlier also we have been talking about it because there cannot be an overnight solution to these things, it takes time. So , I have been maintaining this statement that this industry is good size, and we welcome any new competitor to this industry. But the progress cannot be very fast;. So, they have already rolled out in the market all the initiatives and we expect it to take time. . So, it's early to talk about it , as of now you can say that there's not much impact on the existing players . So, it's not that I am undermining any efforts , it's a gradual process where you connect

with the consumers through the advertising, you connect with the painters and dealers, you have to demonstrate your product. So, we still believe that it's a gradual process, it will take its own time, these are good companies who have entered, and they have entered with some of their commitments, but the market is such that it will take time.

Abnish Roy: And extra warranty and grammage no change from you or the legacy players till now?

Anuj Jain: In some of the products we already have extra warranty. .

Abnish Roy: Four years?

Anuj Jain: Yes, in some of the products we have and as I said, some of the new products what we have introduced, these products are there with the extra warranty .

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And in terms of tinting machine direct linkage ultimately means, that all the formulations what is there in the system need to be updated timely. So, we have a strong system, whenever the new products we are adding or the new shades we are adding those recipes are entered in the system effectively, so that's also very much in place, so no problem related to that. The extra material as of now, not much feedback or pushback from the market, because again it's a matter of whether the customer knows about it. Secondly, if the customer requirement is specific, then whether he needs the extra quantity. So, as of now, the pushback from the market is not there.

Abnish Roy: And the digitally connected tinting machine, do we need that, does it really add value?

Anuj Jain: As I said, the only requirement of that digital connection is that, whenever you put new formulations or new products or new recipes, so you can do it fast. So, we already have a system in place where we can implement changes in the recipes instantly. So, there is no gap related to it.

Abnish Roy: Understood. My second question is on the interesting thing you said on the EVs, you have a very strong market share in the auto paints, historically because of your strong relationship with the Japanese auto players, but in two and three wheelers in the EVs, many new startups have come.

And you said that the market share here is very similar to your overall auto market share. So, how you are able to manage this because these are startups, and these are new companies? So, is it product superiority, is it the kind of track record you have, what's really helping there if you could tell us?

Anuj Jain: Apart from the relationship with the Japanese customer, what is more important is the technology. And more importantly, is the implementation of the technology at the line of the customer. So, there we have a clear moat and a clear unique advantage of our understanding of the customer lines and what ca

n work on the customer line. So, it's a mixture of technology, the implementation at the customer line, and entire supply chain because all these new players who are coming up, estimating the market demand, what shade will move, and it's a kind of volatile, so we have the capability of supply chain and also backed with the multiple plants. Otherwise, in most of the cases, there is one source of supplies, but we have multiple sources of supplies, and the combination of all these things really help us to get this business and even the emerging trends. So, any emerging trend in the industrial area, because that is our forte, we are very conscious that even if the market is small today, we participate aggressively in that, so that whenever this market emerges, that we are at advantage.

Abnish Roy: My third and last question is on the rural demand. So, if I see in some of the FMCG companies in Q1 already rural is faster than urban. And the same is true for the Nielsen FMCG data. So, here question is, have you seen in historical time period any kind of correlation between your rural versus urban versus FMCG and second related question is market leader has come out with Virat Kohli as the brand ambassador for their new neo latex. Obviously, that's at the lower end. So, would you also need such a product at such pricing for the urban and rural lower end is that needed for you?

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Anuj Jain: First question was, before Virat Kohli what did you say Avnish?

Abnish Roy: So, rural demand you think should also start inching up versus urban for you also with some lag, because FMCG is already up.

Anuj Jain: So, in our case in industrial we see the trend in two-wheeler s and the re it has picked up but in Decorative as of now in our case, it is still lagging behind if we compare with the Urban, but if I compare or if I see the trend of last two, three quarters, it is inching up, so it is definitely giving the direction that in the coming quarter, maybe rural will do better. And our contribution if we compare with the industry, our contribution from the rural is better. So, when the rural start

contributing, that advantage also we should get. And this new product what you are talking about its an interior and exterior there is new product which is introduced. So, it happens in the industry, it's good sometimes the new product comes in and if it goes with the market requirement and the consumer insight . We are also ready with the interior product, it's already tested in the market.

Moderator: Thank you. Our next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance . Please go ahead.

Keyur Pandya: Sir, first question is on the demand for the Decorative paint. So, you mentioned two reasons for slower demand in Q 1. Now, most of them are behind like there were election s, if you can just talk about how our exit was or how Q2 is going as of now, that is first question. The second is if you can throw some more light on t he industrial both auto and non -auto in the backdrop of auto volumes and the infra spends, should we assume in both sub segments, high single digit to low double -digit kind of growth. T hat's , it, thank you.

Anuj Jain: Q1 was affected, election and these are some of the reasons but, if you compare Decorative even last year if you see, the growth of the industry, the paint market was in -line with the consumption growth. So, across FMCG or other sectors, the consumption has some stress. So, the improvement will happen, it will be a gradual improvement . For the year as we said earlier, maybe a single high digit volume growth is definitely possible and there would be a gap between value and volume. So, if we go back to earlier years where the growth used to be double digit kind of thing, value , volume that may not be there. But from now onward definitel

y the demand

will pick up and I expect that the second half will be better b ecause, even in the 1st Quarter , the number of marriages were also less. And whatever we keep reading now, July onward or second quarter onward even that season is looking nice. So, this is about Decorative. In industrial, auto at the start of the year, we estimated that the production growth of the auto manufacturers would be in the range of 6%, 7%, so that is maintained, there may be some differences quarter basis here or there. But annual this number is probably intact and is in line of the projection. In the performance coating or th e non -auto, the outlook is better. So, maybe last quarter was not so good, because of the CAPEX movement or election definitely got impacted. We have already seen this situation changed in June . And based on the new projects, the order pipeline, I believe that that trend would be strong .

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Keyur Pandya: Noted sir. Just one question, you talked about some innovations in the indus trial paints, both auto and non-auto, just want to understand that those innovations which eventually help clients in some kind of savings or efficiency, how is it visible in our financial statements, any measurable parameter, whether in terms of higher wallet share or higher margins or any other parameter . So, how do we track our benefits because of those innovations ?

Anuj Jain: One is that continuous innovation helps us to maintain our market share or to grow our market share that is particularly important. Second, obviously when we come up with this technology, part of it definitely get reflected in the margins. Thirdly the premium ization the story what I was talking about. So, these are the three things, it really helps you to maintain your market share or grow market share. It helps you to increase your margins a nd it helps in premiumization which is also linked to the margins.

Pai: So, one more point to that , generally in auto customers there is a trend of these guys normally ask for price reductions. So, when a product is introduced, over a period the price goes down, but when you keep on innovating newer products you can command a better price. And you can maintain your margins. So, that has been our main strategy going for all these years, which has helped us to maintain our margins .

Moderator: Thank you. Our next question is from the line of Mihir Shah from Nomura . Please go ahead.

Mihir Shah: Sir, firstly congrats on good margin management versus what we have seen with the market leader. I wanted to check with you , would it be fair to assume that all the low -cost inventory that you had would have been exhausted a nd given the raw material prices are going up , the margin pressure can we start , will be visible from 2Q onwards on margins getting contracted. I know you have taken 2% price increases, but would it be sufficient or would that impact margins from 2Q onwards?

Anuj Jain: Mihir, the advantage was marginal and in the Q2 as you rightly said that we have taken a price increase, and one price increase is already done and there is another price increase which is in pipeline. So, as of now whatever trend is there, we should be able to offset that a nd if there is further inflation then we may have to think about it. But whatever visibility is there as of now, that price increase is decided. In fact, there are some of the products which are in the paint plus range , we have taken extra price increase.

Mihir Shah: Understood. S ir, how about price hikes in the auto and non-auto industrial business , is that also

needed, and have you been able to push any of them?

Anuj Jain: Mihir, the auto we see the stability, so if you remember that in the last one year there has been a deflationary trend but still the situation has been volatile in terms of geopolitical situation, crude

prices, the currency and therefore, there was a pressure in terms of reduction to the prices, so we were not very clear about how that trend is going to set. So, the initiative is more in terms of holding the price the reductions. So that if this inflation happened, that we have been talking

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about and normally it has always taken a lag. So till the time the stability does not come in, we don't get into a price reduction, and that is how we are trying to manage it.

Mihir Shah: Got it. Sir secondly, I wanted to check with you on the seasonality of sales, we have done close to about 2100 odd crores of sales in June, would the coming quarters have a slower or more seasonality that will impact for you to sustain this kind of number or do you think that you can achieve this, or sales around this number basically?

Anuj Jain: If I talk about the absolute number generally in our case, the 1st Quarter and the third quarter, absolute numbers are higher. And one of the main reasons is that in these quarters, the contribution of Decorative business is higher. So, because we have a different mix, so the second quarter, fourth quarter, the more contribution comes from the industrial business and in the 1st Quarter and third quarter more contribution comes from Decorative business. So, in these two quarters you will see a higher numbers and generally second quarter, fourth quarter absolute numbers are lower.

Mihir Shah: Yes. It was just an extension to what Keyur has also asked because, when we are modeling, we are thinking that you can at least do a high single to double digit for the remaining part of the year now. So, we wanted to understand is there a risk to that assumption, because you have been very guarded in your commentary also?

Anuj Jain: So, you are talking about the growth?

Mihir Shah: Yes.

Anuj Jain: Talking of the growth, as I said that in the growth in the coming quarters, we will improve definitely and the performance coating, we are expecting a better demand. So, overall if you see then a better growth.

Mihir Shah: Got it sir. Sir my last bookkeeping question is on employee cost, wanted to check, the increase is more than average, what is driving this, and will this be the added cost level or any adjustment that needs to be done on this employee cost line item?

Anuj Jain: One element is this RSUs, which have given to our select talent pool. And with the help of that strategy, the attrition in the talent pool is extremely low. The other reason is that in some of the new initiatives in the area of performance coating division and the Decorative there, we have added a manpower.

Moderator: Thank you. Our next question is from the line of Percy from LIFL. Please go ahead.

Percy: Hi, sir, I just wanted to understand the gross margin expansion a little better, is it primarily coming from the Decorative segment or the industrial segment?

Anuj Jain: It is mix of both, our mix has improved in Decorative and industrial also and some of the cost saving measures that we have taken. So, it is quite a balance between both.

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Percy: Understood. So, roughly, same kind of basis points increase in both of them?

Anuj Jain: Yes.

Percy: Okay. And whatever has led to the gross margin expansion, those factors are sort of here to stay, it is not something reversible or anything like that right?

Anuj Jain: Yes, that is what our endeavor is.

Percy: Understood. Secondly, just wanted to understand your EBITDA margins, so on a Y-o-Y basis the EBITDA margins have been flat this quarter. Should we be looking at a similar kind of flat EBITDA margins for the remaining nine months? The reason I asked this question is, last year from quarter-to-quarter your EBITDA margins were very volatile.

e. So, just wanted to understand

that even in this market when other companies are seeing an EBITDA margin decline, if you are maintaining a flat level also, it is quite creditable. So, is that how we should model it out for the remaining three quarters?

Anuj Jain: Earlier we also said that, because generally as you rightly said, quarter-to-quarter our mix

changes and therefore you see this volatility, and that's why generally we comment on the annual basis . On an annual basis, our target or endeavor is to maintain our margin.

Percy: Maintain versus FY 24, right?

Anuj Jain: Yes.

Moderator: Thank you. Our next question is from the line of Laxmi Naryan from T unga Investments . Please go ahead.

Laxmi Naryan: We talked about warranty, j ust want to understand how many people actually exercise warranty , if you look at either in terms of the liters of petrol or liters of paint, or in terms of number of customers 100 liters or 100 people buy the product, how many actually exercise warranty?

Anuj Jain: Maybe less than 1% , because it's more of a kind of verbal assurance when they go to the counters or dealer, there's a warranty on the product, more of a verbal assurance, but in actuality very, very a smaller number of people.

Laxmi Naryan: Got it. So, it looks like whether we increase the warranty or not doesn't really matter. The second question is that, w hen you expand your distribution, do you find it more difficult to expand your distribution than what it was like two years back or how things have changed in the last two, three years especially p ost COVID?

Anuj Jain: Last two, three years not much have changed. But I can probably say that, when the number of players increases , then the expectation of the dealers obviously changes , it's like maybe their expectation goes up to some extent. And therefore, your offerings get tweaked, so maybe to some extent you can say discount goes up, or to some extent the packages what you are offering

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in terms of machine, there the changes happen. So, to that extent there is some change, where the expectation of the market is a little higher. So, opening is not difficult, but more negotiation or more expectation that's a change.

Laxmi Naryan: Can you just quantify it out and dwell deeper here?

Anuj Jain: Difficult to quantify, but I am just saying, traditionally the industry is placing the machine at the counter, charging some money, giving a target. But when a greater number of players are there, the offers are available on a competitive basis. So, there people start negotiating, in terms of when you are opening the new counter, we are offering a particular discount let us say X discount, maybe their expectation really goes up. So, to that extent the team has to spend more time to explain the benefits. So, somewhere, there could be lit tle implication of the cost, which has already happened in the last one, one and a half year. And somewhere it is more time spending to open more number of dealers and therefore, maybe some requirement of the manpower goes up .

Laxmi Naryan: Got it. So, w hat is the kind of distribution expansion you plan for the year?

Anuj Jain: Generally, we target in the range of 8% to 10%.

Laxmi Naryan: Got it. And t he second question is related to the demand of premium because you mentioned that the premium saliency is strong. What has been the price growth or the volume growth in the premium segment for us ?

Anuj Jain: Since, I a m talking about the saliency which has gone up, so which means that the growth unfortunately in the 1st Quarter is negative, , overall growth is negative, but in the premium, it is not negative. So, that's the point a nd that's why the saliency has gone up. So, premium is doing better.

Laxmi Naryan: Like by what percentage sir, price volume any color or anything you can?

Anuj Jain: We really don't talk about that , but saliency has gone up. So, you can say that the trend in our case is that the growth in the premium is better. L et's say example that, if the market is growing at the rate of 0% then maybe the premium is going at the rate o f 2%, 3%.

Laxmi Naryan: Okay. And you talked about project business, we have already reached around 79 towns or so, what kind of growth on a rolling 12-month basis we are seeing in this segment and what kind of contribution it makes to your business n ow?

Anuj Jain: We are looking at high double-digit growth, last year also w e achieved this , this year also we are looking at that and because the general market in repainting is sluggish, but the project market the growth is still there. And that's why our salience is going up. So, we are looking at high double -digit growth.

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Laxmi Naryan: And for you in terms of the overall Decorative business, how much it could be, you are looking at what 10% of yours Decorative will come from project business , what kind of mix?

Anuj Jain: As of now it is lower, you can say it is the higher single digit, but for the industry we are under index on project because initially or earlier our focus was not there, it is only last one and a half, two year we are putting focus on project and now the salience is going up. As of now we are under index if we compare with the industry, but our trend is positive so maybe over a period we will catch up. We will get into a double digit, as of now we are not in double digit, we are single digit.

Laxmi Naryan: My last question if you talk about performance coating business. Just want to understand how large is the performance coating business for us and for us applications we cater to and what kind of market size it has, and who are the people you compete with in this segment which is non-Decorative and performance coating?

Anuj Jain: So, market size is quite large, and the growth is good in fact, the performance for coating division the growth has been higher because of the government focus on the infrastructure. And actually, market size is now close to the auto market size. And that's our market where our market share is lower. In auto, we are market leader, but there it is lower, I am talking about the relatively and therefore, for us the growth prospect is high and now we foresee sustainable growth. Some of the segment I said is infrastructure related, which is bridges and railways. And there are many segments if you look at, drums and barrels, EV, railways, construction, construction equipment, there are many, many segments there and glass, electrical. So, there in fact some of the areas coil coatings are there. So, some segments are big, some segments are niche, but it makes sense in the niche segment maybe our volumes are lower, but your margins are better and that's the technological advantage you have. And it's not easy to play in the niche segment because how do you manage the forecast versus delivery? So, that's the capability which we have worked upon. It also depends on a lot of approvals, which we started almost one and a half years back and today we have a lot of approvals in our hand. So, that's what, the market size is quite good and attractive.

Laxmi Naryan: How consolidated is this market, who are the large players is it like as consolidated like the decorative?

Anuj Jain: There are larger number of players in this market if you compare with Decorative, Decorative there have been traditionally four, five players and this market already 10 players are there, and they have been there for quite a long. So, who's who of the industry is, they are all big names of Indian Industry like PPG, Akzo, Hempel, Jotun, Nippon all are there and there are many more niche players who are international players they are available.

Moderator: Thank you. Our next question is from the line of Amnisha Aggarwal from Prabhudas Lilladher Private Limited. Please go ahead.

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Amnisha Aggarwal: I have a couple of questions. First is, how should we look at the volume growth in 1Q, so is it you can say positive but both Decorative as well as industrials so what sort of volume should be, you can say?

Anuj Jain: Positive about mid-single digit is the volume growth.

Amnisha Aggarwal: Overall?

Anuj Jain: Yes.

Amnisha Aggarwal: Okay. And Decorative is also on the positive side?

Anuj Jain: Yes, on the positive side, slightly lower from industrial if you comparable but positive side.

Amnisha Aggarwal: On the positive side, okay. And do you see a possibility that with monsoon now being normal, are we heading for say any probability of double-digit volume growth coming in the coming few quarters?

Anuj Jain: Difficult to comment, because they said that last one year or we have seen that the Decorative linkages earlier we used to clearly link it with the GDP, but in the past the GDP and consumption growth used to be very close, but now the GDP growth is good, but consumption growth is lower. And the paint is a discretionary item, so it is directly proportional to the consumption growth. So, high single digit possibility is there, and I am not saying every quarter but overall, for the year high single digit volume growth is possible.

Amnisha Aggarwal: Okay. Sir, my next question is again, couple of people have also asked on the margins, because if we look at say first the gross margin, Q-o-Q we have shown an expansion while the market leader has shown a decline. So, is it purely due to mix or is it due to some low-cost inventory you can say sitting with us. So, how can we explain that that is one and secondly with 37% gross margins does it mean that in Decoratives we have gone north of 40% during this quarter?

Anuj Jain: Margin I have already said that it is a mix of the product mix definitely yield better because it is better in Decorative also, it is better in industrial also. We also got some advantages of the low-cost inventory. And then, there are a lot of cost measurements which we have taken, and which have worked for us. That is the story about the margin. What was your second question?

Anuj Jain: Decorative margins are always higher than industrial margins.

Amnisha Aggarwal: Okay . And sir my final bit is on the other expenditure part because other expenditure has gone up by 70 bps. So, any big you can say spends on advertising, or any?

Anuj Jain: Yes, it is mainly in the area of advertising.

Amnisha Aggarwal: The increase which is there?

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Anuj Jain: When I say advertising, it is more of a marketing. So, some of the initiatives what I mentioned, those are properly supported with the marketing initiatives. And these expenses are related to that.

Moderator: Thank you. Our next question is from the line of Avi Mehta, from Macquarie. Please go ahead.

Avi Mehta: Sir, I understand your comment, that it is too early to take a call on Grasim's entry. But wanted to just get a sense versus say a few quarters back when there was complete uncertainty around the launch. Now with Grasim, on the ground, how has your confidence or your concern changed?

Anuj Jain: Avi, it's a validation that what we were saying that this market, difficult to turn it around overnight. It's a gradual process, it's a validation that is getting validated. And if you say the concern was it was more earlier and the concern is less, you can say that we are feeling more confident about our strategy today.

Avi Mehta: Perfect, sir that's extremely useful. And sir, the second bit was on the competitive situation in the

auto and performance coatings has that changed or if you could just give us an update on how does our market shares stand versus if you have any comment over there, that's all?

Anuj Jain: So, in auto bucket last two, three years, and now also continuously we are increasing our market share and in the performance coating division which is the opportunity area for us. And in the past, in the performance coating, there are two parts liquid and powder. Powder we are the market leader and there is a good category growth which is expecting and, in the powder, there is a premium category where we are under index, that's the initiative we have taken.

Technologically we are very strong, the liquid market is very large, our market share is low.

Earlier, we used to play in the lower segment / economic segment where the margins were the issue. Our first target was to come out of those categories and get into the better categories, better product mix, where the margins are also decent. And that bridge we have crossed today in fact our

business have already upgraded and whatever growth we are getting, we are getting at good margins and that market is good, so technologically we are well placed and so there we feel, competition is there. In fact, in this market, the competition has been there for many years. And, any international player, if you really look at it, is available in the Indian market. But there we have confidence that over a period we have built the moat and the differentiation in this business. And that is helping us to keep us overly optimistic.

Avi Mehta: Perfect sir. And sir if with your permission just last question on the margin front, you have given us a clear, how you look at the margins from an FY25 perspective. Just wanted to check whether, would any increase in competitive intensities in the festive period because of the new player entering in, is that something that is already baked into the numbers and if that doesn't pan out,

because, as you said even earlier, if these things take time, from an industry perspective, it may not be so would that be an upside risk is what we are assuming kind of pans out, is that how I should see the margin commentary, clearly there has been an --

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Anuj Jain: Whatever is visible as of now, as you asked your first question, although visibility is better, so to that extent this is factored numbers.

Moderator: Thank you. Our next question is from the line of Mrunmayee from ACL. Please go ahead.

Mrunmayee: Sir, I have a couple of questions, firstly you mentioned that the overall capacity utilization is at 60% and that you have the capacity headroom on the industrial side. So, it is possible to quantify what is the utilization of the Decorative and industrial segment?

Anuj Jain: No, generally most of our plants are common plants. So, generally we look at the utilization at the total level and the total level is around 60%.

Mrunmayee: Okay, all right. And on the auto segment, so in the last few years we have entered various more segments to increase the addressable market. So, is there any scope to increase this time in the auto segment or will a mode of incremental growth come from the non-auto side?

Anuj Jain: So, within the auto, some of the new segment which I spoke about seam sealer and alloy wheels, and there are one or two more segments where we have entered. So, there we are getting some uptake they contribute not very significantly, but even if you get more than 1% or 2%, that's

good enough. So, that's one area within the auto and the performance coating, which is a non - auto side in the liquid area that's a big market and there we have a good opportunity and that is what we are targeting.

Moderator: Thank you. Our next question is from the line of Tejash Shah from Avendus Park. Please go

ahead.

Tejash Shah: Sir, just wanted to double click on your remark that we are more confident and optimistic than let's say what we were six months before on the competent landscape. Are you more confident that we can protect our share or are you confident that growth is enough to accommodate one big player and are we confident that because whatever you spoke so far it looks like the cost of doing business is actually going up on marketing side, on dealer side. So, are you confident on margin as well?

Anuj Jain: Yes, so generally what happens is that we have taken a route, and strategy and the confidence always goes up and you see that your strategy is working, the initiatives are working, because the growth of market share depends on two parts, one that whether you are getting so the initiatives, the other sometimes you have to push for the sale. So, when your initiative helps, it is good because that gives you a sustainable thing. Related to a competition, I definitely feel that in the long run, competition is good for this industry, mainly reason is, it will help in terms of increasing the per capita consumption, it will help in terms of faster shift from the informal to the formal, it will also help when you see more visibility. So, ultimately paint is a low

involvement category, where the consumer involvement is high only when he does the shade selection, when he does the paint selection the role of the influencer become more important, but with more number of players, more visibility there is always a possibility of consumer

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becoming closer to the category. And that's also a very good sign for the industry that if the consumer becomes more closer to the industry, then the more premiumization happens and therefore, it also helps in the margins. So, it's a mix of both that the strategy what we have followed, also the market side is big because the players who are entering are very reputed players and they have a good capacity, they have good capabilities. So, when the players are entering, we must accept it that the market is going to have a greater number of players, and the market is big enough to absorb the players. So, my answer to this in this regard is a mix of both things.

Tejash Shah: Sure. And sir I have logged in a bit late so apology if I am asking what you have answered already, but did we take any price hike recently?

Anuj Jain: Yes, we have taken one price increase already and another price increase is in pipeline which is already announced in the market.

Tejash Shah: So, just a follow up question on this. So, all the paint players who are listed they have kind of indicated that they are at the upper end of the margins in FY24 exit and to combat the competition perhaps it's very normal to expect that margins will go down. So, how should we see this strategy because at one level, we are increasing consumer price when consumers will get one more option

to choose from. So, how should we think about where you are in the upper end of the margins, we are increasing prices also and the consumer has one more choice also coming to choose from?

Anuj Jain: It depends, ultimately how much consumer knows about the price. Is price, the criteria for the consumer? certainly not. Because today, unfortunately the consumer is not aware of, I don't think you will have some figure in your mind, you will have to depend on somebody to guide you, so pricing is not important from the consumer. Maybe at the lower end, it does help but in the popular range and the premium range, it doesn't matter. So, what is important is, whether your distribution or the dealers are convinced about your product, whether they are ready to put in that extra effort, the painter initiatives, the influencer initiative, how much you are in touch with them, and whether they are confident ab

out. And that is why I say, typically in this market, any change happens gradual because if you have seen for last many years, the market shares are kind of unchanged or maybe for some period the share of some company goes up, in other period some other company goes up. So, it becomes a habit-based industry. So, changing from that habit to something else is a challenging task. So, you have to choose your areas, you have to choose your niche, you have to change your regional thing, and there you get a better result. But if you want to go whole on, then obviously it's a costly affair, and how much sustainability it is, one has to see.

Moderator: Thank you. Our next question is from the line of Nikunj Gala from Sundaram AMC. Please go ahead.

Nikunj Gala: I have a question on the industrial side, can you just help us with what will be the contribution from industrial for

us, say FY24 and within industrial how big auto will be for us?

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Anuj Jain: On the yearly basis it is 55 :45, 55% comes from Decorative and 45% from industrial. And within that 45 %, approximately 70% would be auto. And this is on the annual basis , quarter wise it changes.

Nikunj Gala: And how this number would have changed over the last five years , because I remember a few years ago also these numbers were pretty much same?

Anuj Jain: Yes, so it keep s changing , there were years when 55 went down to 52, 53 but then again came back to 55. So, it's in the same range.

Nikunj Gala: Okay , sure. And in the auto segment, like you mentioned you are gaining market share but is it possible to give us some sense on how big is the size and what's our market share in that ?

Anuj Jain: Our market share in auto is close to 60%.

Nikunj Gala: Okay, sure. And just lastly on the, how we should be looking at this segment in the next five year period like is it still a scope for us to gain more wallet share from the existing OEM or new OEM coming onto the board or in a more of a premium offering to the existing OEM, how one should look at the new growth trajectory?

Anuj Jain: Next five years the outlook is good, because again the penetration of the passenger vehicle in two-wheeler in India is very low, if we compare with any of the country in the world, it is very, very low and it is always proportional to the infrastructure growth which is happening in India. So, in the past, there was more, this was more cyclical, that some year it does well, some year it doesn't do well, but that cyclic nature is also becoming low. So, therefore, the market is becoming more stable you can say . Technology is emerging, and a lot of new technologies are coming up and we have a pipeline of technolog y available for the next three years, five years. So, therefore, continuous upgradation and therefore continuous premiumization also . So, in the next five years, I do see the volume impact and value positive impact in both the scenarios .

Nikunj Gala: Okay. And how big is the market today sir, overall ?

Anuj Jain: Market overall size is approximately generally like India is 70,000 crores of industry out of the 30% industrial . So, you can say around 20,000 crores would be the market size .

Nikunj Gala: Okay. And within that whatever is our contribution from auto the same contrib ution will be at industry level also, right?

Anuj Jain: No, I am talking about this 30% of the total size is related to industrial, which includes auto.

Anuj Jain: Our contribution of auto would be higher because market share is higher.

Moderator: Thank you. Our next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance . Please go ahead.

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Keyur Pandya: Just one question on the industrial side , have we seen, just in case of Asian P aints, after th
e

disclosure we can see aggressive growth for their industry part of the business. So, have we lost any share either in auto or non-auto industrial or have we seen cost of doing business going up or competitive intensity going up in that part of the business?

Anuj Jain: No, in auto we are increasing our market share and in the non-auto as I said earlier also that we exited some of the business which is at the lower end and in the segments where we have

decided , there we have started doing well and the cost of business has not gone up i n fact, we are now playing into the segment which are more technologically solution oriented, and therefore, in fact in the non-auto business, actually we have improved our margins , earlier we used to work on a very, very low margins, last one and a half year we worked on it and we are working on a decent margin.

Keyur Pandya: Okay . Just last one follows up. So, for the back -end calculation such as that, as you mentioned, margins had gone down in the industrial part of the business. And probably we were at much higher levels in FY 17, 18, 19, FY17, 18. Where we would be in terms of say profitability in terms of industry paints, from our earlier highs, if you can just give any qualitative or quantitative idea on the margins of the industr ial business ?

Anuj Jain: Industry margins generally have been volatile. So , if you say 17, 18, maybe there could be a one small period where the margins are higher. G enerally, the B2B business, which is more volume and kind of thing , what is good for us is maintaining , sustaining double digit margin that is how we look at it.

Keyur Pandya: So, right now EBITDA level the margins would be in double digits ?

Anuj Jain: Yes.

Keyur Pandya: In the industrial business ?

Anuj Jain: Yes.

Keyur Pandya: And based on your commentary with the input mix probably that should continue to be the case going forward as well?

Anuj Jain: That is what our endeavor is.

Moderator: Thank you. Ladies and gentlemen that was the last question of the day. I now hand the conference over to the management for closing comments .

Anuj Jain: Thank you everyone for participating and as usual your questions always help us ; we get some insights. Thanks for supporting and thanks for joining this call today. And as we have discussed about that the 1st Quarter was muted, but with this monsoon we expect gradual improvement in Decorative demand , auto has done well and the non-auto industrial we feel that going forward strong growth based on the government thrust on the infrastructure. Some of you are obviously

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eager and conscious to know about the competition. So, whatever steps we could have taken, we have taken, but more important is that our balanced portfolio of Decorative and industrial positions as well to navigate these competitive challenges or changes effectively. So, our idea is basically to use our strength and address any type of challenges to drive, sustained growth, and value for our stakeholders. Thank you for your participation.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may disconnect your lines .

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Call: Nov 2024

14th November, 2024

1. Corporate Relationship Department

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400001. 2. Manager – Listing

National Stock Exchange of India Ltd.

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex, Bandra (E), Mumbai - 400051.

Sub.: Q2 FY 2024-25 Financial Results Conference Call - Transcript

Ref.: 1. Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

2. BSE Scrip Code - 500165, NSE Symbol - KANSAINER

Dear Sirs,

This is further to the intimations done by the Company on 29th October, 2024, 7th November, 2024 and 8th November, 2024 with respect to the Conference Call hosted by the Management of our Company on Friday, 8th November, 2024 at 11.00 hrs India Time to discuss Q 2 FY 2024-25 Financial Results of the Company. The Conference Call was in the nature of a group call.

We are enclosing herewith the transcript of the Conference Call for your information and reference.

For KANSAI NEROLAC PAINTS LIMITED

G. T. GOVINDARAJAN

COMPANY SECRETARY

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KANSAI NEROLAC PAINTS LIMITED NEROLAC

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Q2 FY '25 Results Conference Call "

November 08, 2024

MANAGEMENT : M R. ANUJ JAIN – MANAGING DIRECTOR – KANSAI
NEROLAC PAINTS LIMITED

MR. PRASHANT PAI – DIRECTOR -FINANCE – KANSAI
NEROLAC PAINTS LIMITED

MR. JASON GONSALVES – DIRECTOR -CORPORATE
PLANNING , IT AND MATERIALS – KANSAI NEROLAC
PAINTS LIMITED

MODERATOR : M R. ANIRUDDHA JOSHI – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Kansai Nerolac Q2 FY '25 Results Conference

Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you, sir.

Aniruddha Joshi: Yes. Thanks, On behalf of ICICI Securities, welcome you all to Q2 FY '25 Results Conference Call of Kansai Nerolac Paints. We have with us today senior management represented by Mr. Anuj Jain, Managing Director; Mr. Prashant Pai, Director Finance; and Mr. Jason Gonsalves, Director, Corporate Planning, IT and Materials.

Now I hand over the call to the management for the initial comments on the quarterly performance, and then we will open the floor for question-and-answer session. Thanks, and over to you, Anuj, sir.

Anuj Jain: Thank you, Aniruddha, and good morning, everyone. I hope you all had a good and prosperous Diwali with family and loved ones. Our greetings to all of you and best wishes for New Year.

I'm grateful for your continued support and interest in our company, and thanks for joining this call for Kansai Nerolac for quarter 2 of financial year '24-'25.

We have already submitted our presentation. And in that presentation, if you go to one slide, it basically talks about the diversified portfolio that we have. And that slide basically talks about that there is a bit of Nerolac's everyone's life. It also says that we meet all customer needs, and

we have been adding more portfolio, which also we have shown on that slide. With this diversified portfolio, we mitigate risk,

As we have been speaking in the past that we remain the number two consumer brand

d. And our

strength is technology, Japanese technology, leadership in automotive and auto coating, and we have been leveraging Jingle and Paint+ taking the advantage of, again, Japanese technology that also we have been doing. And this basically gives us a combination of logic and magic, because

logic is a technology and magic is all about our Jingle and the connect with the consumer.

If you look at the current business environment, the auto demand is stable. The quarter 1 was good. Quarter 2, slight moderation, but October was good. Infrastructure growth and good monsoons and easing of crude prices. Some of the challenges are geopolitical and rupee depreciation.

Just to give you some highlights of our industrial business. In automotive, as I said, demand was moderate in quarter 2, but on the back of our initiatives we did better, and we increased market share in automotive. October, I think the last 1 week, 10 days, whatever was reported in the

channels or news, I think the sale was good. And I think that gives the hope that even in the coming quarter, I think the demand could be a little better than quarter 2.

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Our approach, we continue to focus on technologically superior products, which is in line with our strategy, and have been launching -- expanding sustainable technologies to reduce resource use and carbon emission. So the new segment which we entered, basically to expand the size of the market, is the seam sealer, underbody, alloy wheels, and we have been increasing our salience in these areas also. Some of the new products that gives us the edge in this automotive market. One is the high solid system, which basically gives high aesthetics, also the lower VOC, lower carbon emission, shorter drying time that enhances the productivity of the customer, and the cost-effective, the less evaporation paint during the drying process. So some of these technologies we have been expanding. We are also expanding the polyurethane monochrome system, which is against the conventional system, conventional system is the 2 coat, and this also helps in terms of enhancing the productivity and also the other parameters.

We also developed some excellent corrosion resistance coatings for -- in the areas of commercial vehicles and sectors, basically to overcome field failures of paint peel off due to severe conditions during puddling operation in combination with fertilizers. So these are some of the examples of the new technology, and there are many more.

If you look at electrical vehicles, the penetration in the 4-wheeler is just about 2% to 3%, and in 2-wheelers, it's about 7%, 8%. So it is going up, but with a slower pace. 3-wheeler, more than 50%. And our reach penetration in the electrical vehicle is as good as the conventional system. And we are holding the higher market share in this segment also.

In the auto refinish, where our market share is low, the approach was to continue to put our systems in A class body shops, and we are expanding that because that's where the premium business is there, and we are continuously expanding that business.

The other part of industrial, which is performance coating or the liquid and powder business. So our strategy and focus was on performance coating business there, and there we have taken actions which we have spoken in the past also. One that we have expanded our business

development team and feet on the ground, basically in product management or business development area through which we have chosen the segment to target and they we are getting the approval and matching the product with the customer requirement, because there, generally you have to have a customized kind of product to satisfy the requirement of the customer. So that's what we are doing. There is also a large amount of business in High-performance coating, which

happened through

industrial dealers, and they basically cater to mid-sized or low-sized industries. That's the initiative we have taken. And we are expanding our distribution reach to reach out the small industries. And our salience of this channel has gone up. This is one segment of the business which is better placed in terms of the relative gross margin.

Also, the one approach was approvals in high-end coatings, for example, railways, bridges, oil and gas, through use of new technologies. And some of these technologies are like fluoropolymer anti-carbonation. So some of the pictures what we have given in our presentation,

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if you can see that these coatings have been applied in Mumbai Coastal Road and bullet train.

So these are like bridges where we have applied anti-carbonation coatings. So Anti-carbonation coating, one, that it is more durable, the other, that it resists the dust and the emissions which set on the surfaces, and therefore it helps it looking better in terms of looks also.

We have also applied this fluoropolymer coatings on Trans Harbour, which is popularly known as Atal Setu. Fluoropolymer is a very high-end durable coating, which gives a life of about 30 years.

So this is applied on the steel structures which are there on the Atal Setu. So that's what we have done. Vande Bharat also we spoke about, and we have painted many Vande Bharat trains. So if you see the trains, which basically show now orange color, blue color, white color, all that is Nerolac, most of it is painted by Nerolac. And this is also a high-end epoxy systems and with the top coat of some clear that also keeps it clean and aesthetically looks good.

So some of these technology, which we have been saying that in the high performance coating 2, 3 years back we exited some low-end business, and the high-end business we are entering and we are making strong traction there. And based on these initiatives in the performance coating divisions, we have done well and witnessed very strong traction and also have a strong pipeline.

If we talk about some of more new products in performance coatings, the IP net coating, which is interpenetrating coating, we got the approval from Mumbai Metro Line. And also we developed RoHS, which is the hazardous, which is basically that how to make it nonhazardous and less hazardous compliance coil coating. That approval also we got from some of the key customers. Therefore, based on these technologies and the product launches, our -- the premium saliency in the performance coating is going up.

About the segments which we're capturing through performance coating from our side like bridge, windmill, appliances, construction equipment, helmet. So overall, our market share is good, and we are market leader. But in the premium segment, we have a potential to improve our market share. So there, we are focusing on rebar coatings, pipe coatings, alloy wheel and construction equipment.

Coming to decorative, some of the growth drivers which we have taken in decorative. One was related to our Paint+ and how do we differentiate our products in the market, and that also leads

to some kind of premiumization. So far, we have introduced more than 25 products, and 10 were added in the current year. So total number of products are more than 25. And their salience is continuously going up. It is almost in the double-digit range now.

All the new products, what we introduced in decorative in last 3 years, they are contributing more than 10% to our sales. And overall, if you look at this quarter our YTD, the premium did better, and we had a degrowth in the product like putty in September.

About the new products which I would like to mention here, in fact, last year when we had the in-person meeting with all of you, we have demonstrated this product. But some of the new products

what we introduced, one is the texture range, where there are very high end kind of Italian or different kind of finishes. We have just introduced a product called No Dust in category like Excel, which is a good proposition at a good value proposition.

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We also launched a range of products and now we have expanded in the quarter 2 the Wow white. So in fact, in many of the markets the acceptance or the penetration of white shade is very,

very high. And we have launched multiple products the Wow White . These are best of the whites and also this product has a coverage which is higher by 15%. So this range also we are expanding and this is definitely our exclusive range, which I think that customer and market will like.

There are some products introduced in construction chemicals and wood finishes. In wood finishes, we have introduced 2 component polythene products at a very attractive value proposition, and that will help us to expand our business in the wood finishes.

If I talk about the new business, which basically has premium wood finishes and construction chemical and waterproofing . There, continuously our growth is strong. And now our salience from new business has gone to a double digit. So I think here, in fact, we feel that our growth is better than the market growth. Maybe the salience is still lower, but I think gradually we are picking up.

Also in project business, where we expanded our footprint and now we are available in more than 75- plus towns. There, also, in fact, we are continuously growing in double digits and doing

better than the market. And our salience, though it's under indexed, but continuously it is going up. And I think as a matter of time that we'll be able to catch up with the market salience also in this business.

The other part of decorative strategy was focusing on influencer and services. So 2 years back, we introduced NxtGen painting services and the architect program, which we call Illuminati. That program, we introduced. And there, in fact, we are making continuous progress now. And

as of now, about 3% or more business contribution has started coming from this initiative alone.

This initiative today especially to services, and could be expanded, and we are serving a large number of cities.

The architecture program, continuously quarter -on-quarter we are increasing the number of architects which are enrolled with us.

So in terms of secondary tracking, because if you remember and recall that we said that one of the focus change in decorative is that how do you track secondary sales so that we have more control in the business. So almost the categories that's where we run the painter incentives and painter program, mostly in the emulsion categories, there, in fact, today, the secondary tracking has crossed more than 40%. Number of painters are expanding, and today we have a good number of painters with us. And the team, feet on street, who is connecting with this painter, demonstrating the product and helping them out to get the business insights.

At the dealer front, distribution front, basically to give a better retail experience, we started the initiative called NxtGen Shoppe and shop-in -shop. In fact, we have also introduced the system called Mix, which is basically a kind of spectrophotometer. It's AI -enabled, where it is able to advise and give consulting in terms of the shade combinations what customers can go for. We got a good response from the customers. And today, the NxtGen Shoppe along with this shop-in-shop model, about 250 are already in place in the market.

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In terms of general distribution expansion, we have added about 2,000 -plus dealers, and we are continuously looking for the expansion, and we have objec

tive in mind for the year. As of now,

we are on track related to that. So coming to the general performance for the quarter, the top line was up by around 1%. EBITDA is down by around 20%. And gross margins were down by 1.7% if you compare with the quarter 2 of last year. But if you compare with the quarter 1, then it was down by 3%.

There are primarily 3 reasons for that. One is the change in revenue mix because, as you know, that we are generally 55% decorative, 45% industrial. But because the industrial growth is higher in the quarter, so the mix is in favor of industrial, and in industrial the material cost is higher. So that's one main reason why there is a change in the gross margin.

The second reason is the relative impact of price reduction which happened last year. So that is the second reason. And third is some material inflation. The material inflation has continued until August . From September we are seeing softening of raw material, but that impact is there.

And partly, we have been able to mitigate through cost reduction efforts, but there is some impact on material inflation also.

In terms of the outlook, what we see reports from RBI bulletin and some news that rural trend and overall demand is trending upwards. So as of now, if you look at quarter 1, quarter 2, we can see some sign, but difficult to comment. In industrial, in 2-wheeler, definitely we are seeing uptick in rural. But I think post good monsoons which will help the harvesting on crop, I think this is what RBI bulletin says, that rural demand is trending upward. And they also say that urban continues to hold firm, which is a little contrary to some of the news which we are hearing today that urban slowed down, but I think we'll have to wait and watch. The next quarter will be right indicators about what is happening.

Investment activities remain behind with government expenditure rebounding from a contraction in previous quarter. So that's a good signal for us that in the second half this activity picks up. It

will help our project business and also the performance coatings business.

So all the other indicators are like in passenger vehicle, the demand moderated in quarter 2. But based on the last week's sales of October, the inventory has come down in the market, and therefore we feel that in the quarter 3, demand could be better than quarter 2. 2-wheeler demand is going stable, double-digit demand, and we hope this momentum will be maintained.

Performance coating, as I said, that based on the investment, government expenditure, we expect this market will continue to grow. And based on our initiatives and the order pipeline we will continue to do well.

Raw material prices, which have seen inflationary trend is in August, towards the end of last quarter we are seeing softening, and therefore it can give some advantage going forward.

So this is what I had to say on the quarter 2 and some of the actions and initiatives what we have taken. And I'm happy to answer your questions now.

Moderator: The first question is from the line of Abneesh Roy from Nuvama. Please go ahead.

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Abneesh Roy: My first question is on the competition. So previous quarter, you had said that your confidence level is higher than what it was before 6 months, and now further 3 months has happened. So if you could update on how competitive dynamics are currently?

And second is on AkzoNobel. Clearly some form it will get sold, either fully or partly. So essentially, we are seeing one large player like Grasim enter, and then one number four player kind of exit. So what will be your thought in terms of competition from a, say, 1 year or 2 years later once the sale happens and once things stabilize? Do you see essentially that the worst of the competition is behind, it is consolidation in that case?

Anuj Jain: Tha

nks for the question. So Abneesh, on this new entry or this competition, I think the statement remains same, because 6 months, 9 months have passed, and we are seeing some traction, mostly the impact is different geography to geography. They are more into the numeric reach as of now.

I think it is still early to comment on that, to determine that how it will play out. We are monitoring the trend. But our understanding is that such moves stabilize over a period of time.

And I think our objective is to remain resilient and keep delivering value under this situation.

But I think, as we said earlier also, I think it's a slow pace, this industry, in order to build the distribution, the painter, the bank, it takes time. I think that is what is being demonstrated in the market today. And I also still believe, as I said earlier also, that overall, unfortunately, for last few quarters, the demand scenario is down, but I'm sure it's a short-term kind of thing. It's a blip. Because never ever we have seen demand trending low for such a long period. I'm sure that later or sooner, the demand will come back.

And in that situation, the size of the industry is good, and more number of players, that helps in terms of driving innovation, it raises the standard and expands the markets. So I think that way, it's a good scenario. But whatever statement we have made, we stand on that particular thing. And I think based on our initiatives, we are clear that how it is panning out but we would like to wait for some more time.

On your second question, as of now, not much of comment, because all that is there in media as of now that we have not received much information about it. So as of now, it's a little premature and too early for us to comment on that.

Abneesh Roy: So one or two specific follow-up here. So in terms of disruption from the new players, have you now seen any big impact? You did say some traction in some markets. But in terms of anything disruptive in terms of what they are doing, that is one.

Second, again, confidence level, last quarter you said it was higher than 6 months back. Would it be fair to say that versus 3 months back confidence level is similar for you in terms of fighting competition?

Anuj Jain: Yes, Abneesh, when I said like this, that obviously, it's natural to experience some impact when company enter in this manner, but there's no disruption. And when you talk about the confidence, and confidence is going up and up only.

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Abneesh Roy: Okay. And is what driving that?

Anuj Jain: Driving, one is that the initiatives what we have started that segment by segment when we are seeing the impact of that.

The second, that earlier, also we used to talk about that if there's a pricing strategy or a different pricing strategy which is taken in the market, whether how much it will work, how much it will

put pressure on the existing companies.

Having seen all that, having seen the response from the customers, from the dealers, from the painters, I think that's what gives you more confidence.

Abneesh Roy: My last question would be on the volume growth expectations. So the #2 player has given kind of expectation that Q3 will be high single -digit volume growth for them and Q4 most likely double digits. And they have been generally claiming to be gaining market share, and data also seems to suggest that. Now other paint companies are having a more cautious response. And clearly there's a urban slowdown.

If I see from FMCG perspective, there's a very clear indication of that. So what will be your expectation of the industry or for you -- not as king guidance. I do understand marriage days are high, but these things can get postponed. I do understand it always comes back, so pent-up demand can come back in FY '26. But from an H2 perspective, would you also expect t

hat industry could grow on a whole on the full 6 months, say, close to high single -digit volume growth for the industry?

Anuj Jain: So Abneesh, my comment is that definitely the demand will pick up. There will be uptick in demand. If we talk about for the month of October, October Diwali was very early. But if we say from Dussehra to Diwali, those, I think, from 12th of October to 31st of October, those 18 days sale -- retail sale in the market was good. And November/December is a good marriage season. So on back of it, we definitely feel the demand will go up. And gradually, it will pick up. So third quarter, it will be better. Fourth quarter could be further better.

I would not like to comment on the number as of now that how much it is. I think quantum is to be seen. But definitely, we also feel that demand is going to go up.

Moderator: The next question is from the line of Mihir Shah from Nomura.

Mihir Shah: So with the change in industrial portfolio by entering into the high-end premium segment paints in auto and performance coating, and given last year you had exited the low-margin products, can you share how much improvement was witnessed in the industrial margin?

And now, with the saliency of the new launches, new products increasing, ideally they should have increased. But can you also share what is the difference in margins versus deco and industrial paints currently?

Anuj Jain: So Mihir, generally, one is that the margins of decorative are always higher. But in case of industrial with a change in the strategy and technology, the product, the premium. So if you

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remember, if you see the history, one, that industrial used to be more cyclical, and second, there used to be high volatility when it comes to the margins.

So what we are able to do with these changes, one, that it gives the confidence that the company can reduce the volatility, and, on the sustainable basis, one can maintain the double-digit margin. So some of the dynamics of the industrial market remain, which we used to handle earlier also

now also. But with these changes, I think we can produce more sustainable results. So that is one thing And what was the second question, Mihir?

Mihir Shah: The difference between industrial and auto used to be about 5%. Has that decreased with all these changes?

Anuj Jain: Marginally. Marginally, I can say. But they said that if you see at the gross margin level, always decorative margins would be higher. But when it comes to the EBITDA level, because in decorative, there would be expenditure on marketing, sales promotion and all those things. So I think at the EBITDA level, it has reduced.

Mihir Shah: Got it. Understood. Secondly, sir, would you still hold your guidance for maintaining margins for the full year? And how should one think about margins over the next 2 to 3 years, especially given the change in portfolio mix that we are seeing from your side and including the competitive intensity that is there in the market?

Anuj Jain: So see, Mihir, when we started the year, obviously, we had estimate of top line growth. And obviously, as we have seen the quarter 1 and quarter 2, the growth was lower than that estimate of the industry growth. And even if there is expectation that third quarter, fourth quarter, the demand will pick up. I think overall growth of the year, the top line growth, is going to be lower than what we estimated.

To that extent, there is expected to be some impact on the bottom line. But I think we have been talking about that our endeavor is to maintain the margin in the range of 13% to 14%. I think we still stay with that. It may be, because of the lower revenue growth, it may be a lower side of that range, but we still our endeavor is to remain in that range.

Mihir Shah: Got it, sir. Sir, lastly, I wanted to check on 2 fronts.

One is the differentiated portfolio. I believe

it's up 10%. How should one think about the differentiated portfolio for the next 2 to 3 years?

Will that go up by about 15%?

And you have also stepped up your staff cost materially since 1Q. So should one expect this to be a phenomenon for this year only, or do you think that it can continue for coming years as well?

Anuj Jain: Differentiated products, our -- we have our internal number which I don't want to speak about it. But obviously, we want to keep increasing that number over a period of quarters and year. Because as we keep doing that, it gives you more insulation in comparison to the competition.

So we have been launching products. We'll continue to launch differentiated products, and this percentage will go up and up. So our targets are aggressive targets. So let's see how it goes. So

that's on the , what was the second question.

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Our course is basically to back up the initiative that we spoke about. And fortunately, because the top line growth is low, as and when the market growth picks up, I think that will get absorbed, because cost has gone up because we have given the support to our initiatives. So as the growth goes up, which definitely we believe that coming quarters will be better and then coming years also will be further better, I think that will get absorbed.

Moderator: The next question is from the line of Avi Mehta from Macquarie.

Avi Mehta: Sir, I just had one question. While I understand the near -term weakness that you had cited, but you've given the healthy growth in industrial segment, given our Paint+ initiatives, could you help us understand how should we look at sales growth and EBITDA margin as we go beyond this year? How do you see these initiatives panning out or aiding sales growth and EBITDA margins? That will be useful, sir.

Anuj Jain: So in terms of sales, we said that if we compare with the quarter 1, quarter 2, quarter 3, quarter 4, we are expecting a better growth. And gradually, it will pick up. And therefore, our belief is that when we enter the next year or next 2 years, the growth of the market will be back to in line with GDP or closer to the GDP growth. That is what we believe, because it's very, very difficult to assume that for such a long time the market growth can remain down.

Rural market is showing some kind of positive scenario in industrial, and I'm sure with this after good monsoons, it will show in the decorative also. In the urban, we believe that maybe like

FMCG saying urban demand is low, but if you see in paints today, the project is doing well and project penetration in urban market is very, very high. So to that extent, I think even the urban market in the paint industry will hold the demand. So I think we feel positive that the demand will pick up, and if you'll see next year or next 2 years, demand will be back closer to the GDP growth.

And in terms of our bottom line, I think that 13% to 14% we maintain. That will definitely, based on these initiatives, that remain our range. And there we have factored the effect of any new competition also. And if the effect of new competition is less, it can become better. Otherwise, that whatever we have seen in the market, whatever is visible that we have factored, and therefore, that remains. That range remains intact.

Avi Mehta: Got it, sir. And sir, when you say -- I understand the industry growth will probably move towards closer to GDP growth. But how would you see it playing out for us? Would you expect us to continue growing ahead of the market? Or is that -- or I should kind of build in? So if it's -- if the industry is growing closer to GDP, it would be slightly ahead of that? Is that fair assessment?

Anuj Jain: Avi, that's our internal target always. And in fact, 2, 3 years back, I think in some of these seg

ments, we were not doing that okay. Our growth was a little lower. And some initiatives we have taken. And today, we are seeing the results in the new businesses or on the project. And

because we are under -indexed, I think some difference has been there because of late start.

But at the segment level, I think we have seen that continuously, gradually, we are getting the result. And even if we are able to continue this particular phase, I think it's a matter of time.

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Clearly, gradually, because that will be sustainable and resilient, I think we should be able to cross market growth.

Moderator: The next question is from the line of Darshit Vora from Asit C. Mehta Investment Intermediates.

Darshit Vora : I have a couple of questions. Some part of that has already been answered. But with respect to premiumization trend, so what are your thoughts on the continuation of the trend? Is it going to

be as it has been guided? Or do you see -- and what do you think about the product mix that is going to change with respect to more premium segment products doing well and that entering into the volumes numbers?

Anuj Jain: Okay. So premiumization, I think last few quarters we have been seeing that the salience is going up. And I think that trend will continue. And the premium -- when the premium salience goes up, there are 2 things. One, the sale of premium itself is going up. Second, I think in the economy segment, the sale is a little

muted.

There may be a possibility that when the rural market pick up, I know the economy segment or popular segment also start doing well. And if that sale pick up, I think it is overall good. So I think from the sales point of view, premium trend will continue. From the salience point of view, the economic category picks up. So at least the saliency could be maintained. So that's my answer to that.

Darshit Vora : Okay. And with respect to the gross profit margins, where do you , when do you see them returning to the previous higher levels?

Anuj Jain: Previous high levels in the sense that, as I said that for the EBITDA margins, what we are looking at is between in the range of 13% to 14%. And the gross margin, as I said that in our case, quarter -on-quarter basis, because of the business mix, the revenue mix keeps on changing. But at the segment level, if you see, ultimately the right indicator is at the year -end.

So I think keeping in mind that what investment we are doing in capability building, marketing and all those things, so I think that's how we look at it. And mostly because that your gross margin could go up but then there are investments which are planned, what's more important is that how EBITDA margins we are looking at in the current situation, maintaining in the range of 13%, 14% is how we look at it.

Moderator: The next question is from the line of Dhiraj Mistry from Antique Stock Broking.

Dhiraj Mistry: So I just have one question. So as you highlighted, post Dussehra until October end, there was a good demand for decorative paint. So I just wanted to know the region-wise demand, if you can throw some light on that?

And also like some of the consumer companies have been highlighting that, and even in your presentation, there is some moderation in urban market. And can you give some color in terms of rural demand versus urban demand and whether that has changed compared to previous quarter in this quarter?

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Anuj Jain: Regional level, if we talk about the previous quarters, I think East and North, where you can say a little better. And towards the last quarter, I think the West picked up. When I said October, what I said is Dussehra to Diwali, because this time, Diwali was on 31st October. Last year, it was on 12th of November,

and extended monsoon.

So actually pre -Diwali period, the number of days available were very less. So within that less period, the demand I'm talking about. Otherwise, for the entire month, because the period was short, so even October is – you cannot say it's very good, but it's better than the earlier months.

But I think the demand what we have seen between Dussehra to Diwali and also because there are a lot of marriages -- marriage season during November, December, that give us a feeling that the demand would be good. The second part you said is...?

Management: Urban market.

Anuj Jain: Urban market, rural market. In our industrial, it is visible. We are definitely seeing uptick in the demand of 2-wheeler from the rural. And that's how -- to some extent, the 2 -wheeler demand has gone down in the urban market, but it has gone up in rural market, and that is how the demand is holding.

In the decorative as of now, we have not seen much change. Maybe slight incremental change in rural, but as of now our data does not indicate much change in rural and urban. I think next quarter would be a better period after the monsoon, how it pans out. So I think we'll have more clarity on the next quarter on that.

Moderator: The next question is from the line of Mr. Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi: So sir, two questions from my side. First, how do you -- from your long experience in the industry, probably what should the industry do right now to revive the growth? Is it the more discounting required? Or is it more brand building efforts will be required at spend, et c. or more -- where push will be required? So essentially, what should the industry do to get out of this lull period?

And again, at least we have not seen any such prolonged slowdown period in the paint industry. So probably what should be the guidance in terms of, let's say, at the industry level in FY '26 for in a way revival in the industry? That is question number one.

And then second question is one of the MNC paint players is now almost on the block. So what will be Kansai's strategy in that case? I mean, again, going for industrial paint -- or industrial coatings business of that MNC company will significantly spend and concise on industrial portfolio also. So what are the thoughts on -- in this regard? Yes, these are the 2 questions.

Anuj Jain: Very different question you've asked. I think what industry should do, industry should keep patience at this moment of time, because our industry has demonstrated for many years the equilibrium, the resilience I think market demand will go up automatically because this is something related to a macro factor. And it's not industry -specific where industry can take any

action, and the market discount or those kind of things can only disturb the margins.

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So I think at this moment, one should accept it that, yes, the market demand is down and a few percentage here or there for a shorter period of time doesn't make difference. I think we should wait and we should believe in India's story, that it's just a matter of time when the market demand will pick up. Until that time, we should keep patient, and therefore should be able to maintain equilibrium. So that's my answer to your first question.

Second question, I have already said maybe it's too early for us to comment upon it. As of now, that we are navigating our own actions and seeing that -- how do we keep accelerating the execution of those particular things, our strategy in industrial, which we already spoke about because we have a technology available. We are working on the approval. So we want to continue on that. These are some of the changes which are going to happen in the market, but I think it's a little early for us to comment on that particular part.

Moderator: The next question

is from the line of Viraj from Jupiter Financial.

Viraj: My question is, with so much -- so many initiatives, is it fair to think we'll be growing in high - I mean, high single digits from here on, which you talked about early? And the second question is, you mentioned EBITDA of 13%, right? That's my -- yes, that's it from my side.

Anuj Jain: So initiative, if you recall, if you heard our earlier presentation, yes, and we had a situation where there was a gap from the market and therefore these initiatives help us in terms of narrowing the gap. And today, at the segment level, in some segments, we are growing better. Some segments, we are closer. Some segment we may still be lower. I think the first step was that we narrowed the gap.

And also because today the business is not that simple. Peers that used to be paint, now paint -- within the paint, there are too many things are there. So sometimes the -- always a direct comparison with the one company the other company also is not right. What is important for us is that, segment by segment, what initiatives we are taking and what traction we are seeing. And as of now, we are seeing positive traction.

And obviously, as a company, it is always our endeavor to see that we keep doing better, but better on the back of the initiatives. And because our initiatives are showing us the progress trend, a positive traction, so we would like to keep being patient and keep working on these initiatives so that we are able to get better growth across the market growth based on the initiatives.

Viraj: Any number would you like to put on to that, sir?

Anuj Jain: No.

Moderator: The next question is from the line of Archana Menon from Morgan Stanley.

Archana Menon Sir, two quick questions. First, if you could help break down the 1% top line growth this quarter across segments. And in terms of both volume and value, what would your decorative growth be like relative to the industry this quarter?

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Anuj Jain: Overall volume growth is around 4%. Decorative would be slightly lower. And industrial value growth also is positive. Decorative, slightly negative.

Archana Menon Okay. So do you think that your decorative value growth would be at par with the industry this time?

Anuj Jain: Yes, it should be very close to that. As I said that we look at the segment -by-segment level, and therefore certain segments which are growing faster today, new business and project business, where -- though we are doing better than the market, but our salience is lower, under indexed. So sometimes 1% or 2% difference you see because of that particular reason. But the segment level will be very close to the market.

Moderator: The next question is from the line of Yash Goenka from Arka Capital Advisor, LLP.

Yash Goenka: My question had been answered.

Moderator: The next question is from the line of Mihir Shah from Nomura.

Mihir Shah: Is it possible to share your saliency -- sales saliency across North, South, East, West in deco? And which markets are you seeing an overlap with the new entrants?

Anuj Jain: Saliency, I have not talked about the numbers, but our saliency is very high in North, followed by East, followed by West and followed by South. South, we are a weaker player.

And overlap, I think, because the new players are also -- ultimately, they are like all India entrants. So overlap would be there in all the markets.

Mihir Shah: Okay. Understood. Any dealer feedback that you can share in any of the markets that you're hearing, what is

happening out there in each of the geographies? Or is the same thing across geographies?

Anuj Jain: Mihir, not much, because typically trade in fact, obviously, there is some kind of more energy, excitement because a lot of talks happening. The number of players are increasing. As of now, I think

more than the new entrants, the market demand because it has been low and therefore a lot of actions are happening from the existing companies also. So the discussions are around that.

The new entrant, I think is fine because in 6 months, 9 months, and now people have seen that what kind of distribution is coming. Obviously, the products are getting into the market, which is, I think -- if you look at 25 years back, there used to be 7, 8 players in the industry, and then maybe after a few years, some players exited.

We are going back to the same stage where the number of players will increase. And to that extent, market will reset. Even if you see last 10 years, some new players have entered, maybe they have taken the approach which was more gradual. And in the gradual approach also, in those states, you can see some kind of resetting which has happened.

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So I think here, the only thing is that the new entrant is more aggressive when they want to go with the speed. So over a period of time, I think it just gets reset. And I would say that the market feedback is in the same manner what it used to be earlier. Like if you're going to the market, there are 4 people or 5 people, generally people talk about then the competitive scenario, what is happening. So the number of players have increased, but it still remain the same.

Mihir Shah: Understood. Because when the product launch happened, the pricing was not materially different. In fact, we understood that certain geographies, the 10% additional volumes are also

kind of taken back, while in certain other geographies, they continued. Also secondly, is not much of disruption was seen in the dealer margins. Lastly, one was expecting that during the festival there was a new ad campaign from their side. One was expecting some more firework on -- in the festive season, but that was also not witnessed. .

Anuj Jain: Had it been so simple, anyone could have done it. Had it been so simple, because the band, that firework or -- that cannot happen overnight. This is what we've been talking about with respect to the entry of any new player in this industry, the more the merrier. It is good for the industry. And we definitely respect the players, the quality of players who are entering, and I'm sure that they will put a good marketing effort, which will be good for the entire industry.

And industry should accept it that over a period of time, some amount will get reset, but that's okay. And I think what is important is that today players are having a different kind of market share, maybe at some stage it will get reset and everybody grows at the right rate, grows at the right rate in terms of top line and bottom line. That is how we should look at it. It doesn't happen overnight. Nothing happens overnight.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Anuj Jain: Okay. Thanks, everyone, for your questions. As usual, the questions are always good insights for us. And I think we'll continue to work the way what we have been sharing. And looking ahead, I think we are definitely encouraged by the actions we have taken and we are implementing. We would like to accelerate some of the actions where we are seeing a better results coming. And these initiatives, we believe, position us well to achieve better outcome, and we are actively tracking to regain momentum.

I want to assure you of the team commitment, our commitment to creating long-term value. And our team is focused on executing this strategy and overcoming near-term obstacles. And we appreciate your patience and confidence. Thank you, all, everyone, greetings again. Happy New Year to you, to your family, to your friends. Thanks so much.

Moderator: Thank you so much, sir. On behalf of ICICI Securities,

that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: Feb 2025

13th February , 2025

1. Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001. 2. Manager – Listing
National Stock Exchange of India Ltd.
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Sub.: Q3 FY 2024-25 Financial Results Conference Call - Transcript

Ref.: 1. Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015
2. BSE Scrip Code - 500165, NSE Symbol - KANSAINER

Dear Sirs,

This is further to the intimations done by the Company on 30th January , 2025, 6th February , 2025 and 7 th February , 2025 with respect to the Conference Call hosted by the Management of our Company on Friday , 7th February , 2025 at 11 :00 hrs India Time to discuss Q 3 FY 2024-25 Financial Results of the Company. The Conference Call was in the nature of a group call.

We are enclosing herewith the transcript of the Conference Call for your information and reference.

For KANSAI NEROLAC PAINTS LIMITED
P. D. PAI
CHIEF FINANCIAL OFFICER

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Q3 FY '25 Earnings Conference Call "
February 07, 2025
MANAGEMENT : M R. ANUJ JAIN – MANAGING DIRECTOR – KANSAI
NEROLAC PAINTS LIMITED
MR. PRASHANT PAI – DIRECTOR -FINANCE – KANSAI
NEROLAC PAINTS LIMITED
MR. JASON GONSALVES – DIRECTOR -CORPORATE
PLANNING , IT AND MATERIALS – KANSAI NEROLAC
PAINTS LIMITED
MODERATOR : M R. ANIRUDDHA JOSHI – ICICI SECURITIES
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Moderator: Ladies and gentlemen, good day, and welcome to Kansai Nerolac Limited Q3 FY '25 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you, Mr. Joshi.

Aniruddha Joshi: Yes. Thanks, Manav. On behalf of ICICI Securities, we welcome you all to Q3 FY '25 and 9 months FY '25 Results Conference Call of Kansai Nerolac Paints Limited. We have with us today senior management represented by Mr. Anuj Jain , Managing Director; Mr. Prashant Pai, Director, Finance; and Mr. Jason Gonsalves, Director, Corporate Planning, IT and Materials. Now I hand over the call to the management for their initial comments on the quarterly as well as 9 months performance, and then we will open the floor for question-and -answer session.

Thanks, and over to you, Anuj, sir.

Anuj Jain: Thank you, Anirudh. Good morning, and a very warm welcome to all of you. Thanks for joining this call of Kansai

Nerolac for quarter 3 of financial year '24-'25. It's the first meeting of this calendar year and also a special one. Over the last 3 years, we have navigated challenges, taken some bold steps and made some strategic choices that are now bearing fruit. This journey would not have been possible without your support. For that, I sincerely thank each one of you for believing in our and your company.

For the quarter, the top line is up by 1.5%. EBITDA is up by 2.9% and PAT before exceptional items is up by 7.2%. On a relative basis or comparative basis, I think this performance or our performance -- our team performance in quarter 3 has been one of our strongest given the market challenges of declining demand and new competition. We started the year facing tougher -than - expected environment.

Market demand has slowed, and we did not expect when we started the year and competition intensified. Despite these headwinds, we delivered a strong

performance. This is not just a testament to numbers, but to the strength of the foundation which we have built over a period of

time. We chose to adopt to invest in right areas and remain strong future -ready company.

I'll give you some gist of the function-wise, the segment -wise, some of the highlights, which I've been talking about for the last few years. So coming to decorative, the key growth drivers, which we have been discussing with you was one is premiumization and Paint+. So overall, if you've seen this year, we have introduced more than 20 products. In the first half itself, we have added 10 products.

And the salience of Paint+ product is in double digit now. So that's the first milestone which we wanted to achieve, and it is in the double digit now. There was also a focus from our side on the

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Page 3 of 18 premium mix. And there also consistently, we have been improving the salience. And in the quarter 3, it has further gone up.

Overall, if you see the new products, we continued launching more and more products because the market, fortunately, is ready for the micro segmentation and therefore, a lot of new products are getting introduced, the functional products. And our overall contribution of new products is

also in the double digit. So that's a good sign. In this situation, we are trying to bring up the product which can differentiate us in the market.

And in this year, we have introduced a texture range, which is very, very different. We have introduced the product in Excel, which is in No Dust category. But I think what I want to highlight is the launch of Wow Whites. So Wow White is the range of products. These products

are far, far more superior. You can say the best of the whites in the industry.

When it comes to the whiteness, brightness and the coverage, these are the best products in the industry, and they are available at a different price point. So that's a range of Wow White, which is a very, very differentiated unique offering, which we have brought to the market.

There are more new products which we introduced in the construction chemicals, the wood finishes and those products are also receiving a good response in the market. In new businesses, our growth continues to do well. If you remember, we discussed 3 years back when we were not there in this category, our first intention was to complete the range, which is acceptable to the retail market, introduce the range and see that if we are able to place the product at least in our channel, so we have achieved that successfully.

And even for new business, the salience is now crossing double digit. So that's, again, the milestone which we wanted to achieve critical mass, and we are on track. In the project business, where also we were under -indexed and then we initiated in terms of launching a range by expanding the team in the towns. Today, we are present in more than 80 towns now and our growth continues to be better than even if you compare with the industry.

So either it's a new business or projects, so we are doing better. And here also, the salience is continuously going up. It is still not in double digit, but it has been going up. The other part of retail because we divide the business when it comes to decorative in three parts. So one is the project, the new business and the retail. In the retail, we worked on strengthening our position because we are a number two brand, but we wanted to strengthen through the influencer program and services, which we have been talking about.

So the services what we introduced about 2 - 2.5 years back through a service -- paint as a service and through the architect interior decorative. So there also, we have kept a milestone a critical mass, which is around, say, 5% and I'm happy to share that we are now in that particular range. We have touched the critical mass, and it has contribut

ed significantly to our business.

And this gives us very good confidence because here, we are able to reach out to consumers directly through the digital marketing, able to contact the customer, able to convince them about our Paint+ differentiation. And our conversion rate also is good. And in this business, there is a

lot of competition, not only 4, 5 companies, many other companies are also there. And that

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conversion give us a good confidence that our brand has a strength and we can increase this business.

Number of architects, what we are reaching quarter -on-quarter, it is increasing. And now we are -- with this architect initiative, we are there in more than 40 cities, and this also is giving us a good fruits. On the painter front, the number of painters, we have been targeting. Initially, we were a little slowed on this initiative. We were not on target. But the last two quarters here also, we are seeing that now we are in the greener zone where we have started increasing our painter number and our extraction from the painters have started going up.

So this initiative where -- which is like Phygital, so we have a team on the ground and also the digital initiative. This also has started working. It took some time. We wanted to achieve it maybe about 6 months or a year back, but maybe it got delayed, but I think we have started seeing the positive traction on this initiative also.

In terms of retail experience, the total number of shoppes and shop -in-shop concept, we have more than 300 plus now in almost, you can say, more than 100 towns that we have the representation of Shoppe, which is a good experience centre and the customer can have a good touch and feel experience in these stores. Overall, on distribution front, we have now satisfactory growth in terms of the distribution expansion. We are very close to our target what we want to achieve in this particular year.

So these are some of the highlights for decorative. Coming to the industrial business, the automotive part, where, in fact, we are a market leader, our market share is high. Despite that, our approach is to focus on technologically superior products and launching sustainable

technologies, which is one of the requirement of our customers, and we went quite aggressive on that.

Also, in addition, we were focusing on the new segments, seam sealer, underbody, alloy wheels and all these initiatives have been executed and now we have started getting a decent contribution from this. And overall, based on this and the new businesses what -- through our efforts, we are increasing market share in automotive even on the high base, we are able to increase our market share.

Further some of the new products we have introduced is matt clear coat for passenger vehicle, which has a very excellent line workability. There are some special clears for 2 -wheelers, which we introduced, some special PU matt metallics, the matt finish, which goes with the monocoat and these are also very innovative product, which has excellent workability, and because it's a monocoat system, so it helped to eliminate one product and therefore, very helpful for the for our customers to increase their productivity.

In electrical vehicles, which is the trend, though the penetration still is very low. electrical vehicles in terms of 4 -wheelers, 2% to 3%; 2-wheeler, about 5%. In 3-wheeler, it is very high, more than 50%. But and there are a lot of players there, and we have worked on the right product, right approach, whatever strength we have in this segment. And in electrical vehicles also our market share is similar or maybe better than overall share what we have in automotive.

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In auto refinishes, where our market share has been low, but here also, our growth is better than

the industry. Our major focus was in terms of getting into the A -class body shops, where consistently , we are expanding our numbers. And quarter -on-quarter basis, we are seeing the growth is going up. And the growth is coming from the premium product, which has been a part of our strategy.

Coming to non -auto Performance Coating division, which is a combination of general industrial, high-performance coating and powder. There, in fact, this was part of our strategy, which we discussed earlier that we wanted to focus. In the given market situation, we wanted to expand this business, increase our market share. And for that, we expanded the business development team and the feet on ground.

That's an initiative which we started and we are increasing the number. The high -performance coating business, one, it comes from the OEM, the other it comes from the dealer network also who cater to the small industries. So that was that number, dealer number, we are expanding and our reach has gone up significantly in this particular channel and the contribution of the channel sale also has gone up.

We got good approvals. Continuously, we are increasing in high-end coating for railways, bridges, oil and gas, through use of new technologies like fluoropolymer, anticarbonation. These are high -end technologies and which are functional and give a high durability. We are witnessing a strong traction in the market on these.

As I spelled out earlier also, Vande Bharat is one example and Atal Setu Bridge and a lot of credentials we are able to

generate in this business. The growth is good, mainly high - performance coating, where our market share is low. There, our growth is very , very strong and significant, and that is driving the growth of entire Performance Coating division. Some of the new products we have introduced in this category also, the polyurethane -based product for glass filled ABS plastic fan, some related to a topcoat fusion bonded polyester for external, internal pipe coating, some of these products we introduced. It is just to give you an indication that our the journey or the effort, the endeavor to keep introducing the good technology product in the premium category continue.

The focus has been in the premium salience a few years back, we decided to exit some low profit business, which we successfully came out. It took 1, 1.5 year time, and we wanted to replace that business with a premium. So our saliency in the performance coating through the premium is consistently going up, and it gives us the confidence that we are on the right track.

Some of the segments which we are now catering through Performance Coating include bridges, windmills, appliances, construction equipment and also in the powder, the rebar, pipe coating, alloy wheels, construction equipment and some of the global products like performance coating for metro railways, where we are taking the help of subsidiaries of Kansai Paint, our parent company, that also is working. So these are some of the highlights related to the business front. Our capacity is approximately 6.16 lakh KL per year.

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In ESG, we were rated in top 8% globally within Chemical Industry Group in the CSA 2024. In FTSE4Good, we are rated in top 12% globally within construction and material sectors. Also happy to share some of the awards, which we have recently won in the CSR. So we are the winner of Golden Peacock Award for 2024. In terms of quality, best quality supplier from Toyota are some of the awards which we have won.

So these are some of the highlights related to quarter 3. And the confidence is that since we are seeing good traction on the initiatives what we have launched, and it give us a happy feeling that we are on the right track and our performance is improving. And at least in the quarter 3, all the segments, whether it is Automotiv

e or Performance Coating division or in the decorative projects and new business and the retail front, most of these segments, probably whatever results we have seen so far, our performance is better relatively.

Thank you so much. So these are some of the comments on the performance. And now we invite for the questions.

Moderator: We have the first question from the line of Abneesh Roy: from Nuvama Wealth.

Abneesh Roy: My first question is on putty and distemper. There is a decline for you in this quarter. And last quarter also, the feedback was for the industry. Some players are offering putty at a very, very low price. So if you could comment what is the current situat ion in putty industry? Is it still irrational pricing? And is there some slowdown because in some of the real estate, the approvals have been delayed in many cities. Is that also contributing to this?

Anuj Jain: Abneesh, so on putty, as we were saying earlier, so pricing definitely is a challenge in the marketplace. I have not seen that whether market is able to realize or companies are able to realize better pricing. So maybe the volumes are already built and to some extent, when the demand is down, you're not able to correct the pricing.

And yes, in our case, it is negative because we are clear in mind that we have to strike a right balance between the growth, profitability and sustainable growth. So that is very, very important. So as of now, we don't see much change in the putty scenario.

As related to real estate, overall project business is an indicator. There, I think the growth is still continue to be good. So maybe some approvals, it's fine. But I think if I look at the growth as of now, the project business is on the good traction.

Abneesh Roy: Sure. My second question is on the competitive scenario in the decorative. In the earlier quarters, you have said that your confidence level is improving. So if you could tell us how is the confidence level now that almost 2, 3 quarters have panned out for the new entrant?

And if Akzo gets sold to, say, JSW or say, Pidilite, what will be your thought process? Because essentially, it means a good brand goes into maybe stronger hands who have a more aggressive policy of expansion in India in that space?

Anuj Jain: So Abneesh, like we discussed earlier also that now, obviously, because of the new competition, many new players have entered, one player aggressive, but there are other players also. And

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what we are definitely seeing, as we said earlier, that the market takes time to build brand, distribution and the painters, it takes time. It does not happen immediately. Generally, when the

new competition come in, as a competitor, what we want to watch is there a differentiation? Is there a some kind of unique thing, innovation because that can create a disruption in the market. We have not seen that. As of now, it's more related to maybe more spending in the market, whether it's a marketing activities or customer -free material on that particular front. And if you look at -- if you total it up, I think that amount is pretty large.

And despite that, that whatever we think the response -- obviously, there is a response to the competition. It's not that. To some extent, the redistribution of the market is happening in terms of the market share.

But I think if you see based on the spending free, which I feel is short -lived because we have seen that whenever there is some moment of time when the profitability pressure start and when you start withdrawing, the market does not accept.

So I think with this kind of approach, whatever sale is there, I think that gives you more confidence that, that market is built based on the brand distribution. And when I say distribution, the quality of distribution because just by spending money if you're getting the distribution and all th

ose things, how much it will work, we have to see because obviously, the competitio n is putting their best effort.

And as we said earlier also, they are good names. So I'm sure, and they have good people, so they will continue to work. But as a company, we feel that, yes, there is a decent amount of visibility what we have today. There is an impact of the new competition. I won't say that there's no impact, but it is visible to us. And then based on the initiatives that we have taken, I think our confidence is high that we will be able to mitigate and navigate these challenges.

On your second question, I don't have much comment as of now because at the end of the day, whether the business is in one hand, the other hand, what is more important is that how any company when they get into it, how they want to take the business forward, how much aggressive they want to take because the current strength of the business is a premium sale, good profitability.

So I think if any company want to maintain that, then whether it is in this hand or that hand, the competition remains similar. But if any there are further changes, I won't be able to comment as of now.

Abneesh Roy: Sure. That's helpful. One last follow -up from my side. Essentially on the new competition only.

I do completely agree that no big disruption in terms of product or the marketing strategy, et c.

Only question is in terms of the dealer shelf space, it's very limited. So have you seen that the new player is able to completely remove the second or the third player?

I understand removing market leader is out of question. But in any market, I'm not saying only the one brand, pan-India thing. In one region, one can be bigger than the other. So I'm asking the second or third brand, is it getting replaced by the new competition in the dealer shop? And

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similarly, on the painter side, if you could tell us, is there any pushback for the legacy players for you, for example, versus the new players?

Anuj Jain: So Abneesh, they're getting the distribution. New competition is getting the distribution, but it's more of a numeric reach. So paint industry work on 2 fronts. One is the numeric, the weighted. Weighted are the larger ones who probably have more say in the market.

As of now it is more numerics and -- but that is also helpful in terms of bringing up the visibility.

So that is there. But on your second question, where you're saying the number two , number three players are getting replaced, my answer is no. So as we said earlier also, because I don't think it's a matter of size.

What is more important is the agility. A player like us work with the good relations. And as we said, that the differentiation what we are trying to create, I think impact on the number two , number three players is lesser, I would say that.

Moderator: We have our next question from the line of Aditya Bhartia from Investec India.

Aditya Bhartia: So my first question is on competition itself. Besides some market share gain that, let's say, some of the new entrants may have had, how are they really impacting the business economics? Are incumbents also being forced to respond to some of higher rebates or incentives that new competition may be giving or higher marketing spend? Is that something that you are seeing?

Anuj Jain: So what I would say that because the new competition is aggressive on all fronts, whether it is marketing or dealers or painters or demand generation team, they are pretty aggressive. So that

way, we have a good competition in the market, let accept it. But over a period of time, what we have realized, and as we have been saying earlier, building brand takes time.

So even if you are going aggressive there, as a company like us, we are number two brand. It is already built. It will take time, and we don't have to react to that. So I think

in this situation, maybe we'll have some reaction, which is specific to some product and some geographies. But overall, it's not a reactionary approach. Overall, it's an approach where we would like to strengthen our customer value proposition, and that is what we have been working upon the initiatives, some of the initiatives what we are talking about. And initially, the competition has spent a lot of money. We don't have to react on that. Yes, we are not required to outspend on that particular part. So I think we are going fine. When it comes to the market, there is a realization that even if you give some higher discounts or some higher incentives of painter, it's not that based on that, the some market will move away. So my guess is that maybe if you say 4%, 5%, so the market could be going in favor of the new competition. But as of now, that's it. So even there, it's not a situation where you have to match and therefore, beyond a point, the margins will get impacted. So I think the quality of distribution over a period of time, what we have created, the brand strength, what we have, the relationship what we have with the painter is working. And no one

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can deny that there will be some redistribution of market share for 1 year or 2 years, but it will get reset. And to me, it's a sign of the mature and competitive industry where, in fact, the market is big and market has room for growth. And I think in this situation, what is more important is that without overly worried about market share redistribution that how do we reposition ourselves is more important. But I think the clarity is that the market has a room for growth for all players. And what is important is that what you carve out for yourself, how do you reposition for yourself, and that's a positive scenario. Aditya Bhartia: Sure, sir. That's helpful. And on competition in the putty market, sir, just 2 clarifications. One is that from my understanding, we largely use outsourced manufacturers to kind of manufacture putty. Is that understanding correct? And with the kind of pricing that's going in the market, what do you think would be the prevailing margins, both at the gross margins and maybe some estimate at the EBITDA margins as well? Anuj Jain: Very, very low margins. So it's outsourced, you're right. Your understanding is right. Margins are very low, maybe I don't know whether there are margins or not margins, but very, very low. That's why, in fact, in our approach of striking the balance between the market share and sustainable growth and profitability, we appropriately decide, and that's why we said it is negative. As of now, margins are question mark. Aditya Bhartia: But would they at least be positive? If you sell more putty, would it be accretive on an overall basis or there's a risk that it may lead to losses? Anuj Jain: Yes, there's a risk. Aditya Bhartia: Understood. And sir, just one last thing. On auto refinish segment, if you could give us some indication about what your market shares may be today. And given that I mean, my understanding is that market shares at this stage may be low, then from that perspective, do you think that a single-digit growth is not good enough and maybe you would have liked to be growing at a faster pace? Anuj Jain: Yes, that is our approach. But there also the route what we have taken is through the premium. So we are not getting into any categories because there are a lot of categories which are low profitable items. So we are not targeting that. So our market share was low single digit. But last 2-3 years, every year, we are increasing the market share. Even in this year, we are increasing the market share. But we have chosen our segment. We are not going if you are asking, we are not going after auto refinish is full. We are going after some segment in the auto refinish.

And in those segments, we are gaining good market share, double-digit market share. Overall market share is low, but overall market share is also increasing. Moderator: The next question is from the line of Tejas Shah from Avendus Spark Institutional Equities. Tejas Shah: Sir, post-COVID, the residential and commercial real estate picked up. And logically, we expected that to translate into strong demand for paint players by now, but it has not happened. So where is the gap in our understanding here?

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Anuj Jain: Very good question, but I don't know whether I have the answer for that because I can only give some indicators that maybe post-COVID, maybe there is a preponement of things have happened. Maybe people wanted to concentrate more in terms of painting and they wanted to improve the lifestyle. So there was a pent-up demand. And in that process, maybe there is some kind of advancement, which has happened. Second, obviously, in last 1-1.5 years, because obviously, the paint industry also has not seen this in past years probably this is our first experience we are also experiencing otherwise, paint industry

has been able to navigate all kind of challenges, all kind of slowdown and still continue to grow. This is the first time we have seen that the paint industry demand is impacted. I think it's directly proportionate to the consumption down, which is affecting all discretionary items. Also, there are a lot of new technology areas where probably people are reallocating the money what they get in their pocket. So to some extent, there is an impact of that. Earlier, the rural was impacted. Now the consumption is a problem in urban sector also. I hope with some of the good steps the government has taken in the recent budget, in both the pillars related to consumption and the CapEx, this will help. And I do foresee that gradually -- I do foresee a gradual recovery in the demand. How much it will go, whether it will go back to the earlier stage, we still need to wait and watch, but I see a gradual recovery.

Tejas Shah: Perfect. Sir, last, not pertaining to the quarter. Hypothetically, if you had 1 or 2 years more in the role, what unfinished business would you tackle? And what one line playbook advice you will give to your successor, Mr. Chaudhari?

Anuj Jain: No. So I think for me, leadership is about guiding the organization through the change and ensuring that it is stronger than when you took the charge. So I think the transformative journey what we had gone through and the initiatives what we have implemented. So we have from one stage, we have come to the second stage. So one obviously is the continuation. That's something which is working, how do we continue. And obviously, with every change, there is always the opportunity to bring something better. So as a combination of foundation what we have built and which is definitely indicating today that the quarter-on-quarter basis, our results are improved, and we continue on that and then bring something better, which every change is supposed to bring. So I think as a combination of that, I feel confident that the company will see a better future.

Moderator: The next question is from the line of Avi Mehta from Macquarie.

Avi Mehta : Sir, I just wanted to check with you on how should we look at the -- when we had started the quarter as towards the end of 2Q, you had indicated towards an expectation of margins. Now do you see that range of 13% to -- lower end of 13% to 14% probably being much better than what you had started given how the third quarter has been?

And the second question that I had was on the decorative side. So this is the quarter where you've done better than the later. Is it fair to expect this to continue going forward? Or is there anything that one should be aware of which could delay the continuity? Those a

re the two questions, sir.

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Anuj Jain: So margins, in fact, that has been our endeavor. That is what we have been maintaining that our endeavor is to maintain the range of 13% to 14%. We stay with that. Obviously, based on third quarter, you may see it -- you can see it better. But let's remain in that particular range because we need to be prepared for any additional step of the competition. So it can be better, if I have to say it can be better, but we would like to stay in that range of 13% to 14%. So that's what. And second, our growth because it has been a journey. If you remember last 2, 3 years also, we have been talking about it. So yes, every company changed the numbers, but we changed the numbers through some process. And for that, we have clearly spelled out our initiatives. And our complete focus was in basically ensuring the effective execution of those initiatives. And today, at least then when we talk about those initiatives, the critical mass we have crossed.

And our betterment of the growth has come based on the successful execution of those initiatives. And therefore, it is definitely sustainable. It is not something that just changing the numbers. So it has come based on those execution of the initiative, and therefore, I definitely see it sustainable.

Moderator: The next question is from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: Since the drivers and the demand situation is very different currently for decorative versus industrial, could you give us some idea for the quarter, what was your value and volume growth in the decorative business, please?

Anuj Jain: Volume growth -- paint volume growth is marginally positive and value growth is degrowth, slight degrowth or low single -digit degrowth, you can say. And in industrial part, it is high single -digit growth and overall growth is 1.5%.

Percy Panthaki: Sorry, in industrial, did you mention the volume or the value growth?

Anuj Jain: Industrial, I'm mentioning the value because generally industrial, we talk about value. So value is high single -digit value. In decorative, it is low single -digit value and negative -- decorative is negative, low single -digit value negative. In terms of volume, paint volume growth is slightly positive. And overall, obviously, because of industrial, our volume growth is decently positive.

Percy Panthaki: Understood. Understood. Secondly, I just wanted to understand, given all the initiatives that you have done over the last 2 to 3 years or even if you want to take a longer period, like 5 years, for example, has it resulted in any kind of change in your geographic sales mix? And if so, can you

give some quantification or some idea about the same?

Anuj Jain: So a little difficult, but let me attempt to answer it. So generally, we are stronger in North and East, and we are so North East, West and South. So what we have done is some of the initiatives, for example, project business. Now in some markets, weaker market, so we have not gone after the retail, we have gone after the project. So to that an extent, today, the weaker markets also started performing on the back of, say, project. So it is not that we pressed all the levers in all the markets. So some -- so what is important to know is that, yes, we remain strong in the markets where we were stronger. And in the other

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markets, through some initiatives, we have started performing better because there are limited resources, and it is very difficult to apply all the resources across all the markets.

So we have chosen some segments, which are like segment and market approach, geography and segment approach. So it's not that, that approach will give you a very good increase in terms of market share because, for example, if y

ou are taking a project approach in a weaker market, project business could be contributing 15%, 20% of that market.

In that business, when we start improving, our market share will go up in the project business. But overall impact will not be very, very significant. The only thing it will help is that if you are going behind the market, we'll start going ahead of the market. So overall mix has not changed, but some of these initiatives have started giving a result in the pockets.

Percy Panthaki: Right, sir. And last question is, if you can give some idea over the last 3 years or so, what is the increase in the number of distributors and tinting machines? And what do the number of distributors and tinting machines stand as of today?

Anuj Jain: So we have been targeting double -digit increase in the distribution expansion, which we are plus/minus 1%. But even in this year, we are on target. So continuously, we are able to do that. And our -- this penetration of the machine is closer to 75%. So that's the penetration which we are maintaining.

Percy Panthaki: And would I be right in assuming roughly ballpark that number of distributors you have would be somewhere in the region of 35,000 to 40,000?

Anuj Jain: Yes, you are close to that.

Moderator: We have our next question from the line of Mihir Shah from Nomura.

Mihir Shah: Congrats on a good set of numbers, sir. So there's a very stark difference in performance this time for you and the market leader in both in sales and margin. If you can share your thoughts around why this difference is there in sales? Is it due to the difference in geographic presence or urban rural presence? Or is it due to your focus on premium more versus less focus on the economy segment or the putty segment?

And maybe a third part is that is there an angle for competition not impacting your regions as much as it is impacting the market leaders' regions? I know it will be a combination of all the three, but maybe which one is contributing to the highest and the lowest. Your thoughts around that would be really appreciated, sir.

Anuj Jain: Mihir. I think we were never ever got into that what competition is doing. Obviously, as a company, we keep a track. We respect all the competition. But as we said earlier also, for us, what was important in this situation is that what is best for us because as a company, we cannot keep following because something which is good for other company may not be good for us. We developed our strategy.

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We completely focus on that. And we were never going here or there. So we were just simply putting efforts in terms of execution of our strategy, whatever we have spelled out. And I'm just happy to share that, that is working because some of the steps, if you see, there were new steps. We were not there in the services at all. And today, when we are generating a business which is coming closer to 5% is the new capability what we have developed. And all these initiatives are new initiatives for us.

I will call it a transformative journey because we reimagined the business model where we said we'll go from Paint to Paint+, primary to secondary and product to services. And that is what we have demonstrated that Paint to Paint+. Today, Paint+ is more than 10% of our business. Primary to secondary, we have a large team in the market.

And today, we are able to track when we are selling to our dealers and distribution, how much we are converting to secondary, and it's an ongoing journey. And then product to services, that part of the business started coming from services. Ultimately, we are able to generate the business on our own and partner it with our dealers and the painters who are a part of our ecosystem.

So I think as of now, I can only say that, that strategy what we have adopted, and it takes some time to take a shape,

which I've been talking about all competitors also that nothing happens overnight, even when we started this journey because otherwise, there was no differentiation in this industry. It's like that you have product, similar kind of product, go to the market, give discount and sell it. It's a pure sales job. So I think we have taken a new route or maybe some companies were doing it, we were not doing it.

But I think even if we are able to take that particular route, which is more qualitative route, and we are able to build those competencies that today that business we can handle that when we participate into that business, we also get the business. So that is what is working for us, and that is what is giving results. It is not a question of that whether the competition is affecting one geography or other geography.

I think competition is equally affecting the geographies where they are entering as of now, I'm just saying. So I think it is just a patience work for us, sticking to our strategy and continue to work on that without getting disturbed with what is happening in the market.

Mihir Shah: Got it. That's very clear. And clearly, it is showing up, and we have always appreciated your strategy into getting into new things and what you called out in your opening remarks, reaching double digits in many of the new segments is a testimony of the strong execution. We are hoping that it will continue the strategy that you embarked on will continue going forward also. And I just wanted to wish you all the very best, and thank you for all your contribution. Wishing all the best sir.

Anuj Jain: Thank you, Mihir. Thanks a lot.

Moderator: The next question is from the line of Mrunmayee Jogalekar from Asit C Mehta Investments.

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Mrunmayee Jogalekar : So my first question actually was with respect to the revenue growth that we expect maybe in the next couple of quarters. Is it possible to reach high single -digit kind of revenue growth, say, starting from Q1 of FY '26, considering that the base would catch up and some improvement on the demand side as well?

Anuj Jain: So I can't really comment upon it because to be very frank with you, when we started last year, we never anticipated that market will degrow, okay? And to some extent, market growth is down, which is impacted by demand and also to some extent, new competition who would have taken 3%, 4% of the market. So let me accept it that we fail to predict that what is going to be the market demand.

As of now, I can only comment that based on some trends, what we are seeing, some action from the government, what we are seeing, that there is going to be a recovery. Very difficult to comment that whether it is going to be high single digit. I see a recovery. Maybe from the negative, it get into a positive area. But how much positive, difficult to comment. We'll have to wait for 1 or 2 more quarters to see that how it is ramping up.

Mrunmayee Jogalekar : Okay, sir. And secondly, actually, I wanted to ask that the A&P spends that we have, most of them would be for the decorative side of business, right?

Anuj Jain: Yes.

Mrunmayee Jogalekar : So if I look at our A&P spend as a percent of not the overall revenue, but as a percent of just the decorative revenue, it is kind of a higher percentage compared to the other players that are there in the industry. So is there any part where we are maybe reducing that percentage or something like that we have on cards? Anuj Jain: So we don't look at the percentage to sales basis. Basically, what is optimal to support the strategic initiatives, that is how we calculate -- activity -based initiatives we decide. And obviously, the percentage is higher. But as our activities are maturing, I think that we definitely feel that this percentage over a period of time will come down. Today's situation, saying

it difficult because we still have to wait and watch that how completion pan out, what we need to do. But maybe some indication as of now that at least it will not go up. It can be definitely controlled, maybe now or maybe a year from now. But I think the initiatives which has started working, we will continue to invest there. But I think even if this percentage higher, we see that it has supported the initiative. So it will not go higher. It may remain in the same range or maybe there is a potential to reduce over a period of time.

Mrunmayee Jogalekar : Okay. Got it. And just one last clarification. Are you able to share what is the share of rural in our decorative business?

Anuj Jain: It is -- depend on how the rural is defined, but whatever way we define, it could be around 35% -- 30% to 35%.

Moderator: We have our next question from the line of Aniruddha Joshi from ICICI Securities.

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Aniruddha Joshi: Yes. Sir, just two questions from my side. So first of all, now with the new Managing Director joining, what will be the likely change in the strategy? Because after you had joined, we had seen there was multiple initiatives done towards premiumization as well as expansion of the product bouquet as well as services as well as expansion of the distribution network. So what are the possibilities? I mean obviously, that is a really question to the new team. But anyway, what can be the likely changes in the strategy? That is question number one. And secondly, in terms of the putty business, so putty plus primer plus waterproofing, what is the total revenue contribution? And what is the current profitability of that business also? And lastly, now we'll be taking in a way, a big amortization in Nepal and in Bangladesh -- sorry, Bangladesh and Sri Lanka businesses also. So how should we read about the future over the next 3 years in these 2 entities? Yes, that's it from my side.

Anuj Jain: Anirudh, in our company, Kansai Nerolac Paint, I think it is always a teamwork. So it is not that my work or this is completely a teamwork. The complete leadership team has worked together and including KPJ, who's our parent company. And the new Managing Director is Pravin Chaudhari, who is part of KPJ.

So everybody is involved into the strategy. The strategy is well adopted by everyone. So it's a teamwork and the team continues and that I'm also there with the company, may not be as a Managing Director, but to ensure that smooth transition, everything is set. So to that extent, it's a teamwork and teamwork will continue.

The second is on the putty business, putty contribution may be higher single -digit contribution to the business. Margin, I've already said that. I don't know the exact margin, but I think the margins are not there, you can read it like that.

And for this Sri Lanka, Bangladesh, yes, we have done that because Sri Lanka, Bangladesh have gone through a very volatile geopolitical situations, and therefore, the business had been impacted. By the prudence that we have taken the impairment, and we hope that now these countries will pick up, the business will be good. And therefore, it is positive because we have already taken the note and taken the impairment, conservative prudence we have taken. So it can be only better in the future.

Aniruddha Joshi: Okay. Sure, sir. Understood. Just one clarification. Post 31st March, is it total retirement you are taking? Or you will still continue to remain associated in -- at least in a nonexecutive role or guiding force kind of a role or something like that?

Anuj Jain: I'm made for Nerolac. So whenever company require, I'm available for any kind of advice and ensuring there is a smooth transition. I'm available.

Aniruddha Joshi: Okay. Sure sir, understood. And wish you all the best post the life after 31st March.

Anuj Jain: Thank you, Anirudh

Moderator: We have our next question from the line of Ajay Thakur from Anand Rath Securities.

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Ajay Thakur : Sir, I wanted to understand a bit more in terms of the redistribution of the market share, which you were pointing out to. What would be currently the share gain by the new competitor, if you can throw some light? Will it be something in the mid-single -digit kind of a range or higher? And do you believe that given the consistent the distribution expansion that we are obviously kind of trying to play out? Can it reach to maybe something like a high single digit?

Anuj Jain: So as of now, just a rough estimate. I may not be very strong on the numbers, but 3% to 4% of redistribution would have happened. If I just talk about the history, if you see last 10, 15 years also, 2, 3 players have entered and they've gained 2% to 3% each. So last 10, 15 years, 10% of redistribution has happened over a period of 10 years. And that's why probably the market has not realized. But this has happened faster, maybe the 3% to 4% redistribution would have happened.

Going forward, whether it can be in high single digit, no comment because as I said, that a good competition has come in the paint industry. And therefore, I definitely give a credit to them because in the past also, some companies have come but not been successful. At least now there are good -- the companies are doing a good work and they're able to do it. But whether it will go to the high single digit, I have no comment on that.

I can see the intensified competition in the market. But to me, you may achieve a market share. Our market share is not the only metric to me. When we talk about the business, market share is one metric, but also what is important is the profitability and the sustainability of the growth. Achieving the market share, it can be achieved, even the higher single digit can be achieved. But if it is coming on the back of effect on the profitability, then how -- whether it will be a

short-lived or long-lived, it need to be seen. Higher market share, sustainable market share is the function of quality of distribution, brand equity and the product differentiation. What we have not seen as of now is the product differentiation. Brand building will take time and the quality of distribution is yet to be seen. So that is how I would like to answer this question.

Ajay Thakur : Understand. That's helpful. Second question was more on the volume -value gap. So industry has been seeing the volume-value gap persisting while it has kind of reduced for some of the players, but leaders still kind of struggling with the volume -value gap. If you can throw some light in terms of when can we expect the volume-value gap to kind of diminish or kind of go off for the industry and for us as well?

Anuj Jain: So for us, it is significantly reduced. The volume -value gap is significantly reduced. But I won't be able to say whether it will diminish because one is the function of putty. So putty is a good product, but maybe at the wrong price. So tomorrow, if there is some correction in the price and the putty growth goes up, then volume -value growth could remain.

Also, like there are a lot of products which are getting introduced in the construction chemicals, which are also lower ASP products. And then there are efforts by the industry to pick up the sale on the lower -end emulsions. So I think the volume -value gap would remain, but the gap is reduced, but it will remain in a healthy manner.

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So today, maybe the volume -value gap is reducing because of putty and putty, obviously, one need to see that the pricing should get corrected. But in the future, if there is a gap, some gap, which I still feel volume will be ahead of value, it will be a healthy

gap. It will not affect the margins of the company.

Ajay Thakur : Understand. Quite helpful. Thanks, sir, for all the key interaction that we had over the past few years. It's been a pleasure kind of interacting with you. And all the best for your future.

Anuj Jain: Thank you.

Moderator: The next question is from the line of Sheela from MS .

Sheela: Sir, my question was more on the medium term. As we sit today, and I know the demand environment is not as we would like it to be. But when we think about the next 3 to 5 years, what in your view would be the industry growth rate for the decorative paints business? I know in the long run, we have always said that this is certain x of the GDP growth rate.

But today, how do you envisage that? An earlier participant had asked the question around the real estate demand and how it's not getting respected in the paint sector. So taking everything into consideration, how do you think the trend would be?

Anuj Jain: So my take is that trend will be positive. I foresee a higher single -digit growth for the industry over a period of 5 years. And there is a simple calculation for that, the penetration of the paint is lower. With the new competition coming in, many more good players coming in and they are getting into marketing, creating awareness of the product, the penetration will definitely increase.

So that will definitely help. And also, the upgradation will happen on the back of the communication going up because even in this year, if you see the share of voice of the paint industry, if we look at the entire media, if you look at all companies put together has gone up. And therefore, I definitely see more formalization will happen in the paint industry. And penetration is low, more formalization and more awareness. So these are clear -cut indicators that this is just a short- term impact on the demand. And if you're talking about next 5 years, high single digit is something what I envisage.

Sheela: So slightly below the nominal GDP growth rate. Is that the right way to look at it?

Anuj Jain: So generally, -- difficult to say. That's like a positive scenario. I'm just saying that if you look at last 30, 45 years, then it can be closer to the GDP growth also. But based on the current situation, I'm saying higher single digit is something that I feel it can be better.

Sheela: Understood. Sir, my second and final question is the point you made about how the painters have become an important influencers for us over the last 2 quarters. Just from your lens perspective, in the previous question, you said how quality of distribution, brand equity, everything matters. But from an influencing standpoint, how do you place the various stakeholders to drive growth?

When we talk about dealers, we talk about painters, we talk about the interior decorators and

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others. So how do you place each of these stakeholders from an influencing standpoint to drive consumption or drive demand?

Anuj Jain: So actually all are equally respected and all play a role and they are a very important part of the

ecosystem . somewhere the role is lesser or higher. But this is a chain. So you can't handle one and then leave other and then a chain is broken. So everybody is to be taken care of.

But having said that, obviously, for any company to increase the business, demand is definitely more important. And demand comes from 2 parts. One is the consumer demand, which is a function of advertising and marketing.

And the second is the painter because there's a large influence which painters can also make. Therefore, building up the relationship with the painter and therefore, in return, getting their recommendation for your brand is very important. So what we have been working upon is the demand factor because our brand equity is high, and in terms of the mind share,

we are number two.

So we have been putting more emphasis in creating the demand through the influencers.

Influencers include painter, contactor and architect. And it also helps – because our dealers are our partners. So when we do that, we are able to give them more positive contribution to the business. In the process, we are keeping our customers happy, and that's what works.

Moderator: Ladies and gentlemen, that was the last question for today. And I now hand the conference over to the management for closing comments. Over to you, sir.

Anuj Jain: Thank you, everyone, for asking questions. Your questions are always insightful for us, and it always give us some good insight that what you feel, what you want to have. I understand that you want to have more visibility, more predictability. And I have tried from my side that to give you some transparency and that you are able to read that how we are working.

And that's what we have been talking in the other forums also and today also, we tried to highlight related to the progress on those initiatives. So I had 2 -- 3 good years, transformative years, I would say, and the time has come for me to retire from the services.

Pravin Chaudhari will take over from 1st of April. He knows the company well. That is what I was trying to tell you. And the leadership team is fully equipped. Strategy is clear, and the foundation what we have built is strong enough to sustain and accelerate growth despite market challenges.

What we have demonstrated and quality over quantity has been our approach that will continue. I'm grateful to the trust you have placed in me, and I go with full confidence that the company is poised for a brighter future. Thanks for support and trust. Let's move forward. Thank you.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2025

25th April , 2025

1. Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001. 2. Manager – Listing
National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E), Mumbai - 400051.

Sub.: Transcript - Analyst / Institutional investors meet by Kansai Paint Co., Ltd., Japan,
Promoter of our Company

Ref.: 1. Regulation 30(6) of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015
2. BSE Scrip Code - 500165, NSE Symbol - KANSAINER

Dear Sirs,

This is further to the intimations done by the Company on 15th April, 2025,
17th April, 2025 and 18th April, 2025 with respect to the Conference Call hosted by
Kansai Paint Co., Ltd., Japan, Promoter of our Company on Friday, 18th April, 2025 at
4 p.m. (Japan Standard Time) i.e. 12.30 p.m. (Indian Standard Time) to discuss business strategy
briefing on India operations . The Conference Call was in the nature of a group call.

We are enclosing herewith the transcript of the Conference Call for your information and
reference.

For KANSAI NEROLAC PAINTS LIMITED
G. T. GOVINDARAJAN COMPANY SECRETARY

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1 India Business Strategy Briefing Held on 18th April 2025

- Ms. Matomato – IR & Public Relations, Kansai Paints Ltd. :

- It is now the time to start Kansai Paint India Strategy Briefing. My name is Matomato from
the IR and Public Relations Department of Kansai Paint, and I will be serving as an Emcee.
Thank you very much for taking the time out of your busy schedule to attend the Kansai Paint India Strategy Briefing. I would
like to introduce the attendees from our company.
Takashi Tomioka , Kansai Paint, Director of the Board, Managing Executive Officer and
Chief of Corporate Planning, Finance, HR & Administration & Operations and from Kansai
Nerolac Paints, Mr. Pravin Chaudhary and Rohit Malkani and Hirokazu Kotera and
Amrit Rekhi.

- I will briefly explain today's schedule. After this, first , Tomioka will say a few words to
everyone. After that, Tomioka and Kansai Nerolac Paints will explain the India Business
Strategy. We will then move on to the Q&A session. This is scheduled to end at 5:15 p.m. Japan time. Therefore, there is a
possibility that questions are asked from the Indian side,
so we kindly ask you to keep your questions to one question at a time.

- Now, without further ado, Tomioka will deliver his greetings.

- Mr. Tomioka Takashi – Director of the Board, Managing Executive Officer, Kansai Paints
Ltd.:

- Hello, everyone. Last year end or the beginning of this year we have the presentation in
Europe and then Africa, so this is the 3
rd time we have provided this Strategy Meeting.
Thank you very much for participating and we will do our utmost to provide the best mix
of this session. On 11th of April Mr Nishibayashi director of our company had to step down
due to health reasons . I was working in the corporate side, but I have now transferred to
the Business Unit. However, I am the CFO and, therefore, I will continue my role engaging

in a dialogue with the investors. There is no change in the IR activities going forward. I hope to engage in good communication with you going forward and the results of the dialogue we have with the investors that will be comparing to the business side in our company.

- Without further ado, I would like to go to the presentation. Now, today we will follow the process of Europe and Africa. We will first talk about the value of India for Kansai Paint from my part.

- Next slide, please. Here, I'm not going to lever this point in detail but as you know very well India is the vision that we are hoping for most growth in our Group. On the part of Page 2 of 27

2 the Group India will be leveraging three pillars which are Auto motive, De

co and

Industrial. And by so doing, we will aim to reach the number #2 level in India.

- Next slide, please. Here, it's India Business at a glance. So, this is something that I've covered many times in the past. Within Kansai Paint, the percentage of India sales is around one-quarter of the revenues, as you can see on the left-hand top pie chart. This is a very significant position. And looking at the breakdown of India, as you can see below, Auto, Industrial and Decorative; these are the three pillars. You can see that more than half is accounted for by Decorative. And going forward, we want to grow that Industrial, Auto as well and so we will have three distinct pillars in the India segment. Right hand side you can see that. As you know very well, India has continued significant growth in the past. And on the part of the Kansai Paint Group, we are exceeding the growing market. We hope to maintain this momentum going forward for India. Overall, India is expected to grow above the global level, and we want to exceed our strength in India as well, as you can see. Although there are some concerns the Indian segment has hit bottom in '21 and it has now returned to the growth trajectory under the new management members who will be speaking today, we hope to continue this growing trend going forward.

- Please go to the next slide. These are the long-term and short-term perspectives that are outlined here. In the long term, we are aiming to become the number #2 group, and 10% growth is what we would like to achieve constantly. The EBITDA margin is to drive the level of our group, but we want to reach high levels EBITDA margins in the next 2 or 3 years, in the near term. Compared to our expectations, there is some softening in the market, but we are aiming for 9% growth on an annual basis EBITDA margin. We will aim for 14%- 15% on our road to achieve 18%.

- Now, the headquarters expectations for the India segment are under new CEO to be a leader of the Kansai Paints Group. And to maintain the number #1 position in the Auto business further and to become number #1 in the Industrial coatings. These are the high expectations of the headquarters toward India and overall establish a unique portfolio business model to be fully leveraged so that the growth and profitability can both be achieved. We want to show you that this is possible in the Decorative coatings market.

- The main speaker is my Indian colleagues, so I wanted to make my presentation brief. But moving on to the next page. So, here onward I'm going to pass the baton to the Indian side and the new management will discuss our plans going forward. So, first, to Kotera San, over to you.

- Mr. Hirokazu Kotera - Executive Director, Kansai Nerolac Paint Ltd.:

- Thank you very much, Tomioka San. My name is Mr. Hirokazu Kotera. I have been based in Mumbai for the last 2.5 years and am currently acting as the Executive Director of the company. And, again, please allow me to introduce our leadership team here who are Page 3 of 27

3 participating in today's session. First, Pravin Chaudhary, Prashant Pai, Rohit Malkani, Amrit Rekhi and we have Mr. Yash Ahuja, who is our CFO in designate here, also attending today.

- And now, it is my great pleasure to introduce Pravin Chaudhary who is a seasoned leader with over 30 years of global experience in the paint and the pigment industry. He will bring a strong track record of driving transformation and sustainable growth. Having worked closely with him, I can say with confidence that his leadership consistently reflects the values and principles as shown here. So, with his integrity, clear vision and deep

commitment to people , I do believe that he is exceptionally well suited to lead us forward further and we are confident that under his guidance we should be able to reach new heights and

create a lasting value.

- So, now , I will hand it over to Pravin.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd:

- Yeah , thank you. Yeah , so as you can see India long term growth story continues and it is supported by some of the features which are listed here. I'll touch upon some of them. India offers a rich demographic population with median age of 24 years and young and working age population. These are the factors which will support growth in the coming years. Further, urbanization and infrastructure push and Make-in-India , which the government of India announced and going well, is also fueling long -term demand. India's GDP growth remains resilient at 6 %-7% and it is expected to do so in the short term driven by strong domestic demand. So, overall, India remains a strategic market for Kansai Group and its offering massive potential in construction, Industrial for infrastructure and Auto motive as a whole.

- Next , please. So , this slide has been presented earlier also in our Investor Conferences. However, there's one change which you see on the top with the vision now prerequisite for a Kansai Group which is 'Enrich life with happiness '. So , you can see that Kansai Group is transforming itself and redefining its positioning as we go forward in this midterm plan. You can see from the picture, Nerolac touches lives in many forms and ways. The aim of Nerolac , hence forth, is to bring happiness by being solutions company going beyond just colors and beauty. Expanding portfolio and this shift will add diversity and resilience to our portfolio beyond Decorative coating.

- Next , please. Yeah, this slide tells us our segment wise penetration and you can see that we are present across all major coating verticals and have a very diversified portfolio , having unhindered access to global resources. You can also see our position. So , in two categories , Auto and powder , we are number# 1 and in décor, general Industrial , high performance we are number #3 and only on Auto finish because we entered late, we are number# 4 but there also we are catching up fast. Our vision here is not just volume

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4 expansion but it's a strategic market share leadership across all segments. Our emphasis on in-house innovation ensures long term differentiation and margin protection. The footprint strategy here focuses on targeted presence where there is a higher growth potential in the market.

- Next , please . As far as our vision is concerned, as I explained earlier, here the strategy is not brand new , but I think we're embarking on a transformation mission. We are activating dual levers of growth which will consist of market products and segments and enablers which will be supported by processes, governance and digitalization. And our growth drivers will be investing in fast -growing segments of Industrial coating and we look at expanding our presence in infrastructure base. One Kansai approach, which is defined by our Kansai headquarters , this approach will ensure a cross -functional alignment across the Group and portfolio efficiency across various verticals of coating business that we have. We're also leveraging our past acquisitions in India, especially in the construction chemical area, to aggressively widen our presence in the masonry-led and repair category. Under operational improvement, our agile resource allocation and global purchasing will help strengthen our competitiveness , improving speed to market through digitalizing all sales operations and supply chain will be our focus. And in terms of efficiency, it will focus on cash conversion cycle , mainly focusing on the inventory.

- Next, please. Yeah , so this is the summary slide of our midterm plan which aims at balancing 3 imperatives of growth, innovation and stability. Industrial will be our growth segment , Automotive will thrive

on our innovative , technological advanced solutions and strong customer relationship. In short term, Decorative business will focus on strengthening strong geographies, project segment and premiumizing our overall portfolio mix.

- Yeah . Now , I hand it over to Amrit Rekhi . He'll take you through our Industrial and Auto strategy slightly in detail.

- Mr. Amrit Rekhi – Vice President, Head of Sales, Kansai Nerolac Paints Ltd:

- Thank you. I will be taking you through a perspective of Indian Industrial Coating business and we'll be sharing details about our presence and plans for this business line. Kansai

Nerolac maintains a strong presence across all segments of Industrial coating business in India. In the Auto motive segment, our company maintains a strong leadership position with significant market share. In Powder Coating business, our company is the largest player commanding a high market share. In the other Industrial business segments of general Industrial, high performance , Auto refinish we are among the fast -growing players. These segments represent a good opportunity for us to grow further in the future.

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5 - Next. Next slide, please. The Auto motive business is a core business for us and lets us look at it in some more detail. The Auto business has 4 sub -segments - passenger vehicles, 2 wheelers, commercial vehicles and tractors. There has been a steady increase in production across all 4 sub -segments since the recovery from COVID pandemic. Most of the automotive companies are bullish about growth prospects in India and are planning to expand production capacity. This growth trend is supported by favorable macroeconomic activity in India as well as increasing trend in car exports from India. As a market leader, we are well positioned to capitalize on the growing demand for automotive coating driven by increased production and capacity expansion by Auto majors.

- Next slide, please. In the previous slide we have seen emerging trends in automotive production, let us now see the implications of this growth for our revenue and market share. Over the last 5 years we have been able to leverage our strengths and have doubled our sales across all automotive sub -segments. In terms of market share expansion, we have outpaced market growth by achieving a significant increase in market share.

- Next, slide. Yeah , on this slide we would like to highlight some of the core strengths that we have which have led us to this leadership position. Some of our strengths are global technology from Kansai, Japan, which enables us to offer high quality innovative products tailored to market needs . Strong connect with leading Japanese and Indian OEMs has ensured a steady demand and preferred supplier status. Enhance R&D capabilities in India allow us to provide customized solution and faster innovation. And, lastly, strategically located multi- location plans enable us to give seamless service, reduce operational risk and enhance business continuity with our customers. These trends have helped us to enter new segments and expand our presence in new categories such as electric vehicles. In this slide we are providing a pictorial representation of our presence across various segments and expansion plans. For the powder business, we have a strong presence in the wide wooden furniture segments and our aim is to expand into newer segments such as alloy wheels and rebar. Similarly, in the general Industrial and high -performance coating business we are present across many segments and are further enhancing our presence in bridges and coil coatings.

- Next . This slide outlines our roadmap for expanding our Industrial business, particularly powder, GI (General Industrial) , high performance and auto refinish. The key strategy levers for expansion are premiumization, network expansion, new technologies and new approvals. If we look

at this segment wise , our powder business has recorded a growth of 40% over the last 3 years and we want to keep the same momentum going in the future as well. In the general Industrial and high -performance coating, we've grown by over 50% in the last 3 years and we have outpaced market growth. Similarly, in the Auto refinish business, we've grown by 70% over the last 3 years and our intent is to continue to grow better than the market.

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6 - To summarize , we aim to solidify our position as category leader in the Industrial coating market. We will be achieving this by strengthening our core auto business and aggressively expanding our other Industrial segment with a clear vision to outpace market growth. Thank you and I now hand over to Rohit for his talk on the Deco strategy.

- Mr. Rohit Malkani – Chief Business Officer - Decorative, Kansai Nerolac Paints Ltd:

- Thank you. I will continue the presentation and cover Deco rative paints. Our Deco rative paints business caters to both retail and projects customers, that is both B2C and B2B , across our categories of paint, construction chemicals and premium wood finishes.

Specific to each category, in paint we have a wide range of products that are used for different stages of the painting process from undercoats, which are putty's and primers, to topcoats which are emulsions and enamels. Apart from this, the range also has products that are both water-based and solvent-based. The range also covers all substrates like masonry surfaces, metal and wood. In construction chemicals, we are consolidating our range across waterproofing, tiling and admixtures. In wood finishes, our range includes high performance protective coatings for wood paneling used largely in homes with wardrobes and kitchens. Both polyurethane and waterborne products are present with clear and pigmented options for customers.

- Next slide, please. We have been strengthening our business in the fastest growing categories of projects, construction chemicals and premium wood finishes in the last 3 years. In these, there is still greater headroom for growth. In projects, growth is being fueled by the vertical growth of cities where there is a shift from individual homes to larger format high-rise developments. Also, government boost to infrastructure is having a spillover effect. With newer construction practices and materials, construction chemicals are being added to or replacing cement in building and construction techniques across the country. Premium wood finishes are increasingly replacing mica-based laminates and conventional solvent-based paints in homes giving both these categories a faster trajectory. We have been successful in growing our business faster than the market in these categories in the last 3 years and are confident we can continue to do so.

- Next slide, please. Our strategy for growth is built on key actions in each category. In retail, we will continue to strengthen our direct contact with both influencers and consumers through service and increase our direct contact with them as well as influencers. New product launches will continue to focus on functionality as well as differentiation. In projects, we will grow our presence and increase reach in more towns. Apart from this, we will strengthen our internal systems and processes to address this growing segment. Lastly, expanding our range of projects specific products to manage specific customer needs will be critical. In construction chemicals and wood, we will continue to expand our product range and fill in gaps. We will increase our distribution of these products in key markets and continue to improve connection with influencers.

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7 - Next slide, please. In retail, we will also strengthen the core through initiatives to improve the sale or throughput per store. With increased competition, this is very important for our weigh

ed or large customers. Using painting service, different store models, influencers, new products in different combinations basis priority of customers and markets is how we plan to improve our sales here. Apart from this, we will add direct dealers with a focus on quality of dealers as well as fill white spaces through new distributors in smaller towns and underpenetrated districts. In the current environment, we will focus on consumer marketing efforts to strengthen our brand in key geographies.

- Next slide, please. The Nerolac brand is strong with consumers and has maintained 2nd position in terms of top-of-mind awareness even with competition aggression at unprecedented levels. Our advertisement jingle is very well recognized and is our strongest and most unique brand asset. We will leverage our strengths to our advantage. In order to achieve this, we will invest in building the brand to drive premiumization with a strong focus on our Japanese technology as well as a diverse portfolio of differentiated products.

- Next slide, please. The last part in our Decorative strategy is on products. New products launched in the last 3 years have approximately 10% of salience to the Decorative business and this will continue the back of a healthy pipeline of concepts as well as new products. This is our Paint Plus range of products. The promise of this range is differentiation, high performance and quality with a warranty. As part of our Paint Plus strategy, we know that bringing in new to-market concepts is key and must continue this track. We can already see good sales of many of these products, for example, our Wow White range and others. This will drive a stronger brand imagery for us amongst our dealers and painters.

- Thank you for your time and kind attention to this presentation. With this, I will hand over to our Managing Director, Mr. Chaudhary.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd:

- Yeah. So, that is what we had to share from our side. Now, open our floor to questions and answers. Only one request is, since our Q4 result is not yet out we would like your question restricted to basically the Strategic part and not about Q 4 results related questions. Thank you. Q&A Session

- Moderator :

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8 - We would now like to proceed to Q&A. Please, utilize the 'raise hand' button if you wish to ask a question. Please, wait for your name to be called and when you are called, please unmute and ask your question.

- Mr. Tomioka Takashi – Director of the Board, Managing Executive Officer, Kansai Paints Ltd.:

- We have many hands up, so let's work together. Let's have one question each and if we finish, we can have a second round as well. So, please be organized.

- Moderator :

- Citigroup, Nishiyama. Please, go ahead.

- Nishiyama San - Citigroup Securities :

- This is Nishiyama of the Citigroup Securities. I have a question regarding Page 11. This map is very easy to understand comparing yourself to a competition for auto and powder as the number of players are limited but going forward D and E could enter the areas of your strength. That is such a risk. Berger Paint CEO said that Asian Paints is taking a share, and he said that there is going to be intensified competition in the new year, so what is your evaluation of the competitive landscape? Please, elaborate further.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd:

- Okay, thank you. Yeah, your question is valid. I mean, there is always a competition which is there, and which might come in the future also. But if you look at our strength positions of auto and powder, we are number#1. We're holding this position for more than 3 decades. And, similarly, if you look at our other positions also, we are improving from our number# 4 we have moved up to number# 3 now.

And with Kansai Group's now homogenization, which is happening through One Kansai, I think there is a global access which is available to us compared to, I would say, other group companies in India and I think that will bring in a lot of premiumization.

- Another thing, if you look at Indian infrastructure and Industrial space, now as India is maturing and the economy is growing, there's a lot of requirements which are coming, which are in the premium segment and that is where a lot of approvals, specifications and global knowhow requirement is required, and that Kansai Group has. So, I would say, from barrier perspective I think we're well placed but obviously there'll be a competition which might come in, which has come in the past also and obviously we are ready through our network, supply chain, R&D that we have here, strong R&D and technical service, I think we'll be ready to fight out competition as we go forward.

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9 - Nishiyama San - Citigroup Securities :

- Thank you very much but how is that reflected in the midterm plan? On Page 23 you have full segments in Deco, what is the competitive environment in these four areas? On Page 23 it seems that your market share is about a 1-digit level but what kind of market share do you hope to achieve in 3 years down the road for these segments, for these areas?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd:

- Yeah. So, as far as Deco is concerned in the short term, yes, there is intensified competition. But we believe that in the near term I think this competition intensity will settle and there'll be a level playing field which will be arrived at and there'll be redistribution of market share that might happen. Given the legacy of Nerolac paints and

the market connection that we have, I'm sure there'll be enough opportunity for us to grow. And currently in the short term to tide over this we are focusing on the project segment, construction chemical and wood finish where we are outpacing the market. And as far as retail is concerned, we have very strong areas in the North and East. And where our large share of sales comes from is where our focus will be entirely in terms of stabilizing the market and not losing anything further.

- So, I think this is a year where there'll be competition which will be aggressive. Our aim is to stabilize and hold on to our market position and then start investing in the growth through our leverage and through our levers that we have.

- Moderator :

- Thank you very much, that's all from me. But Tomioka San, would you also like to evaluate the situation as well?

- Mr. Tomioka Takashi – Director of the Board, Managing Executive Officer, Kansai Paints Ltd.:

- Yes, I would also like to weigh in. Regarding your first question, I would say that there is a possibility that the competition will enter the market but compared to Deco rative their business model, there are many common factors. Therefore, the barrier is lower but for Industrial it is more difficult for competitors to enter. So, we have the advantage and, therefore, we feel that this is solid, not like what we are facing in Deco rative. In terms of the market, especially for Deco rative, the competitive environment is similar to Berger. Up until '2025, up until the first half, it's going to be very intensified. There are various measures that will be implemented by the competition. However, I think it is going to run its course at the entry level, and this is likely to happen in '2025.

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10 - Furthermore, regarding the second point, I would like to mention that in the midterm plan for 18 what we have explained has already been reflected. And in order to achieve the midterm management plan, we are implementing the measures that we have outlined today. Thank you very much.

- Moder

ator :

- Next, UBS Securities, Obina San, please go ahead.

- Obina San - UBS Securities :

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- Thank you very much for your explanation. My question is from page 13 on mid term plan. I just want to know how you are thinking about the growth rate in terms of price and volume in each of the segments. The reason why I'm asking about the break down is currently the India's economy is I think the inflation point end. The CPI peaked in last October and since then the CPI is been stagnating so I think this is the kind of trend we haven't seen in the past. So how are you thinking about this sales trend in each of the paint water coating area when the economy is falling down or when the inflation rate is declining. Thank You.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd:

- Yeah, right. So, as far as for each segment, I would say this for Deco rative in the short term what we're seeing is opposite of what you are sort of expecting. There's a lot of down trading that is happening in the current situation because of pressures in the urban areas and the rural area historically has been leaning towards the economy. So, that I believe is a short-term trend. But, overall, I think Deco rative volume and value should match going forward.

- As far as Industrial is concerned, yes, definitely there'll be premiumization push and hence our value growth will be higher than the volume growth. That is our expectation. And Auto, I believe, it will be a steady rate. There will not be much of a change as far as Auto is concerned.

- Mr. Prashant Pai – Director Finance - Kansai Nerolac Paints Ltd:

- Even in Deco rative we are trying to move towards more focus on emuls ion which gives us better value realization and , of course , focus on premiumization.

- Obina San - UBS Securities :

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11 - Do you have any figure on each of the sub segments in terms of growth rate, I'm talking about the volume side.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd:

- No, not really at this stage. Thank you.

- Moderator :

- Next Nikita San of Goldman Sachs Securities.

- Nikita San - Goldman Sachs Securities :

- Currently your company -maintained portfolio growth three segments for Deco, Auto & Industrial coating but each of these businesses differs significantly in terms of growths profile on productiv ity competitive landscape. Given the possibility that the India market may become more competitive especially for the Decorative paints. Is there any focusing on the potential spin of decorative paint focusing on the auto and industrial coating which is higher margin profile.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd:

- Yeah, so at this stage there's no thinking about this. I think we believe Deco rative has enough potential because our per capita consumption in India is just about 3.5 kg compared to global average of 9. So , if India has to become a third global economy in years to come, I think this per capita also is likely to grow and Deco rative business obviously is likely to grow in that direction. And as earlier mentioned, this competitive intensity, I think , should settle in this year. I think it will run its course. And with that happening, I think our redistributed market share companies will try to grow. Historically they have been growing at 1 -1.5 times GDP. I think that growth rate will return and there'll be enough space available for the players. So , at this stage , with this thinking in mind, I don't think there's any discussion regarding spinning of Deco rative and obviously we'll be continuing to focus on our strong area.

- Nikita San - Goldman Sachs Securities :

- Is there any clear synergy in between the Industrial, Auto and Decorative paint specially for the project tender construction chemical side like this dist

tribution network and also

technical advantage also in addition to Japanese technical advantage

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd:

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12 - Yeah , I think it is a very good question. A s far as Industrial and Deco rative , there are some parts where there is synergy , especially in the project. And now, in fact , there is a team which is formed in Nerolac which will be focusing on this project end -to-end through digitalization. So , whenever the project is onboarded right from construction chemicals till interior- exterior painting till floor coating, I think all segments where we are present will be attacked and I think there'll be complete synergy which will be brought in between these two divisions.

- Auto is something unique because of different application requirements and out and out B2B requirement. It's a separate channel, separate team but Industrial and Deco rative , yes, there is synergy as far as projects segment is concerned . Thank you.

- Moderator :

- Thank you very much. F rom Mizuho Securities , Yoshida San, please go ahead .

- Yoshida San - Mizuho Securities :

- This is Yoshida from Mizuho Securities. Thank you very much for your presentation. Within the India business, I would like to know how you think about the necessity for M&A. Page 13, what is shown right here, especially the growth area you are showing industrial, it seems that it's going to grow by large. For this part, are you going to actively utilize M&A? Do you have such thoughts? That's my first question. And , the other areas for Auto and D eco, are you thinking about conducting an M&A in those areas as well? Thank you.

- Mr. Tomioka Takashi – Director of the Board, Managing Executive Officer, Kansai Paints Ltd.:

- First of all, I would like to answer first and then followed by Pravin. As you have asked, within the Industrial, M&A is what we would like to aim for. And for Deco and Auto, for us, the priority is low. Specific numbers are not reflected yet. For us, we are at the stage of finding a good partner. So, Pravin, if you have any additions or corrections, please comment.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- Ya. So, I think Tomika San mentioned it correctly. We will be keen on M&A. Obviously; we will keep synergies and gaps in mind and valuation that matters the most because we will be also looking at profitability and PMI possibilities. So, with that in mind, if there are opportunities which will come across, definitely we will be considering it.

- Yoshida San – Mizuho Securities:

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13

- Well, it all depends on whether you will have a good deal. But regarding the size of it or the timing of it, are you considering it in specific terms?

- Mr. Tomioka Takashi – Director of the Board, Managing Executive Officer, Kansai Paints Ltd.:

- As long as we can find a good partner, we would like to do it within this medium term. But in terms of size, I don't think it exists, and we are not aiming for that. And with the industrial market, many small- sized competitors are competing with each other. So, within that market situation, we would like to thoroughly look for a partner that will fill our gaps. And we are not going to force ourselves to acquire a company to increase sales but rather, if we find a partner that's going to improve or enhance the value of Nerolac, we would like to go into the M&A. We have multiple contacts right now, so we would like to put in our efforts so that we will be able to expect good news. But at this point, we don't have any specifics. But the contacts or the size that we have in mind are not going to be that large. Its several hundred million yen is the scale. So, Pravin San, can you add?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- No, I think

you're right. I think that's how our view is also.

- Yoshida San – Mizuho Securities:

- Okay, understand. Thank you very much. That's all.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- Thank you.

- Moderator:

- CLSA, Chou San, please.

- Chou San – CLSA:

- This is Chou of CLSA. I have a question regarding page 16 and page 17. First of all, regarding page 16, you said that there is a two-wheeler as well as a four-wheeler and it's very high. But in the case of the automobile and the two-wheeler, can you give me a breakdown of the two? And regarding margins, I understand that margins are higher for automobiles, for passengers. Is that the case? Page 17, the share has gone up to 58%, which is very high. For the US, China and Europe, you have a very high share. But number
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14 one, is there a possibility that the Korean maker's share will increase going forward? Is there a possibility that the share could decline going forward? Pravin San, would you like to answer this question about share?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- Ya. So as far as share is concerned, I think India for the last three, four decades have been dominated by Japanese manufacturers. And in fact, in between there was a time when Korean players have improved. But now if you look at recently, it is again Indians who have taken the charge, and they are leading the show. So, our Indian manufacturers after Japanese are the key players now and they both together hold significant market share as far as two-wheeler and four-wheeler is concerned. And with both, I think Nerolac has an extremely strong position. And I think we have been sustaining it and continuously improving our share clearly through our infrastructure, R&D and technical service that we offer. I think that is what is reflecting here. So, Koreans and others, I think, are marginal at this stage. In future, we don't know, we can't predict what will happen. But I think given the situation, I think we are ready to offer solutions. And everyone, I think even Koreans might look for localization tomorrow. And we are always there to offer solutions to them also. Thank you.

- Mr. Tomioka Takashi – Director of the Board, Managing Executive Officer, Kansai Paints Ltd.:

- I would also like to weigh in. The two-wheel and three-wheels are very significant. But compared to the four-wheels, the painted surface is much less. And India has regulation, but the profitability is not inferior compared to automobile. The volume is very significant, but the painted surface area is not large. So compared to the four-wheeler, the four-wheeler is making a significant contribution to revenues. In terms of the auto parts, this is an area where we can pursue further. I think there is more opportunity in auto parts as well. EV, new companies will also be promoted. Therefore, there is so much to look forward to for our company in India going forward. Thank you.

- Moderator:

- Thank you very much. SMBC Nikko Securities, Shintani -San, please go ahead. Shintani from SMBC Nikko Securities.

- Shintani San– SMBC Nikko Securities:

- I have a question regarding page 23, where it says project. I want to confirm. So, retail and project, the percentage of each one of them. Your project is 10 to 20 percent within the decorative. So, what is the percentage within the market and also in your company? And for decorative, you are expecting 1.5 times the GDP. But with projects and retail, is
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15 there going to be a difference or the retail and projects competitive environment, are there any differences? And what you are working on to respond to that situation is what I would like to know. So, Pravin-San, can you answer that question, please?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- Sure! So as far as the project is concerned, typically for industry, it is about 15 to 20 percent. And Nerolac is also hovering around that percentage as far as the project is concerned. Construction chemical is also in that range, and both are growing at a faster pace and the reason for project growing faster is because of urbanization and high-rise buildings which are coming. I think as a result of which this project segment is getting a good traction. Now one of the reasons why Nerolac is also able to do well on the project is also because of our industrial exposure and our dealing with B2B expertise. I think this whole key account management and the whole approach of managing leads is very, very superlative compared to competition. I think that is one of the

reasons why despite

entering late, I think we are trying to catch up and grow faster than the market. I think these are the main things. Retail, I think, will remain as far as individual housing painting is concerned. But as a mix, if you see, I think going forward, retail will reduce and project channel and construction chemical as a segment which got added into decorative will enhance its presence in the overall mix.

- Shintani San – SMBC Nik ko Securities:

- Ok understood. Thank you. I have a follow- up question. Recently, there has been a difference in the demand trend by region. But if we look at the next fiscal year in the rural areas or in certain regions, the income will increase. But are you seeing expecting differences in performance depending on the region or area?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- Ya, difficult to predict at this stage. Till December, what we saw is urban areas were not doing well and rural has started picking up. So historically, I think both have been doing well. But because of our rural population and prosperity and government scheme which are supporting, we have seen slightly higher growth in the rural area. And I believe that is the trend which should continue going forward also. Incidentally, that's the area where Nerolac has a very, very strong presence and I think that should augre well as we go forward.

- Shintani San – SMBC Nik ko Securities:

- Pravin San, can you answer in a more specific way of answering ? If you answer in like North, South, North, East, West?

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16 - Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- Ok fine. So, if you look at our strong areas are North and East, where we are strong, where large share comes followed by West and South. So, these are the two regions, you know, where we are very, very strong. And that's where our hope, in terms of you know, growth will come as you go forward. And as I explained, you know, our initiatives are also lined up, focusing on these territories.

- Mr. Prashant Pai Director Finance - Kansai Nerolac Paints Ltd:

- So North, North accounts for 50% of our decorative business and East followed by East about 30%. So, these are the strong markets. So of course, we are relatively weak in South, but we are a lot of initiatives have been taken to shore up our South business as well. So hopefully in the coming years, we will be doing there well there also . Obviously with this, our overall growth will be much better in the coming years.

- Shintani San – SMBC Nik ko Securities:

- Thank you very much for the detailed question.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- Thank you.

- Moderator:

- Thank you very much. Next, Nomura Securities.

- Okazaki San – Nomura Securities:

- My name is Okazaki of Nomura Securities. Thank you very much for this opportunity today. I have a follow -up confirmation and question regarding confirmation regarding page 23 for D eco. The red bar is the revenue of your company. Is that a correct understa

nding? What is the red bar signifying?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- Yes, I have seen.

- Okazaki San – Nomura Securities:

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17 - And now for my question. On several times in the past, in the D eco market, you said that up until the first half of 2025 is going to be difficult. But from the second half of 2025, there's going to be stability in the market according to Tomioka S an's remarks. What is the reason why you think that is the case? Are you seeing signs of recovery? Please elaborate further. That's my question. Pravin-San, can you take this question?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- Ya, right. So, from 2025 second half, we believe that one market is likely to improve from the current slowdown that we have seen in the last year and a half. The second was also because of competition which has come in. Obviously, no existing players have actually got impacted to the extent of 2% to 3%. And every player in the industry got impacted and shared redistribution has happened. Now having seen this, we believe that competition will reach and peak out in this year. And that's where we believe that this whole thing will be stabilized in the second half.

- Okazaki San – Nomura Securities:

- So, I want to know why you think this is going to stabilize. Are there already signs visible in the market that the market is stabilizing? Can you be more specific?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- Ya. So as far as quarter 4 is concerned, we have seen from a competition perspective that their overall sales have stabilized and they are not able to increase further. And we believe that numeric distribution which has happened, I think, is almost over now. There's no further dealer expansion that is possible. Now the levers of brand and influencer management will kick in and which we believe is not so easy to leverage in just year and a half presence in the market. I think that's where we believe there will be a lot of challenges and some advantages to the existing player through their own network and through their relationship. I think they're able to add more value as far as this segment is concerned. Rohit, would you like to add?

- Mr. Rohit Malkani – Chief Business Officer - Decorative, Kansai Nerolac Paints Ltd:

- I think that is largely also with, you know, actually positive monsoon will also help, you know, the overall demand situation.

- Ms. Matomato – IR & Public Relations, Kansai Nerolac Paints Ltd.:

- Tomioka -San, do you also have additional comments on this?

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18 - Mr. Tomioka Takashi – Director of the Board, Managing Executive Officer, Kansai Paints Ltd.:

- Well, I will disc uss this with the members later but what they are saying in Japanese, let me elaborate. There have been lots of new entr ants , so there has been confusion, but all the strategies have run their course for new entrants. And in terms of overall demand, there has been a continuing slowdown but this year onward, we are seeing expectations for improvement. The new entran t's threat has a lready finished its first stage and now there is likely to be more stability in the market. And the weak demand is likely to recover from the second half. That is the gist of the explanation. Thank you.

- Moderator:

- Avi San from Macquarie.

- Mr. A vi – Macquarie:

- Hi, am I audible?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- Ya Avi, you are audible, yes.

- Mr. A vi – Macquarie:

- Yes. Hi sir. Sir, traditionally, the industrial margin, you know, has been more volatile versus decorative. With our focus being a lot more and it seems from the presentation to increase industrial salience, should we expect a higher volatility in marg in profile? And if not, why?

- Mr. Prashant Pai - Director Finance, Kansai Nerolac Paints Ltd:

- So, Avi, I think we have been saying that in case of industrial also, we are going from low value items to premium products. We have exited most of the non -profit making items, SKUs, to profitable items. So that's the reason we are very confident going forward, our industrial margins will improve. So, from that point of view, even if my decorative sales go down, overall margins will not go down because we are very confident that industrial margins going forward will do better.

- Mr. Abhi – Macquarie:

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19 - Ok sir and so just related to that, you know, your target of reaching 14 to 15% margin over the next two to three years, from current around 13%, is there a path into or a split in terms of , is it largely through gross margin? If it is more, could you give us some sense of how we should look at this expansion panning out?

- Mr. Prashant Pai - Director Finance , Kansai Nerolac Paints Ltd :

- So, yeah, there are a lot of initiatives already planned. For example, there's a lot of cost optimization we already started, you know, and through global sourcing, that is through global sourcing, we are getting a lot of benefits on the raw material front. And on the manufacturing side, a lot of automation and yield improvement projects have taken. And at the same time, we are also on the decorative front, we are trying to preimmunize our products, focus on the more emulsions and try to get better margins, right? Overall, all, as I also mentioned industrial, we are virtually coming out all the low margin items. So, all these efforts which we have planned, I think, definitely will put us in a better margin portfolio going forward.

- Mr. Abhi – Macquarie:

- Got it, S ir. That's all from my side. Thank you.

- Moderator:

- Next Mihir San , please.

- Mr. Mihir - Participant :

- Hi Sir! Good afternoon! I hope I am audible.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- Ya Mihir, you are audible.

- Mr. Mihir - Participant :

- Thank you for taking my question. So, my first question, so first, congratulations on a significant performance on improving market share in the industrial and auto side of the business. I think there were a lot of questions historically that, you know, while Kansa i is strong there, were you losing market share? But I think with the clarity that you have come out with and the display that you have grown in all the businesses within the auto segment is quite remarkable. So, I wanted to check again on the margin profile within the industrial and deco and auto, all three, because you are now splitting it between three

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20 versus two, what we used to historically understand. So if you can, you know, kindly highlight, if the company average is X, what would be the, you know, margin for auto and industrial and both on gross and EBITDA level and within those also, I see you are, you know, focusing more on projects and construction chemicals and waterproofing within deco, which I again thought probably were margin dilutive than the deco business. So, I am unable to triangulate how you are going to move your margin from 14 to 18%? So maybe some insights into that.

- Mr. Pra shant Pai – Director Finance , Kansai Nerolac Paints Ltd:

- Ya. So historically, you are aware that at gross margin level, decorative margins were always higher compared to industrial. And what happened in the early 2 -3 years back because of the high inflation, industrial margins went as low as single digit. But for the last two years, we have been able to do a lot of work on industrial margins based on raw material front as well as various initiatives on manufacturing, we have been able to scale up the industrial margins. So now at EBITDA level, they are more or less on very close to each other, so that there is no major concern as far as we are concerned on the margin front, right. Now having taken all these initiatives, we believe that we should be able to do better going forward because there are a lot of initiatives in the pipeline , which we believe that should work well for us.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- And you know Mihir , one more addition to on sales side, if you look at this high - performance coating as well as powder, there are many, many segments in that and there are segments which Kansai was not present, which are premium in nature and that's where now technology infusion is happening. To support this Kansai Japan, we also acquired a company in Europe, which is specialized only in railways, specialized in heat resistant coating, nonstick coating. So, these were the segments where we were not present at all, neither had any technology or approval. They also acquired a powder coating company, which has very good technology bandwidth available, both in premium as well as the auto sector. So, I think all these technology portfolios , which are available to us now and with this approach of one Kansai, I think this portfolio leverage that I can do, I think will add significant top line as well as bottom line as we move forward.

- Mr. Mihir - Participant :

- Understood! So, then that's quite helpful and makes a lot of sense and thank you for that clarification. So, my second question is on the growth profile. I mean, we have seen 40, 50 and 70% growth in the industrial and auto part of the business. Can one assume that the low hanging fruits are now and maybe growth from here on? Probably at the previous slide, I think. Ya, this one. Probably, you know, low hanging fruits are now kind of achieved and growth from here on, while there is a dotted line, which is continuing to Page 21 of 27
21 go up but any elaboration on this slide, if you can just talk about, you to give us confidence that this will continue to grow in that linear manner?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- Amrit will answer.

- Mr. Amrit Rekhi – Vice President, Head of Sales, Kansai Nerolac Paints Ltd:

- So, you know, we were earlier focused on auto but in the last few years, we have now carved out, it's not auto business. We have always been strong traditionally but where we are focusing on most is the kind of new focus on the GIHPC part and on the ARF part. Now while we have grown very well, there still is a lot of room to grow for us. So, and also our shares are not as high as they are in powder and auto. So, it naturally means our focus and good momentum in the market means that there's still significant, you know, growth possible there. And we have built a very good base and structure now and we need to just leverage that and grow further. So, I feel that we're fairly confident that the same trajectory will continue.

- Mr. Mihir - Participant :

- Got it Sir. Thank you, Sir . That gives a lot of confidence. Thank you very much and wish the entire new team all the very best.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- Thank you Mihir !

- Moderator:

- Thank you very much. I see from ICICI, Aniruddha, please go ahead.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- Aniruddha? You are not audible. Slightly louder. Y a better.

- Mr. Aniruddha – ICICI:

- Thanks for the additional disclosure of the Industrial & Auto side from the market positioning is concerned. If you can indicate about the segments of Decorative also, I mean emulsion enamel other types of decorative paints, or it want to divide into exterior interior paint so what will be the market positioning of Kansai versus the P eers where you
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22 have articulated on slide no. 12 . My se

cond question is We have seen there is a drastic reduction in the key raw material, crude oil prices with all the global turmoil during this tariff war so considering the decorative is facing high competition so how do you plan to use the additional gross margin in driving the profitability whether it will be completely used to protect the markets.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- So, your first question Aniruddha, see we look at the powder, ARF, GIHPC, auto as a segment. Likewise, DECO is a segment. So, we are not getting into a product mix of each segment, as you would have noticed. So, at this stage, I think we will restrict to this a nd that's the approach we would like to take as far as segment play is concerned. And as far as the second question on softening of crude is concerned, I think, y eah, overall, the raw material situation indeed is benign. But if you look at against crude, I think our dollar is pretty volatile. That being one, 2 nd thing is also if you look at our global geopolitical situation, especially with tariffs and supply chain, slight issue which is hanging around, I think those uncertainties are still there. So, we believe , whatever softness t hat comes in and delivered to us through RM situation, I am sure we will be able to improve profitability. That is our major focus as of now. Decorative, as stated earlier, I think we will be clearly focused on a strong market on North and East and it will not be all India play and trying to protect the situation everywhere. So, wherever we are strong, there will be investment, and we would like to grow as far as those strong markets are concerned. Thank you, Aniruddha.

- Moderator:

- Thank you. Suresh S an, please.

- Mr. Suresh - Participant :

- Ya. Hi, Praveen and team. Thanks for the opportunity. It is insightful . Now, two questions. If I believe industrial is a very good, strong wicket for us and we have been leaders in auto segments, can you share how the share of top three players in the particularly auto segment has moved over the last three years? I mean, business contribution. And my second question is that, if you have any roadmap in the industrial, if it is going to be stronger, how do you look at the new customer acquisition that has changed over the last two, three years? And is there any meaningful new customer acquisition has happene d over the last 15 odd months or is there anythi ng, something which is pipeline which will drive this business?

- Mr. Amrit Rekhi – Vice President, Head of Sales, Kansai Nerolac Paints Ltd:

23 - So, you know, industrial has always been our strength and in automotive, you know, though we have a very strong market share for the last few years, we have, you know, post COVID acquired a significant market share, which means we've increased our share where we were present. So that is what has led to this, you know, improved trajectory market share that you're saying. There we believe we will continue to, in the next two years, continue to increase our share because we have a very focused plan for acquiring, you know, higher share and we are bringing in new technology and products so that we are always ahead of the curve. So, auto is something which is a core to our business, as I mentioned. In powder coating, you know, which is the second biggest business, we have a clear plan of premiumization there. And you know, we are entering into newer segments such as alloy wheels, which are, you know, on the premium side of the business.

And you know, other functional coatings like, you know, rebar and pipe we are getting into. So that is the second part. The third part, as you know, is the high-performance coating is a very fast-growing segment as I mentioned. We are doing very well, and we have a lot of ways to go. There we have got a very focused plan for network expansion

and getting new approvals and, accordingly, aligned our teams also in such a way that we are able to take advantage of the spend that is happening by the government infrastructure. And we have got a very nice pipeline of projects that are there with us currently. And we see that that will be our route forward by approvals, by new technologies to acquire new customers and grow.

- Mr. Suresh - Participant :

- Ok, that's helpful. Just one follow-up. In the powder coating business, what kind of spreads in terms of geographies do you have ? And maybe if you can give a little more color, how much is between that powder coating in terms of various segments where you are stronger, and which are the growth parameters which you are applying based on the technology and going forward the customer acquisition?

- Mr. Amrit Rekhi – Vice President, Head of Sales, Kansai Nerolac Paints Ltd:

- So, powder coating is, you know, gaining prominence because it is a very eco-friendly coating. It doesn't have solvents and that is why it is being preferred by more and more customers. And a lot of people are migrating also from liquid to powder, particularly on the automotive side, you know, and you know, while we are, so we are being leaders, we are double the size of our nearest competitor. And you know, across white goods, furniture, ACs and electricals, we have a very, very good presence. This is across segments and across geography. So, the big markets for powder coating are basically north and west. And in both places, we are very strong. We also have a unique advantage of being the only company with several plants to cater to demand. And that gives us a unique position to be close to the customers and as well as service the requirements, so service the customer requirement fast. So, you know, this has been a traditional strength area for us. And we want to continue to expand in powder coating.

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- Mr. Suresh - Participant :

- That's really helpful. Thank you Praveen and all the best.

- Management Team:

- Thank you, Suresh. Thank you.

- Mr. Roshan - Participant:

- Hello, am I audible?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- Yes.

- Mr. Roshan - Participant:

- Thank you. Thanks a lot for the opportunity and congratulations to the new team. My question is regarding the decorative business. So, given that the increasing competitive

intensity, so what differently is Kansai now planning to do? Or what would be the strategy here to protect the market share or to go aggressively to gain the market share? How would the plan pan out going forward?

- Mr. Rohit Malkani – Chief Business Officer - Decorative, Kansai Nerolac Paints Ltd:

- So, Roshan, you know, as we had mentioned in our presentation, where there is headroom for us to do much better, those segments we will be driving more aggressively, that is, you know, in the project segment, in construction chemicals and wood finishes. In retail, we will be following up more of a protect and you know, a more stable approach and we like we have said, we will focus on select geographies to ensure that we are, you know, we are able to, you know, to take care of any, you know, any aggression that competition comes up with.

- Mr. Roshan - Participant:

- Ya, right! I understood. That's helpful. And the next question is, given that the, you know, crude oil prices are softening which will potentially lead to expansion and gross margins going forward. So how do you see that? I mean, in the near term, maybe, can we see an increase in the advertising spends going up, maybe utilizing those benefits to increase the advertising spends? How do you look at it?

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- Mr. Rohit Malkani – Chief Business Officer - Decorative, Kansai Nerolac Paints Ltd:

- So, you know, see, advertising spends, we will, you know, we will continue

in line with

whatever we have been managing so far, as we have said that our, you know, our top-of-mind awareness is number two. So, we will not be going extremely aggressive on that front. But we are very cognizant of the fact that we must maintain that number 2 position and, you know, strengthen what Nerolac has always stood for. Right? So, like we have said that, you know, Japanese technology and high-quality products is what we will continue to build to what we do in this area.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- And additionally, Roshan, whatever Rohit has mentioned, the mix of this advertising itself is undergoing change, and we are also going to change from media to digital to influencer management. So, I think that mix, I think, will be fine-tuned to our strength markets. But as far as overall spending is concerned, yes, as Rohit mentioned, we will be maintaining our Torna to support that Torna level, definitely spend will be in line with that.

- Mr. Roshan - Participant:

- Understood! That is helpful! Thanks a lot and wish you all the best.

- Mr. Rohit Malkani – Chief Business Officer - Decorative, Kansai Nerolac Paints Ltd:

- Thank you, Roshan. Thank you.

- Moderator:

- Thank you very much. Aditya San, you are the last person to ask a question. Please go ahead.

- Mr. Aditya – Participant:

- Thanks for this informative presentation, Sir. So, in the challenges, you have highlighted that margin pressure is inevitable. A decline in profit margins is inevitable, as you can see on this screen itself. But when we look at the KPIs, the financial KPIs that you have said for three years as well as for FY30, there's hardly any margin pressure that we are kind of building in. So, if you could just first tell us, why do you feel that margins from here could come under pressure? And secondly, how should we reconcile this concern with the KPIs that you are having? Thank you, Sir.

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26 - Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Ltd :

- So, yeah, thank you Aditya. So, this particular thing is mentioned as far as Deco is concerned. And these challenges are right now what is persisting in the industry, the whole industry is related and their margins have come down, those are playing in the decorative. So, these are, I would say, short-term challenges. But the levers that you just told you about industrial and whole premiumization story is one that will support overall company margins. Second thing is our operational efficiency program which already is underway right now, that also should help us building and improving our efficiency and hence our margins. Specifically for decorative, if you look at our focus will not be pan India, it will be very targeted focused and hence will maximize our input output ratio. And we believe that, over the midterm trajectory of the next three years, I think we should be reaching our profit margin that we have already stated.

- Mr. Aditya – Participant:

- Sure, sir. And just one clarification, these profit margins that you have stated, EBITDA margins that you compute, those include other income as well?

- Mr. Pra shant Pai – Director Finance, Kansai Nerolac Paints Ltd:

- No.

- Mr. Aditya – Participant:

- Are these purely operating EBITDA margins?

- Management Team:

- Ya, operating, ya, EBITDA, yeah.

- Mr. Aditya – Participant:

- Perfect, perfect. That's helpful, sir. Thank you so much.

- Ms. Matomato – IR & Public Relations, Kansai Nerolac Paints Ltd.:

- With this, we would like to conclude the India strategy briefing for Kansai Nerolac Paints. Please respond to the survey. And if there are any questions, you can also write in your question in the survey. Thank you very much once again for your participation today.

- END OF TRANSCRIPTION

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Call: May 2025

14th May , 2025

1. Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001. 2. Manager – Listing
National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai - 400051.

Sub.: Q4 & FY 2024-25 Financial Results Investors Meet - Transcript

Ref.: 1. Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015
2. BSE Scrip Code - 500165, NSE Symbol - KANSAINER

Dear Sirs,

This is further to the intimations done by the Company on 2nd May, 2025, 6th May, 2025 and 7th May, 2025 with respect to the Investors Meet hosted by the Management of our Company on Wednesday, 7th May, 2025, from 4:00 p.m. to 5:30 p.m. (IST) at Taj Hotel, Santacruz: Grand Ball Room, off Western Express Highway, Santacruz (East), Mumbai, Maharashtra 400099 to discuss Q 4 & FY 2024-25 Financial Results of the Company. The Investor Meet was in the nature of a group meet .

We are enclosing herewith the transcript of the Investor Meet for your information and reference.

For KANSAI NEROLAC PAINTS LIMITED

G. T. GOVINDARAJAN COMPANY SECRETARY

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CIN L24202M H1920PLC000825

1 Kansai Nerolac Paints Limited

Investors' Meet Q4 & FY25 Results

- Mr. Prashant Pai – Chief Financial Officer, Kansai Nerolac Paints Limited :

- A warm welcome to all of you for Kansai Nerolac Paints Investor Meet FY24 -25. First of all, thank you very much for coming and making your presence. I know it was short notice but thanks a lot for making it to the conference. At the outset, let me introduce to you our new Managing Director, Mr. Pravin Chaudhari. Pravin Chaudhari is a visionary and a dynamic leader. Pravin Chaudhari brings an exceptional blend of strategic insight, operational expertise, transformation leadership to the role. His extensive experience in the paint industry has consistently demonstrated his ability to drive operational excellence, faster innovation and lead businesses to sustain growth. Mr. Pravin Chaudhari had a long career with Kansai Nerolac Paints, nearly 25yrs. where he was the Executive Director. Then from there he went to Pidilite where he was CEO of special products and from there, he moved on to Kansai Paint Japan where he held very senior level roles in Kansai Paint Japan and now, today he is the Managing Director of Kansai Nerolac Paints. So, we welcome him to Kansai. We also have Mr. Jason Gonsalves, who is our Director, I.T & Supply Chain, so he is here. And apart from this, the entire management committee is here. All of you can interact with them during the Q&A. We all know, currently the paint industry is going through a challenging environment, particularly decorative, mainly due to new competition and stress on demand. However, off late, there has been slight improvement and we are on the growth trajectory. Apart from this, as far as industry is concerned, it has been growing and we have been doing well on the industrial front as

well and we believe, going forward, we will continue to do well on the industrial. With these few words, now I request Jason Gonsalves to take you through our presentation for the quarter ending FY24 -25.

- Mr. Jason Gonsalves – Executive Director, I.T & Supply Chain, Kansai Nerolac Paints Ltd.:

- Thank you, Prashant, and once again a warm welcome to all of you. Thank you for making it here this afternoon. Over the next 20 -30 mins, I will try and give you insight into what we as an organization have been doing over the last 12 months and after that, we will open the floor for questions and answers. This will be the rough

flow of the presentation.

- Coming to the Nerolac story, this is the slide we put up in every investor conference. It outlines our purpose and our vision. Our purpose is to create environments for a healthy and beautiful future and our vision is to design solutions that protect, inspire and touch lives every day. And as you can see in this pictorial representation, Nerolac is probably present in every aspect of our lives, be it at home, be it when we are at offices or even when we are travelling wherever we go. So, there is a bit of Nerolac in our lives on an everyday basis.

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2 - We are a very focused paint organization. We believe in coatings, and we consider ourselves as a Powerhouse of Paint. And this is because maybe there are 5 pillars on which we believe very strongly. One is a strong 100+ years of expertise and legacy in the paint industry. A very very strong research and development orientation in the mindset where we have cutting edge technologies which we work on. We have also access to a lot of global technologies, thanks to Kansai Paint and the entire Kansai Paint network. We are an innovative company. We bring the pioneering spirit of Japan to India. We are the undisputed leaders in industrial and over the last 3 yrs., we have been talking of this innovation called Paint Plus in the decorative market. We are the 2nd strongest consumer brand. We still maintain that position and we have an iconic Nerolac jingle. So, these are the 4 or 5 elements which make us a Powerhouse of Paint and that gives us our strength and gives us confidence about how we would navigate the future.

- Coming to the business environment, if you look at 24 -25, there were 6 big themes that emerged. One is a very stable demand in automotive. During the year, there were a lot of talks that the automotive will slow down. There is some sort of a slowdown in the automotive, especially passenger vehicles but overall auto did pretty well. I will cover that in the later part of my presentation. The Government thrust and infrastructure continued throughout the year and that's also reflected in our numbers. Crude has shown signs of softening. Today it is hovering in the range of \$60 -65. Rural recovery had started in the previous year, towards the end of the previous year continued and of course we have some new challenges in the form of geo-political challenges which are emerging. I need not talk about them. I am sure all of us are aware of it and of course, there is a lot of volatility in the forex market, and we saw a sharp decline in the rupee.

- Coming now, to our main businesses, which is the decorative business and the industrial business, I will begin with the decorative business. Our decorative strategy which we have been talking about in the last 2 -3yrs. is around 7 elements. I will not talk about them now but in each of these coming slides, I will cover these elements in a little more detail. Our decorative portfolio today is a very vast portfolio. We are present in virtually in all segments of the decorative market, whether its retail segment, construction chemicals, wood finishes. So, we have got the whole range of products to compete in the marketplace. As far as strategy is concerned, there are some pillars of this strategy which is products superiority based on Paint+, Japanese technology that we bring into all of our products. A very strong focus on influencer program and loyalty program which is basically being leveraged for 3 things. On the retail front, to actually increase extraction and expansion and to drive possibly 2 new verticals which we have been working aggressively in the last 2 -3yrs., which is projects and new businesses. So, these are the 3 elements which are driving on the ground our growth or our aspirations. It is backed by the whole background of superior product technology, the Japanese technology and Paint+. Coming to Paint+, we

launched this, beginning of 22 -23, it was based on creating a differentiated product portfolio. Happy to say, in 3yrs., this has actually borne fruit. Today we have a double -digit salience in Paint+ and in the last 1yr., we have progressed by 190 basis points, and we have a whole host of products which we keep bringing out in

3 the Paint+ range to try and create a differentiation and uniqueness in the marketplace for Nerolac Paints. And this spirit to try and create something different is also reflected in the way we launch products. In the last 1yr, we have launched 20+ new products in the marketplace. Many of them are unique in the category or are I think existing products in the existing market/basket or maybe exploiting new price points in the price point niches. So, this is the kind of range and the kind of innovation engine that is running in the organization and this is a repeat of possibly what we did in the previous 2 yrs. also. So, there is a relentless focus on trying to bring new things to the marketplace and bring a freshness to the portfolio time and again for the consumer.

- So, moving ahead on the decorative, the 3rd pillar is our Influencer Program, and we have 3 elements in the influencer program. One is paint as a service. Today we are present in 250 cities. The salience of paint as a service keeps on increasing in the decorative business for us. We have a very sustained program for architects and interior designers. Today, we are present in 45+ cities, almost 8000 architects are almost onboard. And 3rd is the program for the painters which is our Pragati Program. Today, we have 1 lakhs+ painters associated with the Pragati Program and over the last 3yrs, we have seen an increase in the secondary salience to primary. So today, possibly as an organization, we have a better understanding of who is actually consuming our emulsion paints. So, the Influencer Program in the last 2-3yrs., has gone from strength to strength and this is possibly something which will give us a lot of dividends going forward.

- The 4th element is the whole retail experience. So, we have 2 major pillars out here. One is the NextGen Shoppe and Shop in Shop concept that we have tried to propagate. And over the last 1yr., we have added 200 such retail platforms. Today, that number is roughly 350+ and today its contribution is somewhere in the middle single digits to the decorative sale.

- In terms of New Business & Projects, what these businesses are doing extremely well. They are growing better than the market and we have a good strong pipeline for the project business. We have an active set of customers, and this is actively tracked and today we are present in almost 80+ cities for the project business. So, this is giving us a lot of traction and these 2 are actually acting as good growth drivers, almost repeating the same kind of growth that we had in the previous year.

- In terms of branding, marketing and media campaigns, our visibility in the TV media has been slightly lesser. The focus this year is on digital platforms and there was a lot of work that we did here and which is reflected in both, increase in organic traffic as well as in organic leads and these helpers retain our brand awareness at no. 2 position

- These are some of the accolades that we have won, and these are some of the marquee projects that we have executed. There are many more, but we have just put a couple of them on the slide.

4 - Coming to the industrial part of our business, again we have a huge portfolio of products. We are the undisputed leaders in industrial. So, you can see our wide range of product portfolio. Some of it is kept out for those of you who would like to see and understand the products. On industrial, our strategy is, you can say is divided into 2 parts. In automotive, where we have a very high market share. We have access to t

he latest technology and here, we are trying to increase the addressable markets. We are trying to find new segments to enter so that they become the growth drivers of the future. And in the other part of the industrial business, which is what we call the performance coating business, there are 4 things that drive the business. One is, premiumization, new technologies, new approvals and expansion. So, this is the way we are driving our whole industrial go-to market in the last 1yr. or so.

- Coming to the highlights in automotive, we can see that SIAM reported a 6pc increase in passenger vehicles. We maintained good growth momentum. We gained market share here in this particular segment and we have introduced some of the latest technology that is there in the portfolio for the passenger vehicle market.

- Similarly, 2-wheelers and 3-wheelers had a double-digit growth and here launched a low

bake product, a low-cost performance monocoat product for 2-wheelers. So, a lot of technology which is driving the whole go-to market in the automotive segment.

- Commercial vehicles and tractors had a modest contraction in the current year. There is some revival in the tractor segment because of rural demand and here we launched again some products for this particular segment.

- Coming to Auto Refinish, we had a high single digit growth. We maintained the momentum of the previous year. Again we introduced new technology in the form of water-based solutions, low VOC paints and we implemented some digital solutions for the paint shops.

- Coming to performance coating, both in liquid and powder, I think we had very good growth especially in liquid, I think the growth has been excellent. We have strengthened the portfolio in both the coil coating, thermal range and the Nerothane PO range. And in powder, we introduced some of the new products to keep our leadership intact in the powder segment.

- These are some of the accolades that we have won in the industrial business.

- Coming to manufacturing, we have 600 million litres plus capacities. We are augmenting the capacity at Jainpur, the plant is close to commissioning. Vizag Phase1 got commissioned in the current year and we are now expanding our auto paints in the coming year. And we introduced some amount of digitalization, or we further the digitalization footprint that we have in manufacturing by introducing certain solutions in our manufacturing plants.

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- Similar is the case in supply chain, which is the heart of the entire paint industry because you need to be agile, you need to be flexible and we are implementing a whole new digital solution here, which will shortly go live. Similarly, on human capital, we continued, the thrust of people first, nurturing talent and ensuring that we have an engaged and collaborative work culture within the organization through some of our platforms that we have internally.

- These are some of the two, you can say, two new platforms that we introduced. Our dealer app, we completely reinvented it. We have launched it on a completely new platform, and we have introduced a procurement solution for our vendors.

- On ESG, there is a whole body of work that is going on, as you can see. We are water positive. These five elements drive our strategy, decarbonization, resource use, quality of life, diversity, and governance. And the kind of work that we are doing is reflected in

possibly the kind of ratings that we are getting in the various rating agencies on ESG. So, if you see the S & P Dow Jones, we are rated in the top 8 percentile. In FTSE, we are in the top 12 percentile. CRISIL rates us in the strong category. So, I mean, a lot of work that is happening, in this space. These are some of our CSR initiatives and we got the Golden Peacock Award this year for a corporate social responsibility.

- Coming to the financial performance, if y

ou look at quarter 4, we have had a growth of 4.7%. We have been able to maintain our PBDIT marginally lower. And for the year, at a standalone basis, our revenue growth was around 1.4%. There's a slight dip in our PBDIT by around 4.8%.

- Coming to the consolidated figures, because our subsidiaries did not do all too well, our net revenue for the quarter was up by 2.7 and for the year, at 0.3. Our working capital, we have been able to maintain our cash conversion cycle. We have actually bettered it in the current year. We have controlled our inventories and that's helped us to improve our cash conversion cycle. And in terms of dividends, we are maintaining the same dividend as we gave last year at 375%. So really, that confidence is there in the organization and

that's what we want to convey to our shareholders. In terms of Capex, most of the Capex is normal Capex. There's a slight increase in projects because of the Vizag plant. But otherwise, everything is normal and as in the previous years.

- In terms of risk and outlook, we see few risks. One is the rupee depreciation. There's a lot of volatility in the rupee, the uncertainty because of the kind of changes at the global level. Currently, we are not witnessing anything in the short term, but we really don't know what will happen going forward. In terms of outlook, as per the RBI bulletin, rural demand is expected to continue to be good. Construction activity is poised to increase. Passenger vehicles and two wheelers is expected to continue to maintain the demand momentum. And performance coating, we believe,

will do well backed by a good order pipeline.

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6 - So, with this friends, I conclude the presentation, and I will now open up the floor, for question and answers and I will request Pravin Chaudhari and Prashant Pai to come to the dais.

- Mr. Prashant Pai – Chief Financial Officer, Kansai Nerolac Paints Limited:

- So, we can start with the QA.

- Mr. Avi Mehta - Macquarie Group:

- Ya, hi! Hello? Am I audible? I'm not sure. Ya, am I audible? This is Avi here from Macquarie.

Sir, I just wanted to have 2 questions. One, if I were to look at the company's performance on EBITDA margin front for the last, say, you know, from 2019 onwards, we have seen EBITDA margin contract by almost about 100 basis points from 19 to 25. Now, while we don't disclose segmental level between decorative and industrial, it would be great if you qualitatively give us a sense on where has this margin expansion been sharper in to help us appreciate how should we look at it going forward. This is in context with our earlier presentation where we had shared a focus of growing more through industrial. So an ability to appreciate how the industrial margin profile has behaved and how the decorative would be useful. If you could address that, Sir.?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- Right. Right, Avi. Good to hear from you. So as far as last five years, if you are looking at, you know, our EBITDA margin contraction that you are referring to, has been primarily driven by the RM thing that you would have noticed, you know, in last till 22-23, there has been severe inflationary phase where we have found it's difficult to pass through to industrial and that's why it has led to that contraction. But if you look at now, I think this profile is much more improved in terms of pass through that has happened in the last two years. And in decorative, obviously, because of competitive competition intensity being very high, there has been lot of upfront investment that has happened in terms of advertising spend, manpower front, even little bit on influencer spend that has increased. So, all that is happening. And we believe that is important from the point of view protecting our market share in our strong market as far as decorative is concerned. Now as this intensity will settle

, I am sure all this investment will have its own payback and then we will be recovering from whatever investment we have done in protecting our margin.

- Coming to our industrial front, what we have told on April 18 in our session, obviously, industrial being, important growth driver that you identified clearly from the point that India is now investing heavily in infrastructure. Kansai as a group, globally is well poised to leverage that industrial growth from technology point of view, from approval, specification, all that point of view. And the important point is as India market is maturing in infrastructure, the requirement of the paint that they're asking for is actually high

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7 performance in nature, where there are more warranties, more take on the sustainability, lot of that thing is getting asked by. And they also obviously want a global approved suppliers. In that space, I think Kansai Nerolac stands a great chance. And then there is enough opportunity for us to premiumize also. Take the railway as a segment. I think the kind of railway we used to have and now kind of railway that we travel in, obviously ask for a greater and more sophisticated paint, which obviously comes at a premium and we have those kind of approvals from the global supplier. So, I think all such play that we have identified, I think will give us leverage in terms of the premiumization opportunity, which will help us in improving our margin. So, as we move forward, I think even in industrial, we see uptake as far as margins profile is concerned.

- Mr. Avi Mehta – Macquarie Group:

- Sir, if I may follow -up and you know, kind of what I was trying to get to is, we are taking 2019 to 2025. Crude has gone through its ups and downs but we are broadly at a level where crude is passing, should have been passed on. What I was trying to understand is, if the headline margin is down 100 basis point, is decorative margin more than 100 and industrial less than 100 or is it equal? And the underlying theme or under appreciation what I was trying to get is, if you focus more on industrial, does that then change the margin dynamics? Because industrial, as we appreciate, is being a different margin trajectory versus where decorative is. So

that is where I was trying to kind of dig deeper.

Would you be able to give any numbers or any sense on how should we look at next year from a margin perspective?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- I think next year, I think our guidance has been always 13 to 14. I think we stick to that.

At least for this year, we are looking at the current nature of the business that we are into. But I'm sure kind of effort that we have elaborated in our midterm plan, obviously, guidance is that we should be doing better than that going forward. But in for current year, at least, it will be at the same level of 13 to 14.

- Mr. Avi Mehta – Macquarie Group:

- Ok. So, we are at the bottom end of that range. Still, we should kind of see it. Ok. Fair enough, Sir. Right ! So, the second question is about the growth expectations. Now when

we started, as we are in this year, we have a realization that is essentially declining in the decorative segment. And this year's performance, while it has been a sequential improvement, still is in the low single digit realm. From a year perspective, is, would you see 2

nd half kind of moving up and still the full year still is looking like a mid to high single digit or should we look at a low to mid- single digit kind of performance? And between that, if you could give us a sense on how do you see automotive behaving in particular? That's all.

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8 - Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- Ok. So I think as far as decorative is concerned, looking at the quarter 3, quarter 4 and quarter 3 is concerned, I think we have seen s

light uptake. As far as growth is concerned, especially rural is shaping better. Even the monsoon prediction and whatever incentive government are now subject to geopolitical situation not changing dramatically, I think should help us, you know, improve further as we move as far as Decorative is concerned.

But that full-fledged, I think picture, or you know, outlook will be clear in the 2nd half,

giving the current competition which is, you know, making this whole picture muddy with the listed company and not so you know, listed but not declaring the segment result is concerned. So, I think 2nd half will be definitely better compared to I think first half as far as decorative is concerned.

- As far as automotive is concerned, I think there has been, I would see, you know, automotive as a whole, there will be some kind of a mix change that might happen.

Passenger vehicles as was said, you know, there will be some pressure as they are indicating but two wheeler on the other side, two wheeler, three wheeler, they're projecting a good volume growth. So, I think as a whole, auto should still do reasonably well compared to what has been shown or indicated. So we are pretty confident that whatever we have done last year, we have grown higher than the market. I think same trend should continue this year also.

- Mr. Avi Mehta – Macquarie Group:

- Got it sir. And last, just a small bookkeeping. From a two-wheeler versus four-wheeler, is there any margin divergence that one should be bearing in mind, as in two wheelers lower margin?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- No.

- Mr. Avi Mehta – Macquarie Group:

- Ok. That's all from my side, sir. Thank you.

- Ms. Mrinmay – Asit C. Mehta:

- Hi Sir! Thank you for the opportunity. This is Mrinmay from Asit C. Mehta. So, I had a couple of questions. Firstly, you had mentioned earlier that the gap between the industrial margins and the decorative margins has been going down. So, with that happening, should we see lower seasonality in terms of margins? Because Q4 being strong on an industrial basis, we have seen a sequential margin pressure. Should that change going ahead?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- Ya. I think yes. But that will also depend on the, I would say, ratio. In auto itself, if you see some ratio might change. And industrial, when we say it's not only auto, it is also about other three four verticals that we have including powder, high performance coating, general industrial. So, I think auto is what I said, actually, there is a margin profile which is changing but in industrial as we start preimmunizing, hopefully that will also get changed. So, for some period of time that seasonality might impact and we might see some variation but over a longer period, I think yes, you're right. There will be some kind of a rationalization and stabilization that will come.

- Ms. Mrinmay – Asit C. Mehta:

- So, when you say longer period, would you say

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- Maybe 2 to 3 years.

- Ms. Mrinmay – Asit C. Mehta:

- Alright, o k. And secondly, you mentioned that, you know, rupee depreciation is a risk that you are seeing. But with the crude prices coming down, is it setting each other off or do you still expect some kind of margin benefit to come in, in the coming quarters?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- Ya. So as of now, till quarter 4, actually it is set off. Whatever crude benefit that we got actually got offsetted by the dollar. But yes, beyond this, if it comes, there will be some pass through also will happen as far as industrial is concerned. So, we will try to retain as much as possible but of course not whole thing will come as margin.

- Ms. Mr

inmay – Asit C. Mehta:

- Okay, sir. Thank you.

- Mr. Ramesh Bhojwani – Mehta & Vakil:

- Sir, Ramesh Bhojwani from Mehta & Vakil. First and foremost, your presentation this time has been very, very positive, pragmatic and purposeful. It has covered a lot of things without detailing much. The two thoughts which I would like to share. Recently, the entry of Mr. Aditya Birla in paint came an unpleasant surprise but notwithstanding the fact that

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10 they are in. Asian Paints has started communicating in the television media very, very strongly. How do you see the participation and the how is the Aditya Birla playing up the market? I believe they are still in the decorative segment. They are not in industrial. Industrial segment is your forte, 50% of the portion is protected. But the decorative segment, how are you looking at it going forward with JSW Paints, with Aditya Birla and, you know, trying to rattle up the market?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- Ya. So, I mean, it's their strategy and obviously to create brand awareness, they'll do all this but despite all that happening, we just saw in the presentation, even our brand reckoning is still number 2. We are still top two brand recognized as far as India is concerned.

- Mr. Ramesh Bhojwani – Mehta & Vakil:

- Yes, yes.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- So, without advertising also, the legacy of Nerolac, this 100-year-old still, I think, is paying

us off. Having said that, if you look at our ad spend is no we have not reduced our ad spend. Only thing is that, the manner in which we advertise has changed. The channel has changed. I think we focused heavily on the digital now. So obviously, you know, we are doing fairly targeted advertising rather than doing a mass advertisement, which because I don't think more consideration awareness is going to help us. I think it is now pretty much targeted effort we need to do to extract more whereas for other competitor, I think it is more of awareness requirement. So, I think the need of the hour is different and obviously our choice of the media is different. So, I think we are aware of that particular requirement, and we are pushing our expense towards more digital and which is more targeted. But as far as spend is concerned, it is same as what we were doing earlier.

- Mr. Ramesh Bhojwani – Mehta & Vakil:

- Because I saw a lot of innovation in WOW , white, and outside. So this thought I thought I will share with you.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- No. So in India, see, 70% of the market is decorative as of now and that I think likely to be so far future , foreseeable future. And if that be the case and historically if we have been growing at least one, one time of GDP, which is 6 to 7%, I think it is very important for us to maintain that growth rate as far as the decorative is also concerned , for us to , as a
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11 company to grow and obviously focusing on industrial to grow slightly higher than that. That's obviously the ambition and desire that we have and efforts are in that direction. Now all the effort of launching new products and, you know, obviously putting in technologically advanced products in the market using new channels, obviously, all that game is to maintain that particular growth rate.

- Mr. Ramesh Bhojwani – Mehta & Vakil:

- Thank you and all the best.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- Thank you.

- Participant:

- Good evening, sir. Yes, sir. So just continuing on his question, Birla Opus, last year wasn't much, you know, in the market. But right now, 6 to 8%, they have captured the market. They should be around 9% for 25. They got a very strong access to the

dealer network

and they are targeting approximately to be the 2nd player in the next 3 to 4 years. So how would our company stay off this particular in the decorative market, seeing this coming up?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- Right! Ya. So that's their ambition. As far as we are concerned, I think our choice of market is very clear. We are extremely strong in North and East and followed by West. So, I think our whole effort is to protect our market share in that particular market and resist all the moves from the competition to capture our market and grow at the market rate. That's our ambition. So, they'll try their best and we'll be obviously there to fight out battle in the market.

- Participant:

- But now North, they're entering very strongly.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- Sorry?

- Participant:

- North, they're entering very strongly.

12 - Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- So, in fact, they started with the North plant first, then South plant. I think these two plants started. But again, you know, starting plant and extracting more from the markets, this sale has happened. So, we are watching that situation, and we will be definitely happy to see that this effort gets truncated someday, maybe this year.

- Participant:

- What is your strategy for the dealer? Basically, vis-à-vis theirs, like, how they have captured so much of the dealer network. What is your go to market strategy? How are you planning to do that?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- No, they copied our strategy. Right? I mean, we are here for the last 3, 4 decades and our old GTM was exactly the same what possibly they copied. I mean, we were there. Dealer, direct dealer distribution was there, then we added distributors to have to open up more retail points in the smaller towns and obviously using paint as a service, project business, all that thing is copied as it is. All that one did is, whatever I was giving, more than that I am giving. That's all. Now the question is, how long you sustain and whether consumer really buys that thing, whether pass through is happening to the consumer, etc. So, we will interface with the same. But there's nothing different and unique is the message. And then if it is not unique, sustainability or sustaining that effort for long is always a challenge.

- Participant:

- Thank you, sir. Wish you all the best. Thank you.

- Mr. Darshad – Asit C. Mehta:

- Ya, hi! Am I audible? I'm Darshad from Asit C. Mehta and my question is towards subsidiaries' performance. You said that it's weaker and this is impacting the console results. So, could you elaborate more on that? And also, will it get better and if yes, then in what time frame?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- Ya. Thanks. Prashant, would you like to?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

13 - Subsidy performance, is it, how was it and is it going to be better or what is your outlook on that?

- Mr. Prashant Pai – Chief Financial Officer, Kansai Nerolac Paints Limited:

- So, as far as subsidiary, we are facing challenges in Sri Lanka and Bangladesh because of the local issues there. Currently, there is a stress. As far as Nepal is concerned, we are doing better than the market. And our domestic subsidiary, of course, we have done a revamp. We had not done well last year but there's a big change and there is likely to be, good improvement in the year, in the current year.

- Mr. Ajay Thakur - Anand Rathi Securities:

- Hello Sir! Ajay Thakur from Anand Rathi Securities. So just want to get a sense on the growth volume, growth

in the industry. How it had been in Q4 and what is the trajectory that we can expect going forward, say for Q1 and Q2, if some colors can be given on the same?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- Ya. So as far as quarter 4 is concerned, results are not yet out but our estimate is that it

will be about mid -single digit volume growth is our expectation . As far as quarter one and quarter two concern, it should be in the same range.

- Mr. Ajay Thakur - Anand Rathi Securities:

- And sir, the volume value gap that we had been seeing, in the realization versus the volume growth for the decorative segment, which has been persistent for all the companies, all the industry players. It has been reducing, or it has been kind of, you know, indicated to reduce. How has the trend been now? Are we seeing that trend reducing further in Q4?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- Volume value gap?

- Mr. Ajay Thakur - Anand Rathi Securities:

- Yes.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- Yes. It is improving now.

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- Mr. Ajay Thakur - Anand Rathi Securities:

- Okay. And, sir, last bit was on the crude oil prices. We have crude oil prices correcting quite a bit and quite sharply off late . Given the current at \$60. If you can throw some broad numbers or you know, at least indicative number as to \$10 kind of correction on crude oil prices, what kind of a benefit we can expect for our gross margins or the EBITDA margins?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- Yes. So, see, this crude oil correction also has to be sustained for some time, you know, because we have inventory there and obviously, there are contracts. So one has to wait for this , you know, level to be settled and if that happens in the next contract, obviously, we will be able to get that benefit. But right now, you know, it is very difficult to know that whether it will be sustained or whether dollar will be where it is and what happens after this geopolitical situation. So I think it's a wait and watch.

- And as far as industrial concern, obviously, there will be some pass through, some may be able to retain. As far as decorative, if it is either way, obviously, it will be straight pass through that will happen to market.

- Mr. Ajay Thakur - Anand Rathi Securities:

- Understood. Thanks Sir.

- Ms. Mrinmay – Asit C. Mehta:

- Sir, you mentioned that you know your target would be to maintain your stronghold in the Northern and Western markets. But you have a new capacity that's come on stream in Southern India in Vizag. So, do you expect or are you targeting that, you know, because there's a new capacity installed in the South that you would want to, fight in that market and gain some share because, our market share in the Southern markets would be lower than our, pan India share. So any aspiration with respect to that area?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- So North is obviously strong. There's no doubt. And as far as Vizag is concerned, our next best city, our next best state in South is Andhra and Telangana. So obviously, to service that, it makes sense that we have a capacity available there. That was the main reason why Vizag is there. So obviously the idea is to maintain and grow that particular state. And second, we also have plants in Hosur , which is in Tamil Nadu, where also we have this entire range that we can produce to service the market. But Vizag expansion was purely from this Andhra and Telangana state.

- Ms. Mrinmay – Asit C. Mehta:

- So just to solve, is the existing demand in those states or you are targeting to, you know, ramp up?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paint

s Limited:

- No, existing because see, my existing plant in Kanpur obviously is getting saturated, so we had to expand in some region and target that particular sale for that state.

- Ms. Mrinmay – Asit C. Mehta:

- So there could be some benefit coming in from, lower transportation costs or things like that.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- Exactly!

- Ms. Mrinmay – Asit C. Mehta:

- Ok.

- Mr. Prashant Pai – Chief Financial Officer, Kansai Nerolac Paints Limited:

- Anyone else?

- Mr. Pratik – HSBC:

- Hi! Thank you. This is Pratik from HSBC. My question is about the broad industry. Can you speak a little more about the unorganized segment? How do you see them? Do you see them losing market share further or will they remain around the current 20% on industry level? If you can split that between Deco and industry, that will also be great. Thank you.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- So your question is organized sector, whether they will lose market share further?

- Mr. Pratik – HSBC:

- Sorry, unorganized, unorganized.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

16 - Unorganized sector, ok. So, see, there's nothing, there's no systematic data as far as the unorganized sector is concerned. So, it's very difficult to say what is happening. Obviously over the years, there has been some shrinkage which has happened because organized paint players have expanded into rural areas also via distributors and so many other means. So as a result obviously, there has been some shrinkage that might have happened, I am sure. There are some sectors which obviously there is a great shrinkage that you've seen especially in the solvent based paint especially and after GST, that whole price arbitrage benefit is gone completely. So, there is a clear disadvantage to that particular segment, especially on higher working capital requirement, etc. However having said that, there are some niche markets where they are present in some niche segments of projects and some particular items. It's very difficult to estimate whether that ratio has changed or not changed, very difficult to estimate. But obviously, if I enter a rural market, assumption is that I would have taken some share also. And if you look at last 3, 4 years growth of 33%, 24 %, obviously one is pent up demand and also some, I would say, trouble with unorganized player, I guess. But very difficult to put number. Frankly, it's a very qualitative answer in absence of proper data.

- Mr. Pratik – HSBC:

- And is there an unorganized space in the industrial segment as well or is that larger or smaller?

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- Ya, there are. In our unorganized sector also, there is an organized segment as far as industrial is concerned. Very large, it's there. But they are primarily into economic segment, not into premium segments as I elaborated earlier. So as far as we are concerned, we are placed right in premium and mid-range where performance matters. So frankly, it really doesn't matter for us whether they are there or not.

- Mr. Pratik – HSBC:

- Thank you.

- Mr. Prashant Pai – Chief Financial Officer, Kansai Nerolac Paints Limited:

- So, if there are no other questions, we can close this Q and A and please join us for high tea.

- Mr. Pravin Chaudhari – Managing Director, Kansai Nerolac Paints Limited:

- Thank you. Thank you so much.

END OF TRANSCRIPTION

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Call: Aug 2025

(no extractable text — likely a scanned image PDF)

Call: Nov 2025

(no extractable text — likely a scanned image PDF)

Call: Feb 2026

10th February , 2026

1. Corporate Relationship Department

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400012. Manager – Listing

National Stock Exchange of India Ltd.

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex, Bandra (E),

Mumbai – 400051

Sub.: Q3 FY 2025-26 Financial Results Conference Call – Transcript

Ref.: 1. Regulation 30(6) of the Securities and Exchange Board of India (Listing

Obligations and Disclosure Requirements) Regulations, 2015

2. BSE Scrip Code - 500165, NSE Symbol - KANSAINER

Dear Sirs,

This is further to the intimations done by the Company on 28th January , 2026,

3rd February , 2026 and 4th February , 2026, with respect to the Conference Call hosted by the

Management of our Company on Wednesday , 4th February , 2026 at 11:00 hrs India Time to

discuss Q 3 FY 2025 -26 Financial Results of the Company .

The Conference Call was in the nature of a group call.

We are enclosing herewith the transcript of the Conference Call for your information and reference.

For KANSAI NEROLAC PAINTS LIMITED

G. T. GOVINDARAJAN

COMPANY SECRETARY

Encl.: As above

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"Kansai Nerolac Paints Limited

Q3 & 9 Months FY '26 Earnings Conference Call "

February 04, 2026

MANAGEMENT : MR. PRAVIN CHAUDHARI – MANAGING DIRECTOR –

KANSAI NEROLAC PAINTS LIMITED

MR. YASH AHUJA – CHIEF FINANCIAL OFFICER –

KANSAI NEROLAC PAINTS LIMITED

MR. JASON GONSALVES – DIRECTOR -CORPORATE

PLANNING , IT AND MATERIALS – KANSAI NEROLAC

PAINTS LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

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Kansai Nerolac Paints Limited

February 04, 2026

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Moderator: Ladies and gentlemen, good day, and welcome to Kansai Nerolac Paints Q3 FY '26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be

in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star t hen zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities Limited. Thank you, and over to you.

Aniruddha Joshi: Yes. Thanks, Iqra. On behalf of ICICI Securities, we welcome you all to Q3 FY '26 and 9 months FY '26 Results Conference Call of Kansai Nerolac Paints Limited. We have with us today senior management represented by Mr. Pravin Chaudhari, Managing Director; Mr. Yash Ahuja, Chief Financial Officer; and Mr. Jason Gonsalves, Director, Corporate Planning, IT and Materials. Now I hand over the call to the management for initial comments, and then we will open the floor for question -and-answer session. Thanks, and over to you, Pravin, sir.

Pravin Chaudhari: Yes. Good morning, all of you. I'll request Jason to walk you through a brief presentation and the comments.

Jason Gonsalves: So good morning, everyone, and greetings to you. I'm grateful for your continued support and interest in our company. Thanks for joining this investor call of Kansai Nerolac. I'll begin by going through our presentation.

One of the first slides is on the Nerolac purpose and vision. Our purpose is to create environments for a healthy and beautiful future. And our vision is to design solutions that protect, inspire and touch lives every day. Kansai Nerolac is a water -positiv e company and is committed to reduction of emissions and improving the percentage of green energy used by the organization.

When it comes to our brand, our legacy is very stro

ng. We have a 100 -year-old excellence model.

Our robust strength lies in R&D capabilities and strategic technology partnerships, especially in the industrial segment, where we deliver continuously cutting -edge solutions across diverse applications. Despite intense competition, our brand continues to command attention. We proudly hold the position of a second most recognized brand in terms of the brand equity index nationwide. Our Nerolac Jingle, which has been there for more than 3 decades, also resonates across various age groups. I think that's another asset that we have created, and we are leveraging it pretty well. Our spirit of innovation is deeply rooted in advanced Japanese technology, which has been the driving force behind our industrial business.

Looking ahead, this same technological edge will increasingly shape our decorative segment, enabling us to continuously introduce breakthrough concepts that align with growing demand for premium products. A prime example of this was our Paint+ range, an exclusive line of category -defining products launched a few years ago, offering Indian consumers a truly differentiated experience in decorative paints.

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Coming to the business environment. During the quarter, we saw a very good demand for automotive products fuelled primarily by GST cuts, the continued focus of government on infrastructure. Of course, there was extended monsoon in the beginning of the quarter. This time, the festive season was shorter because of an early Diwali. The quarter also saw a lot of geopolitical conflicts and tariff wars. Rupee was depreciated significantly in the quarter and the crude price remained range bound.

Coming to business highlights. In decorative, among the key things that have happened during the quarter, Paint+ group of products, which we had launched. Today, their contribution to overall decorative business is greater than 10%. The project and institu tional business has shown a double -digit growth. We have been able to add 3,500 dealers in our network as on December '25.

Our specialty stores that the Nerolac NXTGEN Shoppe, Shop in Shop and Nerolac Plus Paint Zones , today, the network is more than 600 plus. We have a strong double -digit performance in construction chemicals, waterproofing and premium wood finishes. Services have continued to grow and are contributing more than 5% to our overall decorative business. And during the year, we have launched 11 new products and new product's contribution to decorative business remains pretty stable.

Among the innovations that we have launched during this quarter is the Excel Everlast 20, a product which offers 20 years performance, having superior weather resistance, including nonfading of shades and waterproofing property as well as water -based Excel Total Floor Coat, which is a product which offers excellent resistance to abrasion, algae resistance and resist hot tire marks, especially designed for paver blocks and cement tiles.

In industrial, in automotive 4 -wheeler, we have launched a BTX -free metallic, monocoat, matt product for interiors of cars, a 1K common conductive primer having superior addition on

multiple plastic substrates. For the 2-wheeler industry, we have developed a PU matt metallic monocoat and we have implemented against the existing 2-coat system, having superior properties of no colour transfer and of petrol rub after 0 hours of post baking and no gloss variation in broader workability band.

For the commercial vehicle segment, we introduced low-bake epoxy CED black, which will help reduce the baking conditions significantly. In the performance coating liquid segment, we have introduced low-bake back coat and top coat for coil coating, which has both been approved and commercially supplies have started. In the powder coating segment, we have introduced hi

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scratch resistance coatings, especially designed in matt black and matt white variant.

Coming to our media campaigns. Our Ghar Ki Raunak campaign was extensively run. Our iconic Jingle modernized to resonate with today's consumers while preserving its nostalgic charm. This refreshed sonic identity is already gaining traction, adding a vibrant new dimension to our promotional strategy and further strengthening our brand record. This is promoted on all major media platforms like TV during the Asia Cup, radio, audio, digital videos, banners and social media influencers.

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Coming to branding and marketing, our brand and marketing investments have remained strong with impactful campaigns running across both television and digital platforms. These efforts are designed to deepen consumer engagement and reinforce Nerolac identity in the minds of our audience.

Coming to industrial highlights. In automotive, the auto segment witnessed very strong growth in Q3, fuelled by GST 2.0. And there has been a strong focus on innovation and creating new technologies to increase total addressable market. In performance coating, in the liquid segment, we witnessed very strong demand in the general industrial segment, driven primarily by construction equipment and pre-engineered buildings.

In powder coating, we were able to have a stable demand momentum, driven by auto ancillaries, electrical appliances and furniture segment. In auto refinishes, we witnessed a stable demand during the quarter. In the premium PU segment, we have had notable body shop wins and the conversion from solvent borne to waterborne systems is transitioning as per plan.

We won a number of accolades during the year; the Dragons of Asia Marketing Award in Q2 '25. The gold -- we were the Gold Winner in Ambient Media in Q1 '25, the Goafest in Q1 '25, 7 Baby Blue Elephant awards. We won significant awards from automotive majors like TAFE, Maruti Suzuki and Suzuki Motorcycle India.

Coming to the area of ESG, KNP was rated in B category in climate change and water security in the CDP Cycle 2025. And we were rated in the top 12 percentile within the chemical industry group in the S&P Global Large and medium -- Mid-Cap ESG's Index 2025.

In CSR, through our initiatives, we remain deeply committed to driving positive change in the area of education, health care, women's entrepreneurship and skill development. These efforts reflect our ongoing dedication to giving back to society in meaningful and sustainable ways, empowering communities and fostering inclusive growth.

Coming to our financial results. For the quarter, our growth in net revenue was 3.5%. For PBDIT, it was 0.2% and PBT before exceptional items was minus 3.7%. On a YTD basis, for stand-alone, the net revenue grew by 1.9%, PB DIT is down by 3.2% and PBT before exceptional items is down by 4%.

On a consolidated basis, for quarter 3, our net revenue is up by 3.1%, PBDIT by 2% and PBT before exceptional items is down by 3.7%. For the 9 months ending December, our net revenue was up by 1.5%, PBDIT is down by 2.4% and PBT before exceptional items is down by 3.1%.

Coming to risk and outlook, among the significant risks that we see, geopolitical tensions leading to supply chain disruptions and volatility in commodity prices, inflationary risks due to the tariffs uncertainty and import cost surge due to rupee depreciation.

Among outlook, as per RBI, construction activity would see a sustained momentum. Demand momentum generated by GST is expected to continue in quarter 4. Automotive segment is expected to maintain growth momentum and growth in infrastructure such as railways, roads, airports, power augur well for the paint industry and will drive demand for high-end coatings.

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Thank y

ou. This marks the end of the presentation. We will now take question and answers.

Moderator: The first question is from the line of Avi Mehta from Macquarie Capital.

Avi Mehta: I wanted to kind of first check with the decorative side. Could you give a sense on how the momentum was in 3Q? And what gives you comfort on the recovery? Also, if you could cover if there's any change in the competitive intensity, especially after the merger of AkzoNobel and JSW?

Pravin Chaudhari: Hi, Avi. So as far as deco is concerned, October, because of shorter Diwali, obviously, was not great. But what we saw -- as we run through this quarter, we saw that November and December, there was quite a good recovery. So, we are seeing that there is a good growth momentum, which is coming back now. And we hope that continues in Q4 as well as we move into Q4.

On competition intensity, yes, competition intensity still remains pretty intense. And as far as this Akzo and JSW is concerned, obviously, as they stated, the royalty is what they're going to pull back in the market to develop and obviously invest in either influencer or media depends on what they prioritize.

But that will remain to be seen as to how they deploy and what will be the effectiveness given the network. But obviously, everyone is trying to protect their own market and try to grow. So, I guess that intensity will continue to remain for some time now.

Avi Mehta: Got it, Pravin. Got it. Pravin, if I may, just essentially on the -- just closing on the other side, which is the industrial side. Now clearly, your comments on the industrial side was a lot more constructive. Now if automotive is seeing the kind of growth, it is seeing and decorative recoveries where it is, how do you see the EBITDA margin profile in the near-term for us? And is there a risk on that 12% to 13% number that you had shared target?

Pravin Chaudhari: Right. So, Avi, if you look at the kind of investments we're doing either in terms of manpower, feet on street, our influencer connect programs have intensified. We are investing heavily in that, whether it is architect, whether it is painter. Our CCD machine deployments have increased. We are now close to 85% of CCD machine we are reaching that target and also very actively investing in our dealer opening.

So, if you look at on decorative front, we are obviously not letting ball fall, and we are investing heavily in this area. Obviously, given that even industrial has pretty good runway as we see as far as quarter 4 is concerned. With all that happening, you will see that in quarter 3, we still maintain our EBITDA guidance of 13%. So, I think we are very cautious of this, and I think we maintain that. I think that is how it will be going forward. It will remain 13% to 14% is what we maintain even now.

Avi Mehta: Sorry, 13% to 14% EBITDA margin guidance?

Pravin Chaudhari: Yes. That's the range we intend to maintain.

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Avi Mehta: Okay. And sir, last bit on the industrial side. If you could kind of just give a sense on for -- just a reminder of how margins differ between industrial versus decorative qualitatively or any numbers over there? And where do we stand versus pre-COVID, just to understand the work that has been done over there? That's all from my side.

Pravin Chaudhari: Right, Avi. So, while we'll not able to share a breakup or exact number, but I can only tell you that pre-COVID, I think our profiles have dramatically improved. And as far as our industrial margins are concerned, they have also improved. And in fact, that is how we are able to also try to invest more as far as decorative is concerned and manage overall guidance.

Moderator: The next question is from the line of Mihir Shah from Nomura.

Mihir Shah: Sir, my question is on the staff cost. If I see entire last year and whatever seen over the pas

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quarters of this year as well, the staff cost has remained elevated vis-a-vis the sales growth momentum that is there. I understand that you have been investing in to higher staff costs?

But then when do you expect the benefits of higher investments to start showing into the decorative volumes, especially with the dealer reach increase and the feet on street increases that you have been doing seems to be higher than the industry average. And I want to understand when are you expecting the investments to start yielding results? That's my first question.

Pravin Chaudhari: Thanks, Mihir. So yes, you are right. I think investment is happening not only in decorative, but also on the industrial side, selectively in industrial, especially in our focus areas. And we are trying to expand our segmental play as far as industrial concerned, that is also called for some kind of investment in manpower. And obviously, this allied manpower investment happens across the chain.

As far as decorative is concerned, the investment that we are doing on manpower is yielding results, and we saw that in quarter 3 in terms of improvement in the performance metrics at town level. So, I'm sure that continued -- I'm sure that continued effort will start yielding greater results as we move forward.

Mihir Shah: Understood. Sir, secondly, if you could share some insights on how your older dealers has --

you've been able to hold up your older dealers and how that has changed with the competitive intensity increasing. Is there a material churn that is there in the -- probably the tail end of your dealers that is there, which is why there is an impact? Or there is no major churn in your dealer network, and you're just keeping on building on through newer dealers on this?

Pravin Chaudhari: So, Mihir, churn is there every year. I mean, what we have seen is percentage of churn has not changed at all. I think it remains the same. And the good part is our weighted -rich dealer; obviously, we can retain. And obviously, at the same time, acquiring a new competition dealer, which is a normal phenomenon in the industry that keeps happening. So, there's no material change that I'm seeing.

Obviously, it is the overall demand environment and intensity that is being seen. That is what is resulting in obviously realigning of share at each counter, but that doesn't mean that share loss is very different than what it has been in the past.

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Mihir Shah: Got it. That's heartening to know. And sir, lastly, I wanted to just check on the gross margin profile. The third quarter usually with the exterior paints kicking in, you have higher margin profile. One would expect sequential improvement in gross margins, but because your industrial and auto segments, we can see the car production numbers have been robust.

Maybe because of the mix change that happened, maybe the gross margins did not sequentially see an improvement. However, going forward, with that normalizing and with the input costs remaining constant, is there a possibility for gross margins probably to inch up further from these levels?

Pravin Chaudhari: Yes, you're right on mix front, yes, that's the right observation. And going forward, I think if our geopolitical situation remains as it is and if improvements that are happening currently, if that continues, I'm sure you can see some change, but I don't think there will be dramatic change that will happen.

But -- and historically, for quarter 4 of ours as far as decorative is concerned, mix is also not favourable for us. So, in a way, I would say -- we would like to say that it will be at same level or marginally better, not significantly different as far as Q4 is concerned.

Moderator: The next question is from the line of Mrunmayee Jogalekar from Asit C. Mehta Investment Intermediates.

Mrunmayee Jogalekar: Sir,

I wanted to know a little bit on -- so is the assumption correct that the deco revenue growth would still be negative in this quarter?

Pravin Chaudhari: I would say it is marginally negative to flat. That's how it is.

Mrunmayee Jogalekar: Okay. So, in that case, then industrial revenue would be slightly in the double -digit range growth?

Pravin Chaudhari: Yes, about that, touching double -digit, yes.

Mrunmayee Jogalekar: Right. So, within that, can you just give some colour because auto growth would be much higher in this quarter. Is that the right thing to assume?

Pravin Chaudhari: Sorry, can you come again?

Mrunmayee Jogalekar: I mean within that 10% industrial growth, can you split it up between, say, auto and some of the other non -auto segments?

Pravin Chaudhari: That will be difficult to say that because we don't give that breakup. Historically, that has not happened. Yes.

Mrunmayee Jogalekar: Okay. Okay, sir. All right. And sir, in the Q4, because in Q3, decorative revenue had an impact in the month of October, so March should ideally be a much better growth, probably closer to mid-single digits?

Pravin Chaudhari: As far as Q4 is concerned, yes, that's our intent.

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Moderator: The next question is from the line of Amnish Aggarwal, an Individual Investor.

Amnish Aggarwal: Amnish from PL Capital. I want to know what exactly is the trend in the volume growth, both in decoratives as well as in the industrial. And based on that, have we -- how does our market share stand now in comparison to what we were in the previous quarters?

Pravin Chaudhari: Yes. So as far as market share is concerned, industrial, we are able to grow market share. And in case of decorative, it will be about same market share. Now as far as volume gap is concerned, volume, we have not been showing it any time. So, I don't think I'll be able to share that. But only thing I can tell you as far as deco is concerned, our volume and value gap is nil. We're exactly at same level.

I think that's a positive change from the mix point of view. And I think that is what we are trying to pursue. So, it is important for us to ensure that our premium segment grows, which have done very well in quarter 3. So, I think that's the direction we would like to take going forward as far as deco is concerned.

And as far as industrial is concerned, I think typically, we look at really value because that's what matters. When you look at the high -end products, I think value matters more than volume. And there also, we are -- I think as we see things, I think we have done pretty well as far as overall industrial is concerned from volume perspective as well.

Amnish Aggarwal: Okay. Sir, I just wanted to understand how is the decorative volumes are going for Kansai and for industry? Because if I look at, say, market leader or any other player, everyone is today having, say, your putty construction chemical and waterproofing for everyone, it is growing in double digits?

So even after that, if the volumes are, say, in the low -single -digit to mid -single -digit for most players, okay? So then how is the -- actually, if I look at pure paints volumes, how is that volume going for the industry and for Kansai?

Pravin Chaudhari: So frankly, because what is the industry details are not available at mix level. But I guess your observation is right, the volume value gap obviously is signified by poor mix. And second thing is higher discounting in the existing range. Both are the components.

And I think in some call, they must have shared this. But as far as we are concerned, obviously, putty is pretty easy. You can always dump it and at a higher discount, but it is not obviously making great margins. So consciously, we are not playing that.

So as far as my important terms are concerned, my strong areas are concerned, obviously,

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might put it as a package, but not -- that's not what we are using as an entry point in some other areas. So that's as far as we are concerned, I think it is important for us to focus on the product mix and looking at the premium nature and premium improvement as far as we are concerned.

Moderator: The next question is from the line of Tejash Shah from Avendus Spark Institutional Equities.

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Tejash Shah: Sir, you called out that competitive intensity is still very high. Just wanted to understand, is it increasing? Or is it kind of staying the same, a? And b, in what facet of business is it kind of surfacing the more? In the sense, is it more discounts at dealer level or customer level or even at resource level on the back end, be it on human resource or raw material -- securing raw material, which all facets we are seeing this competitive intensity there?

Pravin Chaudhari: Yes, Tejash, I think intensity is there across. The manpower deployment has happened a long time. I think that remains elevated across industry. As far as discounts are concerned, obviously, they have also increased, but they are now at similar level. There's no immediate reduction that you have seen as far as Q3 is concerned.

Obviously, there have been some price adjustments, which was announced by competition, a very marginal one, 2% to 3%, but that I don't think is also aimed to obviously try to adjust some bit of discount. I think it's a slow -- I mean, direction suggests that at least.

As of now, ending Q3, we have not seen any change in the intensity on all the front that you mentioned, whether it is influencer, whether it is dealer discounting or investment in the manpower. That all continues as far as decorative is concerned.

Tejash Shah: And sir, the new entrant has also launched this EMI scheme, which has actually hit the dealer level as well. So, we have picked up that it is very much in execution as well. So just wanted to know your thoughts. Is it a tool that we'll like to use in future to recruit customers? Or you believe that, that doesn't move the needle and hence, shouldn't be kind of triggered?

Pravin Chaudhari: I think the initial euphoria in terms of any new scheme will be there. But having seen the industry, I think it will be very difficult for this to sustain at a scale that it will demand. I think there are other players in similar industry have tried setting up fund to finance, but I don't think it has gone anywhere. So, I think we'll have to wait and watch. I think how that progresses. But as of now, our belief is that it should not -- I mean, scaling will be a problem, but we'll wait and watch how things go.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance.

Keyur Pandya: Two questions. So, first, on the industry growth. I mean, looking at overall growth for the listed players, it seems that as earlier participant highlighted that core paint growth is either low or no growth. Now are you able to assign any reason? Or are you seeing any changing trend after, say, all the fiscal and monetary efforts from the government? So that is first question.

And second question on your growth. So overall revenue growth into low-single -digit. At the same time, you are highlighting that industrial and automotive have done well. Does that mean that your decorative has de-grown in value terms?

And why I'm asking is that because Asian Paints JV for auto and industrial, both are growing in,

say, either in high -single -digit or double -digit for last 2 or 3 quarters, which suggests that they have gained share. So, which of the segment is -- I mean, in which of these segments, decorative industrial, are you losing share, if so? So just clarification on that.

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Pravin Chaudhari: So Keyur, I think it depends on what you look at. I think as I mentioned earlier, as far as decorative is concerned, we are -- our volume and value gap is almost zero. That suggests that our focus on really selling quality or mix is very important for us. So, there's other products which are, I would say, low -margin products like putty and there are some other products which obviously they are in the industry and which is getting pushed, we are trying to cautiously be away from that segment. And that is what is resulting into this. So, it depends on how you look at market share.

I think what we are really concerned about is our future I would say, growth projections and maintaining profitability or improving profitability going forward, that will happen only if we try to invest in the quality of mix. So that is as far as decorative is concerned.

On industrial, yes, again, same thing. We are looking at premiumizing our portfolio and focusing on the profitability and investing systematically to build that. As a result, obviously, if we look at segmental -wise, there's no loss of share at all. And all that might have happened is there is a segment which is we are not representing. For example, marine.

We are not there in the marine at all because of our global arrangement, we are not -- we can't play in India. So that is how -- there are such segments where we don't play. Obviously, if there is a growth in that area, one can say that as an industry, there might be share realignment. But as far as our segment play is concerned, there's no share loss at all.

Keyur Pandya: Sir, just first question of any green shoots on industry growth. So, core paints seem to be either not growing or growing at very low -single -digit. Are you seeing any green shoots? I mean, earlier we used to have -- so just core like -to-like products, what were there, say, 5, 6 years back. I mean, with no much large inflation or no large price cuts, there shouldn't be any value volume mismatch for those category of products, except for discounting?

Now they used to grow in, I'd say, high -single -digit value terms or low -double -digit in value terms as well as volume terms. Are you seeing any signs that industry is going back to those times or at least improving from where it is for last, say, a couple of years?

Pravin Chaudhari: So, Keyur, as far as movement from, let's say, quarter 1 to quarter 2 to quarter 3 is concerned, definitely in quarter 3 after Diwali, November and December, we have seen changes happening in the demand pattern, and we have seen the recovery in core paint as well. So that is what you have seen. And we are hoping that that will continue in quarter 4 also in the core paint category, which is basically emulsion, enamel and distemper and whatever it is. So that is how it will continue and that is what we believe in.

Going back to a question of whether we'll see and when we'll see that equal to GDP or more, I think that we are also really hoping that, that day should come soon. And -- but looking at the changes that are happening and our discretionary nature of our industry, painting cycles, all that is also contributing to this. But hopefully, there will be some day into this because people -- I mean, ultimately, one has to paint their house, right? So -- but I don't know which quarter, which year that will happen.

Moderator: The next question is from the line of Aniruddha Joshi from ICICI Securities.

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Aniruddha Joshi: Sir, one question on long -term industry growth rates. So, if we look at compared to 2015, the efforts to drive the growth, that is the entire ad spend done by all the 4 majors, the initiatives in distribution expansion, the trade spends, the new product launches. Compared to that, we have seen there is a material increase in the efforts to drive the ind

ustry growth in terms of over past 10 years?

Like one, there are multiple number of new players have entered. The ad spend in the industry, the new product launches, trade spends, everything has gone up. Now despite that, the industry has kind of slowed down. So, is it fair to assume that probably the penetration level in India and the per capita consumption, etcetera, have reached to a decent level?

And hereon, the industry growth rates may structurally be lower the way we have seen it in case of a lot of other industries like toothpaste or hair oil or even soaps or detergent, etcetera, where the penetration levels have gone up to a very high level. So, expecting a very high growth in

those industries sustainably is difficult. So, do you think that stage has reached for paint sector as well?

Pravin Chaudhari: So, Aniruddha, I don't think so that has reached because, I mean, we are still about one-third of global average. And given the prosperity and all that is happening as far as India is concerned and per capita income increasing, I'm sure our ability to spend more on the premium products will increase. So, what I foresee is like this that volume per se will actually change -- I mean, in the mix part will change.

So, all the products that we today call a decorative, I think slowly and gradually, that will get shifted to pure -play emulsion, which is what globally, I mean, exists. They don't have these so many categories. It's basically emulsion paint, which is called as a decorative paint. So that is likely to happen as we go forward, which essentially also means that my per kg price will increase. I think that is where the growth in value term will start coming going forward.

So as far as growth future is concerned, I think industry is pretty secured. I think there is a big runway available for this industry to grow. And probably that is one of the reasons why there are so many players who are interested in entering this industry because they see that there is a growth runway available. And there's a premiumness also possibility to exist if things are executed well on the ground.

Aniruddha Joshi: Okay. Sure, sir. Understood. And sir, second and last question. Now commodity prices are a bit lower. We have seen contrasting actions. Akzo has cut prices, whereas Birla Opus has raised prices. So how do you see the pricing trend to emerge in the industry? And what will be concise actions on that? Yes, that's it from my side. Thanks.

Pravin Chaudhari: Aniruddha, so as far as prices are concerned, I think they're very stable. And as of now, I don't think there's any need to really substantially change the prices. That is what our view is, unless there are some different actions which are taken in the market.

The price change that you've seen in the industry about Akzo or Opus, Birla Opus is not very significant. 2%, 3%, I don't think is going to really change much as far as industry is concerned.

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As such, Opus was lower by 5%. So, they are correcting it, I guess. So, I don't think it has any material change or impact that is going to be seen.

Moderator: The next question is from the line of Ajay Thakur from Anand Rathi Securities.

Ajay Thakur: So, I have two questions. One, I wanted to understand more on the trend that you indicated of volume value gap, which has actually reduced for you. How has it been kind of narrowing over the last few quarters? And what are your expectations going forward? Are you likely to kind of maintain this kind of a flattish kind of a volume value gap? Or do you expect this to again inch up going ahead?

Pravin Chaudhari: Yes. So, Ajay, our intent is to actually have it at same level, which obviously means our quality of mix is better. Though while that is our endeavour, but obviously, quarter-on-quarter, it keeps changing because mix are very

different. So, I would say I don't recall now what was our Q1,

Q2, but Q4 also our intent is that only that to focus on the mix. But there might be a slight change because of different mix profile compared to last year. So that might play out. But it won't be very large that much I can share.

Ajay Thakur: Understood. The second was you kind of did indicate about the recovery in the prior quarter more in October, November, December, gradually. But can you just also throw some more light in terms of the sustainability of this recovery and also how you see in terms of cyclical recovery because there's a lot of talk happening in the industry about cyclical recovery of the paint sector. If you can throw some more light on that part, what is the confidence of this kind of a growth sustaining or kind of accelerating going ahead?

Pravin Chaudhari: Yes. So, I think as we entered quarter 4, we have seen that sign of some recovery. So that gives us confidence that quarter 4 should also be better.

Ajay Thakur: Understood. And is it likely to kind of improve from here on? Any sense on that or how stronger can we expect? Because still, if you look at the industry growth, it is still kind of subdued in that context?

Pravin Chaudhari: So that is right. Ajay, but what is happening, if you look at total industry, which includes all the new players also, which figures are very difficult. Those are not available except top 5. But I think as an industry unorganized, organized, our sense is that industry still has grown. I think it is not that industry itself is degrowing. INR70,000 crore s, INR80,000 crore s industry would have certainly grown by -- if not GDP, above GDP.

But what happened is there are so many players who are coming in and putting in their bet in one -- each state. Obviously, that is resulting into not knowing exactly a total impact on our -- quantify and reconcile impact on top 4. I mean that is what is happening. So as far as industry growth momentum is concerned, future is very secured. I think this is short-term.

So, I think resilience will be called for, and I think we are all trying to protect our own turf. And I think given that situation, I'm sure things should turn out better. And hopefully, we'll reach that as an industry and as all players that those are listed, we'll be able to show closer to GDP numbers once this settles.

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Ajay Thakur: Understood. Sir, last question from my side was more on the backward integration. We have seen that large players are undertaking backward integration given the fact that, that will help in terms of better margin for them. How do you perceive this given the fact that for a player such as us, can it lead to further impact in terms of the competition because they might pass on this benefit in terms of the margin benefit to either customers or to the trade and thereby kind of trying to gain further on the margin side of it?

So, is that something how you perceive it? Or how do you want to look at it in terms of going forward? And do you also have certain plans in terms of executing some of these backward integration projects so that you also gain that edge in terms of the margins? Yes. That's it from my side. Thank you.

Pravin Chaudhari: So, Ajay, backward integration is a strategy which has to support either your absolute niche play or scale. I think these are the two aspects. So as far as scale is concerned, right now, we evaluate based on that. So, wherever we think that scale will support in terms of being more competitive, definitely, we invest.

Likewise, we invested on -- as far as industrial concerned, we are completely backward integrated on all major categories because we lead there. And obviously, we introduced a lot of niche and high-end technologies for our customer. Obviously, that -- we need that kind of backward int

egration to be competitive as well as to control quality and technology of that product. So that is as far as the industrial is concerned.

In decorative also, we have backward integrated as far as emulsions are concerned. For last 10 to 15 years, we are doing that. And that, again, is not being used really to produce a commodity product. I think that is used to produce very niche high-end unique to category product that we introduce offering unique benefits. That kind of product, we try to make it there and try to use that in our product.

So, it depends on what strategy we are going to pursue. If I'm going to put something in economy segment using scale and if I'm then trying to pass it on to market, I don't think I'll be able to improve my margin. Basically, I have reduced the price and I've set off everything. That is what is likely to happen. So, I don't know what is the aim.

But as far as we are concerned, we evaluate this is our requirements and definitely, whenever need be, either to protect our competitiveness or to introduce high-end products and premiumization, then we decide on the backward integration investment.

Moderator: We have a follow-up question from the line of Avi Mehta from Macquarie Capital.

Avi Mehta: I just wanted to get some colour on the businesses and Nerofix?

Pravin Chaudhari: Yes. So Nerofix is doing pretty well, growing at double-digit -- higher double-digit, I would say. And that is also because of our play as far as retail is concerned as well as on the industrial side, they have increased their play on the segments. So that is going pretty well. On profitability, also, they have improved significantly. And I think that's a fantastic work that has happened as far as Nerofix is concerned.

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On Nepal also continues to do very well. And I think that situation side disturbance was there that is now passing, and I think things have started recovering. So overall, I think subsidiaries are also in pretty good shape, I would say.

Avi Mehta: And sir, Bangladesh and Sri Lanka, anything to call out?

Pravin Chaudhari: Bangladesh, Bangladesh is still under stress. And I don't think when -- frankly, every quarter, we try to assess the situation, but with this election around the corner, and I don't know post-election, what happens, the situation remains difficult as far as Bangladesh is concerned for us. And as far as Lanka is concerned, we exited that. So that's past. Yes.

Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Pravin Chaudhari: Yes. Thank you so much for attending and showing interest in our company. I think our endeavour is to obviously maintain overall top line growth as well as profitability guidance that we've given. And we hope to see you in month of May for our quarter 4 and year-end investor

briefing. Thank you so much.

Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: Mar 2026

5th March, 2026

1. Corporate Relationship Department
BSE Limited

Phiroze Jeejeebhoy Towers,
Dalal Street,

Mumbai - 4000012. Manager – Listing
National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
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Sub.: Transcript - Analyst / Institutional investors meet by Kansai Paint Co., Ltd., Japan,
Promoter of our Company

Ref.: 1. Regulation 30(6) of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015

2. BSE Scrip Code - 500165, NSE Symbol - KANSAINER

Dear Sirs,

This is further to the intimations done by the Company on 20th February, 2026,
24th February, 2026 and 26th February, 2026 with respect to the Conference Call hosted by
Kansai Paint Co., Ltd., Japan, Promoter of our Company on Thursday, 26th February, 2026 at
4 p.m. (Japan Standard Time) i.e. 12.30 p.m. (Indian Standard Time) to discuss business strategy
briefing on India operations. The Conference Call was in the nature of a group call.

We are enclosing herewith the transcript of the Conference Call for your information and
reference.

For KANSAI NEROLAC PAINTS LIMITED

G. T. GOVINDARAJAN
COMPANY SECRETARY

Encl.: As above KANSAI

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260226 India Business Strategy Briefing

Attendee ■

(Kansai Nerolac Paints Ltd. ■

Pravin Chaudhari, Yash Ahuja, Amrit Rekhi, Ram Mehrotra

(Kansai Paint Co., Ltd. ■

Takashi Tomioka, Makoto Ozawa

SM

BC Nikko Mr. Shintani: I would like to ask about the outlook for the competitive
environment in the Deco and industrial segments. In the Deco segment, there was
previously a new entry by Grasim. Kansai Paint had indicated that the competitive
environment has come full circle in 3Q FY2026. On the other hand, another
competitor completed the business acquisition in December, and the competitor
obtained not only a deco portfolio but also an industrial portfolio. They have
expressed ambitions to aim for second or third place in India. Given this, I think
competition in the industrial segment may also become more intense, as it has in the Deco segment.

Pravin: As far as the competition forecast is concerned, the competitive intensity
in the short term will remain strong. However, the pace at which it was increasing
is not happening now. In that sense, the competitive intensity remains elevated,
but it has now stabilized and is not increasing further.

In terms of growth rates, the paint industry as a whole is growing. However, a part of that growth is being captured by smaller
players who have recently entered the market, and that is why we see listed companies reporting slightly lower growth rates.
That does not mean the paint industry itself is not growing. The industry is growing, and as I mentioned earlier, now that the
competitive intensity has stabilized, and we are entering the next phase, we expect to start seeing a recovery
in growth. In fact, some recovery has already been visible since last October. That
covers competition in the decorative segment.

With respect to industrial coatings, I believe you are referring to JSW's acquisition of Akzo and the part of the industrial
business that has moved to JSW, if my

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understanding is correct. Indeed, whenever a growth story and growth opportunity
emerge, competition naturally follows. However, in industrial coatings, success is not only about having a ready-made
business. It also requires a complete supply

chain and value chain setup, strong technology offerings for customers, continuous line support, constant market presence, and proven global track records, but all of this takes time. This is not a business that can be entered easily, as it is p

erformance-driven rather than purely price-driven. This is an area where Kansai is particularly strong. We have eight manufacturing locations and more than 200–300 technically competent people deployed on customer lines and field operations. At the speed at which our customers are operating, we have not faced situations where customers have suffered due to Nerolac's supply or quality issues. That is a strong

credential that helps protect our business. We are not unprepared for competition. Competition will come and go, but with a strong foundation, Kansai is fully prepared to offer best-in-class products going forward.

In industrial coatings, there are many segments. While we are No.1 or No.3 in some segments, there are still several segments with strong growth potential that we have not yet fully explored. Through our global network, we are now realizing that there are additional production technologies we can offer these segments as well. This will result in further expansion across segments.

Therefore, our strategy is twofold: to strengthen and extract more value from our existing segments, and to expand into new segments. Together, these actions will ensure continued growth.

Construction Chemicals is a growing area. A survey indicates that only three out of ten homes, institutions, or buildings currently use construction chemicals, which implies nearly three times growth potential. As awareness increases, we see construction chemicals being used more frequently in new construction projects.

Another important area is repair and maintenance. India, being a tropical country with harsh weather conditions such as heavy rainfall and temperature variations, often faces structural deterioration and leakage issues. As a result, the repair segment is also expanding rapidly. Even with more players entering the market, there is sufficient opportunity for each participant to benefit from this growth.

In this space, we have made two acquisitions: one is Nerofix, and the other is Perma. Both have an excellent range of construction chemical products and technologies.

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These capabilities are what we now intend to bring to the table as we work to grow in this segment.

CLSA Mr. Zhang ■ About the Indian automotive market, the effects of GST have begun to materialize since last October, and growth of around 20% year on year has continued. However, demand driven by GST will not continue to sustain 20% growth indefinitely, and growth should slow from the latter half of this year. In addition, some demand that had been held back prior to GST appears to have shifted into October. What do you see as the medium- to long-term growth rate for the automotive market—around 10%, or closer to 5%?

Pravin: You are right. After the GST changes in October, production has picked up, and this increase in production is reflected in our paint sales. If you look at the sales on the OEM side as well, they are quite healthy, and we are seeing this momentum being sustained in the current quarter too. As we move into the second half of next year, there will obviously be a base effect. The push or support that we received due to the GST changes may not continue. However, the automobile association is still predicting robust growth for next year. Another supporting factor is that automotive companies in India are investing heavily in capacity expansion. In fact, based on our projections, they are expected to double their production capacity by 2030. If this is the trajectory, then over the next five years, even adding another 50% capacity would imply a fairly strong growth rate. This is the second key support.

In terms of sustained growth levels, the numbers may vary—8%, 10%, or 11%—depending on the overall situation. However, the indication we have is that growth will remain healthy.

The third supporting factor relates to the paintable surface area. Ultimately, it is the number of vehic

les that get produced, but the size of the vehicle also determines paint consumption. In India, small cars used to dominate the market until about three to four years ago. Today, however, SUVs and larger vehicles, including five- and seven-seaters, are increasingly popular.

As a result, the share of larger vehicles in our customers' sales mix is increasing, which means there is a larger paintable surface area per vehicle. Therefore, I would not be surprised if our growth is slightly higher than overall automotive production

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growth. This is the third supporting factor for auto.

The fourth factor is exports. India is increasingly becoming an export hub, with major OEMs now using India as a base for exports. We are seeing a rising share of sales coming from exports, which provides us with additional opportunities.

Taken together, these four factors suggest that while quarterly or year-on-year numbers may fluctuate, the long-term growth outlook remains positive.

C

LSA Mr. Zhang ■ I understand the medium /long-term export situation of each

company and the trend toward larger vehicles. Recently, it has been said that Grasim's strategy has changed. What is the background behind this strategic shift? Although this concerns another company, Grasim has recently been expanding into areas such as electric cables —does this mean that it is reducing investment in paints? Or is it the case that Grasim's margins are not performing well, leading to a natural erosion of its share? I would like to understand the background of the easing of competition.

Pravin:

You're referring to the nature of competition in India and whether companies are focusing on growth versus market share versus profitability.

If I were to give just one answer, it would not do justice to all the segments in which we operate. Competition in the Indian paint industry is largely coming from the decorative segment, mainly due to the recent entry of a large conglomerate that is investing heavily with the expectation of making returns over time.

If you look at how we compete in the market, their approach is not very different from what we have been doing for many years. The strategy is broadly similar. In a growing market, with significant capital being deployed, it is natural that some market share can be captured. The key question is whether following a similar approach —essentially doing more of the same —is sufficient, or whether true differentiation exists.

This is a topic that will continue to be debated, and the answer will only become clear a few years down the line when we look back and assess what actually

happened in the decorative segment. For now, it appears that the same strategy is being pursued, but at a higher cost, and it remains to be seen whether this will bear fruit over time.

As far as the industrial segment is concerned, it is important to recognize that there

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are players operating at the bottom of the pyramid, where margin pressure is clearly higher. For multinational players like us, the strategy is focused on premiumization—moving up the value chain, offering more to customers, and targeting higher-value and more profitable segments.

Across all our businesses —industrial, automotive, and decorative —we aim to be selective and differentiated, creating niches that are large enough for us to manage effectively and serve well. As a multinational company with strong technology capabilities, this is how we define our approach to competing in the market. Accordingly, we will face whatever competition emerges. However, in the industrial segment, we remain confident that it will take a long time before competition poses a serious threat to our position.

UBS Mr. Omura: I would like to ask about the room for cost reductions. Nerolac has been viewed as having a strong growth story and is often described as being sophisticated, second only to Japan. However, profit margins in In

dia are several percentage points lower to Japan, and even from a global perspective, they still lag behind Asia. It feels as though profit improvement from past efforts has stalled.

Aside from growing the top line, are there any initiatives to improve profitability?

And how much room for improvement remains?

Pravin: I think gross margin is also a function of mix. Historically, if you compare Indian businesses, you will see higher gross margins because they have a higher share of decorative business. The investments required for the decorative business, which come below the gross margin line, are very high. As far as our overall mix is concerned, we are now more than 50% industrial and about 45% to 50% decorative. That is why you will find our gross margin to be quite different and not directly comparable to other Indian businesses.

If you look at our efforts to improve gross margin as well as overall profitability, as already stated in our mid-term plan, it is our endeavor to increase margins by

another 200 basis points going forward. This will come through two levers.

The first lever is improvement in operational efficiency, along with premiumization, entry into new segments, and faster growth in those areas. The second lever is optimizing our sales and SG&A expenses and ensuring that our spending is more effective.

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Together, these two levers —growing into niche, premium segments while tightly managing and optimizing our expenditures —should help us deliver higher margins over the course of this mid-term plan.

U

BS Mr. Omura: Is it correct to understand that performance is tracking in line with the medium-term plan?

Pravin: Yes.

N

Omura Mr. Okazaki: Regarding slide 23, could you give an indication of the current revenue mix within architectural coatings?

Pravin: I would say it should be closer to about 15% at this point, as far as these segments are concerned. In fact, across all three areas, we were slightly delayed in

terms of our investments, which we have now ramped up over the last three to four years. And I think it is going to be about 50 percent as a whole across these segments.

N

omura Mr. Okazaki: Is each architectural sub-segment roughly 15%, making about 45% in total for architectural coatings?

Pravin: No, —so out of our decorative business, this is 15%, and roughly 45% is the total decorative business out of our total company.

N

omura Mr. Okazaki: As a follow-up, for the remaining 85%, while the impact from Grasim has eased, Akzo and Asian Paints are also stepping up their offensive, so the competitive environment should remain severe. What kinds of measures are being taken in these segments where competition is intensifying?

P

ravin: If you look at the structure of our industry, all players have very different percentage mixes across each of these businesses. Everyone is present in projects, wood finishes, and construction chemicals, but with different degrees of focus.

The same applies to retail, because everyone has to play that part —reaching out directly to dealers to sell products. That is common across all players.

The competition that entered the market over the last year or so is clearly penetrating across all areas. As far as we are concerned, it is very important for us

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to recognize that in India, while we are overall No .3, there are specific areas — shown in our segmentation matrix —where we are very strong. In some zones and towns, we are No.1 or No.2. This means it is important for us to focus on these areas with a complete 360 -degree approach. We look at all influencers, consumer activations, and dealer management —both improving extraction and expanding our network. While these actions are taken on an all-India basis, we clearly over-index in markets where we are already strong.

Fortunately, in India, every state and every zone is growing, so there is no inherent disadvantage

of one zone versus another. Where we are strong, it makes sense for us to grow further, as brand awareness and brand loyalty are very strong.

Accordingly, our investments are clearly directed toward these areas where we are over-indexing and investing heavily.

These investments are not limited to just one aspect but span the entire decorative business ecosystem.

We believe this strategy is already showing results. As I mentioned earlier, competitive intensity is now settling, and the initial aggressive actions across the market are reaching a more stable phase. We are beginning to see the real picture emerge, with growth starting to return. In fact, since October, we have already seen a change compared to the past, and we hope this trajectory will continue going forward.

M

acquarie Mr. Mehta: First, on the margin front. Now as a concept, your mix is moving towards industrial and automotive in the mid-term-plan. In that industrial growth you will also need to expand into new categories that you need investments. I wanted to understand ; how do you balance the equation because our belief or understanding is that industrial and automotive are lower margin businesses versus decorative. How do you see margin expansion despite the mix-related headwinds and the need for investments?

Pravin: As far as industrial margin is concerned, that was the story in the past.

While we cannot disclose segment information because of the nature of the business, I think it is quite healthy now. And as we move forward, I think you will see the real picture emerging, maybe over some time.

As far as investments are concerned, you talked about how we invest as well as show better margins. We are choosing segments where we are offering global

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solutions, which call for pricing that is not what is being offered right now at the bottom- of-the-pyramid or low -end level. The team is extremely conscious about this mix, and that is the way we would like to maintain and grow the business.

As far as industry is concerned, and as far as auto is concerned, with our leadership coming in, our extraction is far better, and the recovery of overheads is also far better there.

As this growth story continues, that will further improve as we go forward, particularly in terms of overhead recovery.

On the investment part, in the short term, I don't see any need for large capital investments in this area. We have sufficient capacity. There may be some brownfield expansion required, which will be taken care of through normal C APEX. There is

nothing significant in terms of investment required for industrial capital.

On the manpower front, a large part of the deployment has already happened this year.

Despite heavy competition across the industry, you are seeing our EBITDA margin sustaining at about 30 percent. This shows that we have been quite good at managing our overheads, and we have always looked at spend and outcomes very carefully. This is the same approach we intend to take as we move forward. So, having made these investments, with no major CAPEX required, our premiumization strategy, careful segment selection, and an improving industrial mix in terms of profitability give us confidence that, in the near term, we will see this trajectory changing.

The belief that industry will also move into a better margin area is strengthening, and the team is really perfecting it.

M

acquarie Mr. Mehta: On the decorative side, this chart is extremely useful for the state wise. It does suggest that you are choosing battles largely in North and East India. Is that understanding correct that is where you will be largely focused on the decorative side? And any thoughts on how you look at this? Now that the competition is stabilized, say 2 years down the line, how does this still fit in the Kansai model, and how do you see that kind of panning out?

Pravin:

Yes, this is showing the current picture, but this d

oes not mean at all that

we are giving up on the bottom two zones : West and South.

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I think this story is at the zone level. When you go down to the state level and then to towns, the story is very different as you move down the ladder. When we did this analysis, it was actually a surprise to see some of the town -level data, even in zones that are overall weaker markets, where our position is quite strong.

That is the area we would like to explore, and that is where investments will go. I would say this is probably a 2- 3 year strategy. I don't think we will take this approach beyond that.

Once competition settles, I think it will again become pan- India, similar to what we were doing a couple of years back. But right now, it is very important for us to stabilize, secure those towns, and grow within those towns. There is a lot of learning that comes from operating in a particular zone or state, and that learning can be horizontally deployed quite easily across similar markets.

Primarily, this chart might suggest that we are over- indexing on certain zones or certain states. That is generally true. However, we have done fairly detailed town-level work, and we are investing at the town level. This obviously cannot be presented here, because there are more than 5,000 towns.

So that is the approach going forward. We are selective, we are very focused, and we are investing where results are relatively easier to achieve for us. That is our mid-term approach.

Post that, as we define our next mid -term plan, strategies may change depending on the situation at that time.

N

omura Mr. Shah: Congratulations on a fantastic performance in the auto and industrial segments.

About the auto and industrial segments, you have shared the breakup of your market share for the two -wheeler and three -wheeler segments. If you could also share some insights on your market share across players in the four -wheeler segment, that would be helpful. That is the first part of my question.

Within auto, you highlighted that SUVs are seeing a higher growth rate and that your paintable area is increasing, which will drive further volume growth for you.

Given this, how should we think about your average selling prices for automotive paints? As cars are becoming much more premium, will this also drive higher ASPs for you? How has this trend been shaping in the recent past? Some insights on that

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would be helpful.

Pravin: As far as two -wheelers are concerned, what we shared earlier applies.

For four -wheelers, while we can't give exact numbers, when we say we have a leading position, it is quite sizeable. Overall, I would say we are at 50% plus as far as auto is concerned. From there, you can do some arithmetic to arrive at a reasonable estimate.

As far as the ASP point is concerned, the mix is changing.

Surface area obviously gives us volume, but in terms of paint quality, while white steel still dominates, the premiumness of metallic shades is improving. Obviously, pricing for those shades is also quite sizeable and better than what it was earlier.

Another important aspect is the amount of value engineering work we do for our customers, which I would say is unmatched in terms of quality and competitive advantage. With our technical capability, we help our customers perform better on the line through higher transfer efficiency and by optimizing their energy consumption, etc.

So as far as the volume –value gap is concerned, it is fairly stable. It is improving, though not at the rate of inflation—slightly below inflation— but definitely we are seeing ASPs improving because of the mix change that is happening.

N

omura Mr. Shah: My second question is about the industrial segment. This segment, as outlined in your mid -term plan, seems to be showing the highest growth rate. I wanted to understand the strategy here in a little more depth. Which segments are you thinki

ng of expanding into? How are you planning to improve your No.3 position in liquid coatings or performance coatings ? We know that you are already No .1 in powder coatings .

How do you plan to drive your market share higher and eventually become No .1 in these segments as well? Some insights on this would be very useful.

Pravin: I will answer this in two parts. As you know, our industrial business is divided into two parts: powder and liquid.

On the powder side, we have been a leader for more than two decades, with strong leadership in this segment. What is helping us is the fact that there is good growth in the focus segments we operate in. You can see that furniture is doing very well in the country, electrical goods are doing very well, and consumer equipment is also

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performing well. In addition, a significant amount of powder coatings is now going into automotive applications.

All of this is helping us maintain our leadership position as well as grow better than the market in powder. So that is the first focus area —to build on our strength in powder.

The second part is the liquid segment, where the bulk of our focus currently lies. This presents a very big opportunity for us, given the huge spending by the government on infrastructure, which has a direct correlation with increased paint consumption.

Here, as you can also see in the slide, we have identified pre -engineered buildings, which are seeing very good traction. Railways are another key area, as the entire network is being upgraded. Coil coating is also seeing a lot of traction. In addition, there are several other segments such as bridges and airports, etc.

We have built a focused team around these key segments, which gives us a very good opportunity to grow in the specific areas we have identified.

There is clear consolidation in powder and clear aggressive growth planned on the liquid side.

M

r. Gorthy: My question is for both the members of the parent company and the management team of Kansai Nerolac.

Given that you are looking to stabilize the decorative business and treat it as a cash cow, have you considered divesting this segment and focusing all management bandwidth on what appears to be the more exciting part of the business?

Considering your view that car and vehicle production in India is expected to double, and that you are absolutely dominant in that segment , I just wanted to hear your thoughts on whether such options are discussed and evaluated .

Pravin: I think we regularly conduct strategy sessions where we carefully look at each segment, each business segment, as well as the sub -segments, in terms of attractiveness and our company's strengths.

If you look at Nerolac's decorative strength, it is a brand that has been around for six to seven decades now. Even amidst intense competition, where competitors are spending huge amounts of money, our brand recall is still No.2 .

That recall and the strength of the established brand give us enough opportunity

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even today. We believe that if certain basic things are done well, further enhanced, and more sharply focused, there is still meaningful potential. Over the last five to six months, what we have seen gives us confidence that our direction is right.

I think it is just a matter of this whole situation settling down, and the real picture will emerge once true numbers are on the table —for everyone, not just for four or

five listed companies, but for the entire market. That is when the full picture will become clear.

Internally, we do have some unofficial data, and based on that, I believe there is no reason at this point to consider any of these options seriously.

As far as industrial is concerned, and specifically auto, it is a very established business with very focused teams, and they operate largely autonomously. In terms of technology deployment, this is a model that I believe is running well and has been refine

d over time. Obviously, every year there are incremental improvements required to stay ahead, and as a leader, we are absolutely doing that.

As far as management bandwidth is concerned, there is currently a very high requirement on the decorative side because of intense competitive pressure. Accordingly, resources are deployed there to absorb and manage that intensity. At the same time, other resources are deployed in the industrial segment, where there are clear growth aspirations.

Overall, when you look at our strategy of maintaining a balanced portfolio —because every business is cyclical—we believe we are in a unique position to be present

across all three areas. The confidence that comes from our network reach, brand strength, dealer influence, on-ground connectivity, and the feedback we receive

reinforces our belief that decorative remains a business we want to stay in.

Importantly, there is no significant incremental investment required in terms of brand awareness at least for some time. In the current environment, where there is a lot of noise and “shouting” in the market, we believe it is better to stay focused and try to extract maximum value, rather than attempting a carpet-bombing approach.

So evaluations are ongoing, but as of now, my belief is that this is not a call we would like to take.

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Call: May 2026

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